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Advanced Private Wealth Management



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Course 4: Topics in Wealth Advisory and Wealth Management Strategies

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Introduction to This Reading Material

Thank you for purchasing/downloading the lesson packet for Course 4: Topics in Wealth Advisory and Wealth Transfer Strategies.

Begin your online course by reading the syllabus; it contains the information you need to successfully complete the course. As you begin, you will notice that each module includes a brief introduction and learning objectives for the module reading assignments. The reading material for each module's lesson is included in this packet, as well as in the online course.

The modules also have computer-graded assignments and self-check exercises associated with them. These assignments and other interactive activities, such as videos, are available only through the online course.

This packet is designed to give you the best experience for reading the detailed lesson content and taking notes. To complete the course, you will need access to the online assignments and exams.

Best wishes for your success in this course!

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Module 1: Advising Multijurisdictional and Complex Families, Business Owners, and Professionals

In today's increasingly global and diverse wealth landscape, advisers must navigate a wide array of complex financial, legal, and emotional considerations when working with wealthy clients. This module provides a foundation for advising private clients with sophisticated needs, including those who live and work across multiple jurisdictions, families with intricate dynamics, entrepreneurs, executives, and ultra-high-net-worth (UHNW) individual.

We begin by examining the challenges of multijurisdictional planning, where intersecting rules around citizenship, residency, and taxation require tailored strategies that respect global mobility and evolving regulatory environments. We then explore how to serve complex families—including blended, multigenerational, or nontraditional households—for which wealth management must account for differing expectations, emotional sensitivities, and varying legal systems.

Specialized strategies are also essential for business owners and professionals, whose wealth is often concentrated in business ventures or employer equity. These clients face distinct risks around liquidity, succession, and diversification that demand proactive and customized planning. Finally, we explore the role of family offices in helping UHNW families preserve wealth, align investments with values, and coordinate across generations and geographies.

On completion of this module, you will be equipped to recommend appropriate wealth management strategies for a diverse range of sophisticated clients with cross-border, business-related, or structurally complex financial lives.

By the end of this module, you will be able to:

- Recommend appropriate wealth management approaches for multijurisdictional families.
- Recommend appropriate wealth management approaches for complex families.
- Recommend appropriate wealth management approaches for entrepreneurs and business owners.
- Recommend appropriate wealth management approaches for professionals.
- Explain the role of family offices in private wealth management.

This module includes five lessons, as well as a module summary and a module glossary.

- Lesson 1: Advising Multijurisdictional Families
- Lesson 2: Advising Complex Families
- Lesson 3: Advising Entrepreneurs and Business Owners
- Lesson 4: Advising Professionals
- Lesson 5: Role of Family Offices
- Module 1 Summary
- Module 1 Glossary

Let's get started!

Lesson 1: Advising Multijurisdictional Families

Welcome to Lesson 1 of Module 1!

In today's integrated world, families increasingly reside in multiple countries. This lifestyle not only provides significant opportunities but also complicates wealth management, especially tax planning. Wealth managers help these families navigate complex income, asset, and wealth transfer considerations related to residing in multiple jurisdictions.

Understanding the intersection of citizenship, residency, and taxation is critical for international private wealth management. Taxation and citizenship can align or function independently, and strategies are available to help individuals change residency. Citizenship is particularly valuable in politically and economically stable countries; external factors, such as global competition, drive countries to offer favorable residency and tax incentives, including the acquisition of citizenship for those with substantial financial resources, further complicating wealth management decisions. Taxation approaches differ: some countries tax residents regardless of citizenship, whereas other countries tax citizens no matter where they reside.

By the end of this lesson, you will be able to recommend appropriate wealth management approaches for multijurisdictional families.

Let's get started!

Systems of Citizenship

Various Systems of Citizenship

Citizenship establishes the legal relationship between a person and a state, conferring various rights, duties, and responsibilities. Country-specific citizenship rules can complicate the determination of family members' rights to passports, residency, employment, voting, and traveling visa-free across borders. Citizenship may affect taxes, asset protection, and inheritance laws according to the specific rules and regulations of the given country. Acquiring citizenship requires understanding each country's complex criteria. Typically, citizenship is acquired in the ways described below.

Citizenship by Birth

Many countries grant citizenship to children of citizens of that country, sometimes called *jus sanguinis* ("right of blood" or citizenship by descent). Typically, such citizenship can be carried by either of the parents. In some countries, however, such as the United Arab Emirates, such citizenship by descent is granted only through the father. It is also common for countries to grant citizenship to those who were born in the country, a system based on *jus soli* ("right of soil" or birthright citizenship). This approach is applied in many countries, including the United States.

Citizenship by Extended Descent

Some countries, such as the United Kingdom, Italy, and Hungary, also grant citizenship based on the heritage of grandparents or, in some rare cases, even great grandparents who resided in formerly controlled territories. This option underscores the complexity of historical and familial ties in citizenship laws.

Citizenship Through Naturalization

A route to citizenship that usually applies to those who have legally entered a country and have lawfully lived there for a mandated period is called naturalization. Some countries, such as Switzerland, require naturalized citizenship candidates to take a test that demonstrates an understanding of the country's laws, culture, history, traditions, and language. Some countries mandate renouncing prior citizenships before granting naturalization. Other countries, however, recognize that certain citizenships cannot be renounced or that individuals may wish to keep their previous nationalities. Hence, some countries legally permit dual or multiple citizenship.

Citizenship by Marriage

Following World War II, acquiring the citizenship of a spouse by marrying an individual with citizenship became common practice and is also a form of naturalization. Known as *jus matrimonii* ("right of matrimony"), couples typically must be married for a set duration or live in the country for a certain number of years before the noncitizen spouse is granted citizenship. Some countries also offer this right to those in civil partnerships, although this is the exception, and, as noted, some countries require renouncing prior citizenships before granting naturalization, which also applies to the right of matrimony.

Citizenship by Investment

Sometimes called "economic citizenship", some countries offer citizenship by investment (CBI), in which individuals can acquire citizenship by making substantial financial contributions or investments in the country's economy. Forms of investment can include a real estate purchase, business investment, government debt purchase, or deposits in specific financial institutions. Applicants generally must meet age, criminal record, and income eligibility requirements. Although only a handful of countries in the world currently offer CBI, many of the Caribbean countries do offer them. Intermediate options include golden visa or residency by investment programs, offering pathways to eventual citizenship. Many programs do not impose residency requirements. Such programs allow wealthy individuals to obtain a residence permit in exchange for a significant investment and then offer various alternatives to gain citizenship.

Dual Citizenship

Many countries recognize dual citizenship, allowing a person to be a citizen of two or more countries at the same time. Dual citizenship can provide multiple benefits, including the ability to reside in multiple countries, the ability to travel without a passport across many countries, and welfare and social benefits, including government pensions, from multiple countries.

The Schengen Area comprises 27 European countries that have abolished border controls for people at their mutual frontiers. Established by the Schengen Agreement in 1995, countries in this area, as shown in Exhibit 1, allow for unrestricted movement of people within its boundaries. The area operates as a single jurisdiction for international travel purposes and has a common visa policy.

The European Union and Schengen Countries as of 2023

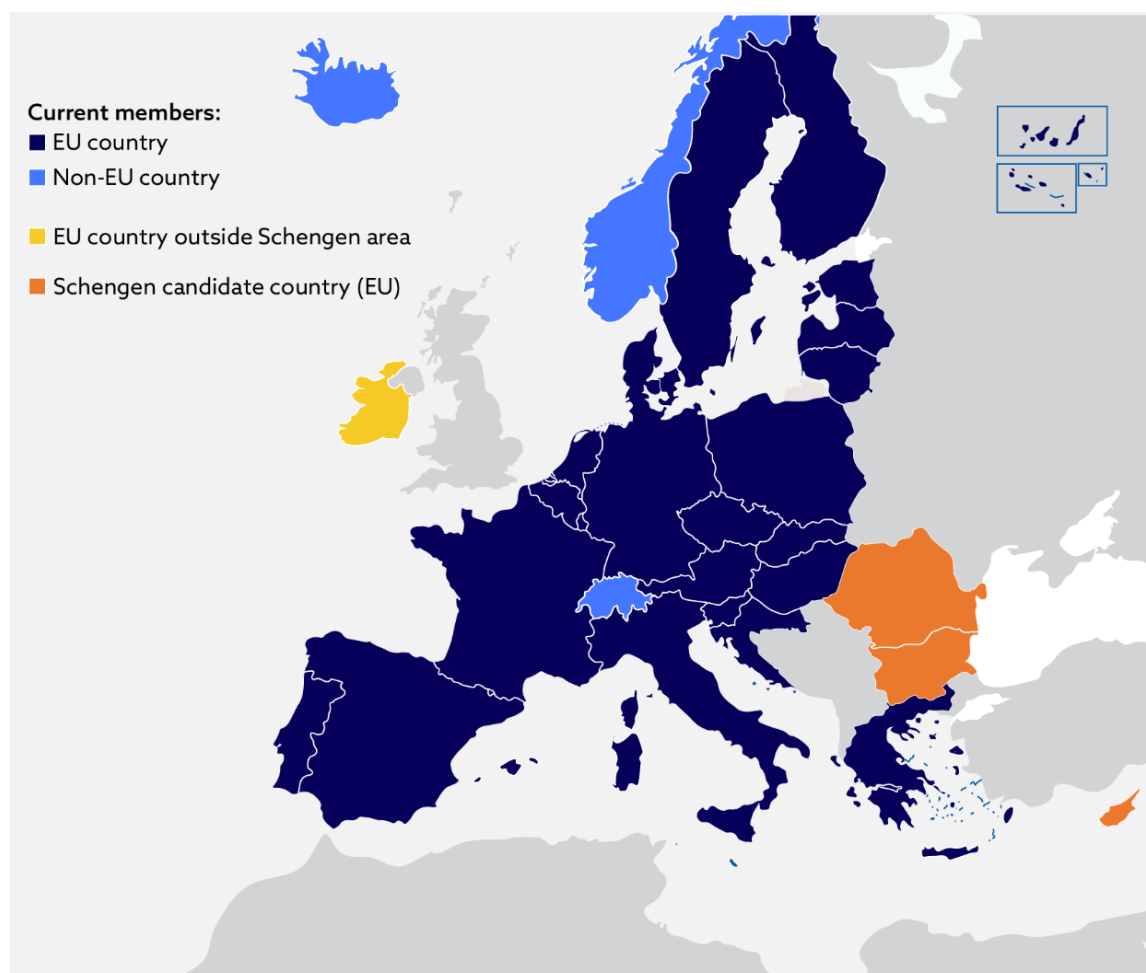


Exhibit 1: Source: CFA Institute.

The United States, United Kingdom, South Africa, Australia, and Hong Kong SAR are among the countries and jurisdictions that allow for dual citizenship. Some countries permit dual citizenship only with select other countries, often based on the country's economic relationships. Argentina, for instance, allows dual citizenship only with Italy and Spain.

Moreover, multiple countries explicitly disallow dual citizenships. For instance, China, Singapore, and the United Arab Emirates restrict dual citizenship, necessitating the renunciation of one's existing citizenship to adopt another. This renunciation decision can hinge on various factors, from diverging legal rights between permanent residents and citizens to tax implications.

Multijurisdictional citizenship comes with costs and complexities, including administrative burdens, legal intricacies, dual taxation, cultural challenges, and exposure to political and economic risks.

Advantages of Multijurisdictional Citizenship

The primary advantages of multijurisdictional citizenship are listed below.

Asset Diversification

Multiple citizenships allow high-net-worth (HNW) families to efficiently diversify their investments across countries. Some countries only allow citizens to acquire land or make business investments within their borders. Gaining citizenship, or holding multiple citizenships, increases access to different financial markets and real estate and expands the universe of investable growth opportunities.

Global Mobility

Multiple passports simplify international travel and business expansion, especially in countries with restrictive visa policies. For instance, post-Brexit, UK citizens found EU passports valuable for smoother travel within Europe.

Tax Optimization

Dual citizenship offers opportunities for tax optimization. Families can reside in tax-friendly jurisdictions with more advantageous tax standards while still adhering to relevant tax laws and legally minimizing tax liabilities.

Education and Health Care

Multiple citizenships may provide greater access to top educational and medical facilities worldwide, offering families the flexibility to choose the best options for their and their children's needs.

Political Safety Net

Should political instability arise in one country, dual citizenship provides alternative options through relocation. Similarly, rule of law concerns, including the risk of expropriation, may be assuaged through dual citizenship by legally shifting assets and physical residency to a jurisdiction with a more stable rule of law.

Disadvantages of Multijurisdictional Citizenship

The primary disadvantages of multijurisdictional citizenship are listed below.

Legal and Administrative Burden

Managing multiple citizenships requires navigating diverse regulations and paperwork, a process fraught with potential legal uncertainties, bureaucratic issues, and compliance requirements, which may lead to potential financial penalties as a result of incorrect tax filings or residency documentation.

Double Taxation

Although dual citizenship can be tax efficient, it also risks dual taxation. Understanding tax treaties and filing requirements for each country is critical to avoiding multiple taxation on the same income or assets. Given the automatic exchange of information and double-tax treaties, inattention to the details risks potential multiple taxation of income or assets. Finally, the reporting obligations for foreign financial accounts and assets can be time-consuming and require expert assistance.

Cultural Challenges

Shifting identities across different countries may erode one’s sense of belonging and pose social difficulties. Children who frequently relocate between countries may face difficulties in forming stable friendships or may struggle in developing a consistent sense of home and cultural identity. Conversely, for some children, travel can be beneficial and help develop a world view.

Political and Economic Risks

Citizenships in politically or economically unstable countries expose families to potential losses due to nationalization or illegal expropriation of assets, requiring them to stay informed and agile in their planning. In fact, some countries may require military service for citizens of a certain age.

Striking the right balance between the advantages and drawbacks of multijurisdictional citizenship requires careful planning, legal expertise, and a deep understanding of the family’s specific goals and aspirations. Managing dual citizenships is generally straightforward, but holding three or more citizenships can present complexities. This difficulty arises primarily because double-tax treaty agreements often do not account for situations involving more than two countries.

Legal Residence and Tax Domicile

Determining legal residence is crucial for taxation purposes. Because of conflicting definitions of residency across countries, families may be classified as residents in multiple countries, leading to complex taxation considerations. Actively avoiding or preventing such situations from occurring is important.

Tax domicile refers to the country where an individual is considered a tax resident. Establishing tax domicile builds on citizenship and residency, and involves several factors, such as the type of residency, duration of stay, complexity and comprehensiveness of economic ties, and family or social connections to a country. Different countries have varied rules for determining tax domicile, adding complexity for multijurisdictional families. Some countries enforce these rules strictly to ensure that individuals with limited connections to the country remain taxpayers even after they have moved elsewhere. In the Practitioner Perspectives video on the course online, experts Mandy Tham, Lawrence Goh, Helena Eaton, and Moukarram Atassi reflect on the challenges of managing multijurisdictional client portfolios and the strategies they use to overcome them.

Example: Tax Residency in Norway

The tax residency rules in Norway apply to both individuals who are new arrivals and those who have previously lived in Norway, provided the latter group’s prior emigration was tax approved. Exhibit 2 shows the country’s different tax residency rules for different durations of stay.

Length of stay	Commencement of tax residency
More than 183 days in a 12-month period	From the first day in Norway
183 days over two tax years	From 1 January of the second year, with limited tax liability in the first year for specific Norwegian-sourced income
More than 270 days in a 36-month period	From 1 January of the year when the 270-day limit is crossed, with limited tax liability in preceding years

Exhibit 2: Source: CFA Institute.

- An individual becomes a Norwegian tax resident if staying in the country for more than 183 days in a 12-month period or more than 270 days over a 36-month period. These considerations include both partial and full calendar days spent in Norway.
- If an individual crosses the 183-day threshold in the year of moving to Norway, tax residency starts from the arrival day. If these 183 days span two tax years, residency starts from 1 January of the second year; limited tax liability applies in the prior year for specific Norwegian-sourced income.
- If an individual stays longer than 270 days within a 36-month period, tax residency commences on 1 January of the year exceeding this limit. Limited tax liability applies for the preceding year(s).

- Last, an individual can spend an average of 90 days per year in Norway without becoming a tax resident, allowing for family visits, holidays, and maintaining social and other contacts within Norway without triggering tax domicile.

Managing Tax Obligations Across Jurisdictions

Every individual must have a designated principal tax residence to avoid ambiguity in taxation, which usually is the country or jurisdiction where the individual resides most frequently or holds substantial connections. In some situations, a person may qualify as a tax resident under the tax residence rules of more than one jurisdiction and therefore would be a tax resident in multiple jurisdictions. Absent double-taxation agreements between the jurisdictions, the individual taxpayer may be liable to pay taxes in all jurisdictions.

Effective wealth management for multijurisdictional families requires strategic planning to minimize tax liabilities both during one's life and at death as assets transfer from one generation to the next. Income generated by assets located outside an investor's home country, for example, may be taxed in both the country where the income originates and the country where the wealth owner resides. Sometimes, a third or even a fourth country may be involved where the assets are legally located.

For instance, a Swiss asset manager holding shares in an Egyptian telecommunications company on behalf of a Saudi citizen pays the dividends to its Saudi citizen client living in the United Kingdom. Each step in the process may trigger some form of taxation, absent rules governing how income earned in different jurisdictions is treated. Similarly, transferring ownership of foreign assets upon death may also be difficult and may trigger multiple tax liabilities from both the home country and the country in which the assets are located. Such income and asset transfer tax rules affect decisions on asset structuring, transfers upon death, and other dispositions.

Taxable claims for a particular country are based on its jurisdiction: A country that taxes income sourced within its borders is said to impose **source jurisdiction**, which is also referred to as a territorial tax system.

The interaction of different countries' tax systems can result in tax conflicts in which two countries claim to have taxing authority over the same income or assets. This conflict can relate to any taxable event: income, capital gains, gifts, or inheritance. Conflicts may be residence–residence, source–source, or residence–source in nature.

Residence–Residence Conflict

This conflict occurs when an individual is considered a tax resident in two different countries, perhaps because the individual spends significant time in both countries, which may therefore assert the right to tax the individual's nonsource income. This scenario can result in the same income or assets (e.g., salary, capital gains, or inheritance) being taxed twice, leading to complexities.

Source–Source Conflict

This conflict can occur when an individual owns a business physically located in Country A, but the business operations are managed from Country B. Both countries claim that the business income should be taxed in their jurisdiction. This creates complex tax obligations because each country insists that the income was generated within its borders.

Residence–Source Conflict

This conflict occurs when taxation obligations are global, making it one of the most common and challenging types of tax conflict. Take, for example, a US citizen who owns real estate in Singapore. The United States considers the individual a tax resident and claims the right to tax their worldwide income. Singapore, however, also wants to tax the rental income from the property because it falls under its source jurisdiction. The individual thus faces the difficulty of potentially being double taxed unless they can find relief through mechanisms like foreign tax credits or double-taxation treaties (DTTs).

Double Taxation Relief

Because a source country is commonly viewed to have primary jurisdiction over taxing income within its borders, the residence country is typically expected to provide double-taxation relief if any is to be provided. A residence country may choose to unilaterally provide its taxpayers relief from residence–source conflicts within its own tax code using one or more of the following three methods: credit, exemption, and deduction.

The Credit Method

The **credit method** offsets the domestic (i.e., residence) tax liability for taxes already paid to a foreign (i.e., source) country. Importantly, the individual cannot claim more credit than the amount owed under the home country tax jurisdiction, or

$$\text{Tax rate via credit method} = \max(\text{Domestic tax rate}, \text{Foreign tax rate})$$

Equation 1

For example, let's say the taxpayer's home (or residence) country taxes worldwide income at a 50% rate but provides a credit for foreign taxes paid. If the foreign country's tax rate is 40%, the taxpayer's effective tax rate remains 50%. Specifically, the taxpayer pays 40% to the foreign (or source) country and the additional 10% to their home country. If, however, the foreign country has a 60% tax rate, the effective tax rate becomes 60%, all of which is payable to the foreign government, with the

taxpayer getting a credit in their home country for the tax paid. In this case, the home country receives no additional tax because the tax credit offset its 50% rate.

The Exemption Method

The exemption method allows for offsetting of taxes; the home (residence) country relinquishes its taxation rights on foreign-source income. Essentially, the taxpayer owes taxes only to the foreign country where the income originates. The formula simplifies to

$$\text{Tax rate via exemption method} = \text{Foreign tax rate}$$

Equation 2

For example, with a foreign tax rate of 40% on income, the taxpayer pays this entire amount to the foreign government. Countries like Singapore, Malaysia, and Thailand typically adopt this approach, as they operate under territorial-based tax systems.

The Deduction Method

The deduction method reduces the taxable income by the amount of qualifying taxes already paid to a foreign government. While this does not eliminate double taxation, it reduces the overall tax liability. The composite tax liability under this method involves a more nuanced calculation.

$$\text{Tax rate via deduction method} = \text{Domestic tax rate} + \text{Foreign tax rate} - (\text{Domestic tax rate} \times \text{Foreign tax rate})$$

Equation 3

For example, using a 50% domestic rate and a 40% foreign rate, the total tax liability is 70%. Here, the foreign country collects 40% and the home country collects the remaining 30%. The home country, in this case, concedes a part of its tax claim, acknowledging the primary taxing rights of the source country.

Various jurisdictions incorporate foreign tax credit provisions into their domestic tax codes, encompassing categories such as income, gift, or estate tax. Take the United States as an example: It extends foreign tax credit relief for income and estate taxes but excludes gift taxes. Therefore, a US resident contemplating a wealth transfer involving an asset in a foreign jurisdiction with gift tax might strategically delay that transfer. Specifically, by waiting until the death of the donor, the asset could qualify for the US foreign estate tax credit, thereby optimizing, and effectively minimizing, the overall tax burden. Conversely, France incorporates foreign tax credit relief for gift and estate taxes but not for income taxes. Spain, meanwhile, provides comprehensive foreign tax credit provisions covering income, gift, and estate taxes.

Some nuances apply to foreign tax credit provisions. Crucially, a foreign tax credit provision does not prescribe the specific mechanism a country uses to mitigate double taxation. A jurisdiction might employ the credit, exemption, or deduction method or even another distinct approach for tax relief. Few countries rely purely on either the exemption or credit methods to shape their foreign tax credit provisions. An instructive example is the Foreign Earned Income Exclusion (FEIE) available to US citizens and residents with a tax home in a foreign country. As of 2023, the FEIE allows for the exclusion of up to USD120,000 of income annually from US taxation, with adjustments made yearly for inflation.

Double Taxation Treaties

DTTs offer an alternative to domestic laws for mitigating double taxation on international income. More than 2,000 active DTTs aim to boost global trade and investment by resolving conflicts between residence and source countries. The Organization for Economic Co-operation and Development (OECD) Model Tax Convention on Income and on Capital, commonly referred to as the OECD Model Treaty, serves as a blueprint for DTTs. The Model Treaty outlines how taxes on income and capital should be levied on cross-border economic activities, eliminating double taxation between the source country and the residence country. The Model Treaty serves as a model primarily for OECD member countries but is often adopted by non-member countries.

The OECD Model Treaty advocates for using either the exemption or credit method to settle double-taxation conflicts. It predominantly covers direct taxes, focusing on income and capital taxes on business profits, dividends, interest, and royalties, as well as capital gains from the disposition of property, securities, and other assets. Additionally, to prevent tax evasion and avoidance, it creates mechanisms to share taxpayer information between countries and includes specific anti-abuse provisions to counter tax evasion tactics, like **treaty shopping**, in which an individual or entity attempts to leverage treaty tax advantages without genuine economic activities in either country.

In the OECD Model Treaty, a **resident** is defined as an individual or entity subject to tax in a specific country based on factors like domicile or physical residence. Conversely, the **source state** is the jurisdiction where the income originates, generally where the related economic activity takes place. Determining residency and source state are essential for allocating tax rights between countries. For double-taxation relief, the OECD Model Treaty supports the use of credit and exemption methods, aligning with unilateral domestic provisions.

Allocation of Taxing Rights by Income Type

The OECD Model Treaty outlines how various income types are taxed and identifies which country has the initial right to tax them. Priority is usually given to the state of residence, except for real estate income, which is taxed in the source state.

Investment income, like dividends and interest, is subject to tax by the source state. The OECD Model Treaty caps withholding tax rates at 15% for dividends and 10% for interest but allows for exceptions. If using the exemption method, this withholding tax fulfills the entire tax liability for that income. If using the credit or deduction method, additional taxes may be owed to the residence country. These low rates aim to share tax revenues between the source and residence states.

The sale of real estate is an exception. Specifically, the tax liability is typically determined by the physical location of the real estate, with the country where the real estate is located retaining the right to tax the capital gains generated from its sale, regardless of the seller’s country of residence. This diverges from the usual practice, in which the resident country has the primary right to tax global income.

Resolving Dual Residency Conflicts

To resolve residence–residence conflicts when an individual can be considered a dual-resident taxpayer “by reason of their domicile, residence, place of management or any other criterion of similar nature”, the OECD Model Treaty outlines tiebreakers in the following order based on the location of an individual’s

- permanent home,
- center of vital business interest,
- habitual dwelling, and
- citizenship.

The OECD Model Treaty typically does not resolve conflicts involving only source countries.

In Switzerland, for example, the exemption method is generally used in its DTTs. For countries without a DTT, however, Switzerland employs the credit method for foreign-source taxes. France offers another example; its DTT with Sweden encompasses income, gift, and estate taxes, whereas its treaty with Spain covers only income taxes. Still, double taxation on gift and estate taxes can often be mitigated through foreign tax credit provisions in both countries. The focus of most DTTs is on income taxes, as many jurisdictions lack estate taxes, making an estate-specific DTT unnecessary. To avail themselves of any treaty benefits, taxpayers must meet the residency criteria specified in the OECD Model Treaty.

Case Study: Double-taxation Credit Provisions

Boris Yanukovych is a citizen and resident of Country A with investments held in Country B and none in Country A. Country A taxes global income, whereas Country B taxes income generated locally. A DTT between the two countries addresses these conflicting tax systems. Investment income tax rates and estate tax rates in each country are shown in Exhibit 3.

Investment Income and Estate Tax Rates

	Country A (%)	Country B (%)
Investment income tax	25	40
Estate tax	50	30

Exhibit 3: Source: CFA Institute.

Investment Income Tax Rate Under the Credit Method

Yanukovych’s investment income tax rate under the DTT when it provides for the credit method is 40%, calculated as follows:

$$T_{CreditMethod} = \max\left(T_{Residence}, T_{Source}\right) = \max(0.25, 0.40) = 40\%$$

Equation 1a

This entire amount is paid to Country B, and Country A credits Yanukovych for the tax paid. There is no additional tax liability in Country A because Country A’s investment income tax rate is less than Country B’s investment income tax rate.

Estate Tax Rate Under the Exemption Method

Under the exemption method, the estate tax rate would be Country B’s tax rate of 30%. This amount is entirely remitted to Country B, and Country A forfeits its taxing rights.

Estate Tax Rate Under the Deduction Method

Under the deduction method, the estate tax rate would be 0.65, calculated as follows\

Tax rate via deduction method

= Domestic tax rate + Foreign tax rate – (Domestic tax rate × Foreign tax rate)

= 0.50 + 0.30 – (0.50 × 0.30)

= 0.65

Equation 3a

In essence, the estate pays a 30% tax to the foreign Country B and a 35% tax to the domestic Country A.

Ending Tax Residency

Tax residency dictates an individual’s obligations for income, capital gains, and other taxes within a specific country. Although citizens are generally considered to be tax residents, each country has its own rules and procedures for establishing or terminating tax residency for citizens, residents, immigrants, and emigrants.

Key factors, such as length of stay, family ties, property ownership, and income sources, affect tax residency status and the process for ending it. Establishing permanent residency and shifting daily activities to another country or jurisdiction are critical steps for terminating tax obligations in the original jurisdiction. Short-term stays, such as vacations, temporary work assignments, and studying, are often insufficient for this purpose. For instance, spending several months per year in Spain or Florida may not necessarily establish new tax residency or terminate existing residency in the original location. Thus, changing tax residency is not merely about relocating; it involves establishing a new permanent address and, if applicable, immigration documentation, such as a legal certificate of residence issued by an appropriate authority.

The residency status of immediate family members can add complexity to terminating tax residency. For instance, maintaining a residence for immediate family members, such as children or other financially dependent family members in the original jurisdiction, will likely extend tax obligations and limit the ability to terminate tax residency.

Changing state residency within a country for tax purposes is common and frequently more straightforward than changing national residency. In the United States, for example, individuals with high incomes often move their residency to Florida, a state with no state income taxes. Many retirees and those with high accumulated wealth also move there because the state does not impose estate taxes. Hence, such moves can significantly reduce the total tax burden.

Example: Terminating Tax Residency in Norway

To terminate tax residency in Norway, an individual must

- establish permanent residency in another country;
- limit their stay in Norway to a maximum of 61 days within the income year; and
- ensure that neither they nor their immediate family have a residence in Norway.

For those who have lived in Norway for less than ten years before relocating, tax residency ends in the income year when all three criteria are met. For individuals with a decade or more of residency in Norway, tax obligations persist until the end of the third income year after securing permanent residency abroad. During each of these three years, the individual must not spend more time in Norway each year than 61 days, and neither the individual nor their immediate family should maintain a residence in Norway.

Failure to adhere to jurisdictional tax laws can lead to significant repercussions, potentially affecting future tax obligations, including the increased risk of double taxation. Long-term financial health and legal residency, including protection of assets in both jurisdictions, may become imperiled.

Renouncing Citizenship

To simplify overlapping legal, bureaucratic, and tax obligations across multiple jurisdictions, multijurisdictional families with multiple citizenships may contemplate renouncing one of their citizenships. For example, a US citizen subject to worldwide taxation may find financial relief in renouncing US citizenship, although it becomes effective only after all taxes due have been paid, including possible exit tax obligations discussed in Case Study: Exit Tax. Moreover, compulsory military service obligations in many European and Asian countries might be an additional reason for men and women to renounce their citizenship or to seek dual citizenship elsewhere. Renouncing citizenship involves a serious decision-making process, fraught with intricate legalities and potential tax repercussions.

Another factor influencing this decision can be an exit tax levied by the country whose citizenship is being renounced to compensate for lost tax revenue. These regulations often change, adding another layer of complexity to the decision-making process. Exit taxation is generally not applicable for capital moving between EU countries but could apply to capital moving outside the EU.

In most cases, the exit tax amounts to a tax on unrealized gains accrued on assets leaving the taxing jurisdiction. This approach is referred to as a **deemed disposition** and triggers taxation of any previously unrealized capital gains. The tax is

therefore levied not on the principal value of the transfer but rather only on the value of unrealized gains, if any. The exit tax may also include an income tax on income earned over a fixed period (called the “shadow period”) after expatriation.

Case Study: Exit Tax

Javier is a wealthy individual who has relocated to Country Y and decided to renounce his citizenship in Country X. Country X is known for its high tax rates, whereas Country Y offers more tax-friendly policies. Country X imposes a 25% exit tax on “deemed capital gains,” which are calculated as if the assets were sold the day before expatriation. Javier possesses a diverse asset portfolio valued at EUR5 million, which includes stocks, bonds, and real estate.

To determine the exit tax Javier owes, it is necessary to calculate the deemed capital gains on his portfolio. The original cost of acquiring these assets was EUR3 million. Therefore, the deemed capital gain would be EUR5 million minus EUR3 million, totaling EUR2 million. Applying the 25% capital gains rate to this amount, Javier would owe EUR500,000 as an exit tax to Country X.

This exit tax is a one-time payment, and once it is made, Javier generally would have no further tax obligations related to these assets in Country X. A tax treaty between Country X and Country Y would dictate whether this exit tax can be credited against Javier’s future tax liabilities in Country Y.

Tax Consequences of US Expatriation

The United States is among the few countries that tax citizens on worldwide income, prompting some individuals who permanently reside abroad to renounce their US citizenship for tax reasons. Such individuals face an exit tax, aimed at preemptively capturing taxes on future liabilities like unfiled tax returns or deferred capital gains. This tax assumes a deemed sale of all global assets at their fair market value one day before expatriation. The tax’s scope includes a wide variety of property, from financial instruments to personal items like cars and jewelry. The exit tax is levied on those with a net worth more than USD2 million. It also applies to long-term, noncitizen residents, defined as those who have been lawful permanent residents for at least eight of the last fifteen years who terminate their US residency and move elsewhere.

Residency Through Investment Visas

An array of visa programs offers legal, tax, and economic benefits to those seeking an alternative to full citizenship in a country with lower regulatory, tax, and administrative burdens. Visa options include work visa, student visa, and investor visas or golden visas, each with its own distinct considerations.

Work visas and student visas offer temporary residency options for individuals seeking employment opportunities or pursuing educational aspirations in foreign countries. For instance, lawful permanent residency in the United States grants individuals the right to work in, live in, and return to the United States. Permanent residency visa programs provide the advantages of legal residency without being a citizen of a country.

Investor visas generally offer temporary residency in exchange for specified investments in local businesses or industries, without guaranteeing a route to full citizenship. In contrast, **golden visas** provide initial residency, work rights, and a path to permanent residency and potentially citizenship through significant investments in areas like real estate, government debt, or business ventures. These programs attract wealthy families for visa-free travel and financial advantages. Additionally, they may offer the opportunity to legally locate assets in a country with potentially favorable tax treatment and legal asset protections.

Case Study: Singapore and Its Global Investor Program

Annamaria, a successful entrepreneur, aims to secure a second residency for her family in Singapore. The Global Investor Program (GIP) accords Singapore Permanent Resident (PR) status to eligible global investors who intend to drive their businesses and investment growth from Singapore. GIP offers three different options to invest:

- Invest SGD10 million in a new or existing Singaporean business and employ at least 30 workers to qualify for reentry permit renewal after the initial five years. At least 15 employees must be Singaporean citizens, and if the business preexists, then 10 new employees must be hired.
- Commit SGD25 million to a Singapore Economic Development Board–approved fund that focuses on investments in Singapore-based companies.
- Create a Singapore-based single-family office with a minimum of SGD200 million in assets under management. Allocate and maintain at least SGD50 million in approved investment categories for the five-year residence duration.

Upon meeting the required criteria, Annamaria and her family may be granted permanent residency in Singapore for a five-year initial period. After two years of permanent residence in Singapore, it is possible to apply for Singapore citizenship. Singapore, however, does not allow dual citizenship, and therefore, the GIP is not an ideal option for individuals who are interested in holding more than one citizenship and passport.

Tax laws—and residency and nationality laws—are also subject to frequent revisions, making continual adjustments in financial strategies essential. Moreover, within countries like the United States and Switzerland, state or local regulations can

cause significant variations in tax regimes. Awareness of these dynamic external factors is crucial for effective tax planning and decision making.

Up Next

You have now completed Lesson 1: Advising Multijurisdictional Families. We hope this lesson has provided you with valuable insight into the complications of wealth management, especially the tax planning aspect for families that increasingly reside in multiple countries for personal, health, political, or professional reasons.

In the next lesson, you will explore advising complex families, which involves addressing the intricacies of modern family structures that extend beyond the traditional nuclear family.

Lesson 2: Advising Complex Families

Welcome to Lesson 2 of Module 1!

Advising complex families involves addressing the intricacies of modern family structures, which extend beyond the traditional nuclear family. Complex families may include blended families from previous marriages, cohabiting partners, same-sex couples, and multigenerational households. These families often have distinct financial dynamics and legal considerations that wealth advisers must carefully navigate.

Legal Systems and Wealth Management for Complex Families

Advisers must first consider the influence of jurisdictional law, as family law varies significantly across regions. Legal systems, such as common law, civil law, and Shari'a law, each provide distinct frameworks for property rights, inheritance, and family obligations. Advisers should recognize that complex family structures may require more personalized wealth management strategies that incorporate these legal nuances.

Financial and Emotional Sensitivities in Complex Families

Beyond legalities, advising complex families often requires a keen understanding of family dynamics, which are influenced by emotional, cultural, and even psychological factors. Family members may have differing expectations around financial support, inheritance, or asset ownership, which can lead to tension or disputes if not managed proactively. Effective advisers work as both financial guides and mediators, helping families align their wealth strategies with shared values and goals while respecting individual needs.

Wealth managers play a crucial role in addressing the financial and emotional needs of complex families by developing customized strategies that incorporate property agreements, succession planning, tax efficiency, and asset protection. Advisers should adopt a holistic approach to ensure that these strategies are consistent with clients' objectives and values, building resilient plans for long-term financial security and family unity. Moreover, the specifics of these strategies must comply with local rules and regulations.

By the end of this lesson, you will be able to recommend appropriate wealth management approaches for complex families.

Let's get started!

Divorce and Divorce Planning

Divorce is a significant life event that can have profound financial implications for complex families. Advisers need to provide comprehensive support to ensure that clients maintain financial stability, minimize tax burdens, and secure future assets. Divorce planning should be proactive, involving financial strategies and legal protections before, during, and after the divorce process.

Property Regimes and Division of Assets

Community Property vs. Separate Property

In community property jurisdictions (e.g., certain US states, parts of Europe), assets acquired during marriage are considered jointly owned and are generally split evenly on divorce. In contrast, separate property systems recognize that assets held before marriage, as well as gifts and inheritances acquired during marriage, remain the individual property of each spouse. Advisers should tailor asset strategies based on these legal principles, guiding clients on whether prenuptial or postnuptial agreements are necessary.

Marital Agreements

- **Prenuptial agreements:** These contracts are signed before marriage to outline the division of assets, debts, and financial obligations in case of divorce or death. They offer predictability in asset division but may not be universally enforceable, especially in community property jurisdictions.
- **Postnuptial agreements:** These agreements serve the same purpose but are established after marriage, adapting to any changes in financial circumstances.

A prenuptial agreement can protect premarital assets and specify the treatment of income or property acquired during the marriage. Postnuptial agreements can serve a similar function, clarifying ownership of new assets. Both agreements are particularly valuable for clients with substantial or complex asset holdings, such as family businesses or international properties. The elements of a typical prenuptial agreement for complex families are listed below.

- **Asset protection:** An individual's business and premarital assets remain separate property, exempt from division upon divorce.
- **Spousal support:** One party agrees to limited spousal support in the case of divorce, capped at a specified amount to prevent excessive obligations.

- **Inheritance protection:** When someone marries for the second time, assets intended for the children from their first marriage are explicitly excluded from marital property.
- **Future property acquisitions:** Any property acquired during the marriage that are solely funded by one individual remain their separate property.
- **Joint purchases:** Jointly acquired assets, like a shared home, are documented with ownership shares specified, ensuring the divorced spouse benefits from joint purchases.

Distribution of Assets

The distribution of assets—namely, marital residences, financial assets, and inheritances—frequently causes disputes during divorce. Their treatment hinges on the legal system under which the marriage falls, as well as any existing prenuptial or postnuptial agreements, and the jurisdiction overseeing the divorce. More details on the distribution and treatment of different assets is given below.

Marital Residence

Countries and their legal systems may have specific rules about property rights and occupancy, often favoring the spouse responsible for custodial childcare. It is vital to know whether the property falls under community or separate property laws and whether prenuptial or postnuptial agreements dictate its distribution. In certain cases, selling the property and splitting the proceeds might be the best option, especially if coownership is geographically impractical.

Financial Assets

Division of financial assets in divorce, including investments in family businesses, is normally determined by whether the local legal system follows community or separate property rules.

Pensions and Retirement Accounts

The treatment of pensions and retirement accounts varies across legal systems. Maintaining current beneficiary designations is important, as these normally override the terms of other documents, including wills.

Updating Beneficiary Designations

Keeping beneficiary designations up to date is crucial to avoiding probate because these normally override terms in agreements, including wills. Life insurance policies, including annuities, likewise require beneficiary updates to align with the divorce proceedings.

Inheritances

Treatment of inheritances varies based on when they are received and local jurisdiction. Civil law countries often have forced heirship rules that can influence asset distribution. In community property regimes, premarital inheritances are generally considered as separate property and are not subject to division between the spouses upon divorce. Other assets acquired before marriage are typically considered community property. In separate property regimes, typically all assets acquired before the marriage or through inheritance or gift are considered the sole property of the individual who received them, and they are not automatically subject to division in the event of divorce.

Liquidity and Cash Flow Management

Divorce often brings immediate financial obligations, such as legal fees, relocation expenses, and potentially spousal or child support. Advisers should work with clients to ensure liquidity by setting aside liquid assets or maintaining credit lines. This strategy helps clients avoid forced sales of long-term investments or illiquid assets, preserving their financial plans.

Example Strategy: Addressing Divorce in Blended Families

In a blended family scenario, a client may have remarried and has children from a previous marriage. Advisers should recommend that clients clearly outline asset division terms in marital agreements, as children from previous marriages may expect an inheritance. An adviser might suggest establishing a trust for the client’s children, funded by separate property, while using marital property to provide for the current spouse. This approach protects each party’s interests and reduces potential family conflicts during asset distribution.

Case Study: Asset Distribution in a Blended Family

John Reed, a 62-year-old successful real estate developer, is recently remarried to Emily, who is 45. This is John’s second marriage, and he has two adult children, Tom and Sarah, from his first marriage. John’s estate is valued at USD12 million, primarily composed of real estate and business interests. Tom and Sarah expect to inherit a significant portion of their father’s estate, while Emily has a modest personal income from her art business. John wants to ensure financial security for Emily but also wants to preserve an inheritance for his children.

Strategy Implementation

To meet these goals, John’s adviser recommends creating a prenuptial agreement, clearly delineating his premarital assets as separate property to ensure that they are not subject to division. Additionally, John establishes a trust funded by specific real estate properties and a portion of his business assets, naming Tom and Sarah as beneficiaries. This trust is structured

so that its contents are excluded from Emily’s claims upon John’s death. For Emily’s financial security, John designates marital assets, including their shared home and joint savings, as well as a life insurance policy that names her as the primary beneficiary.

Outcome

By clearly defining asset ownership and creating a trust for his children, John provides for both Emily and his children, minimizing potential conflicts. The arrangement, which must be structured to comply with all local laws and regulations, satisfies Tom and Sarah’s inheritance expectations while ensuring that Emily has a secure financial future without claims on the trust assets intended for John’s children.

Cohabitation

Cohabitation refers to the living arrangement in which two people, typically in a romantic or committed relationship, share a residence without being legally married. The financial and legal aspects differ by jurisdiction regarding any agreements made between the parties. Unlike married couples, cohabitants generally do not have automatic legal rights or obligations toward each other unless outlined in a contract, statute, or under certain common-law rules. Therefore, cohabiting individuals must be clear about how they intend to manage finances, property ownership, and share responsibilities to avoid complications in the event of separation. For cohabiting partners, especially those with shared financial commitments, wealth management strategies should ensure financial security and asset protection in the event the relationship ends.

Cohabitation Agreements

A **cohabitation agreement** that establishes a legal and financial framework for the relationship, by defining how assets and debts will be treated during cohabitation and in the event of separation or death, is particularly useful. Even though local laws may deem both partners jointly liable for debts, an agreement can provide additional clarity. Clarity in asset titling, or legal ownership, is essential to preserve each party’s intentions over time. The same applies to incurring debts. These agreements are valuable for delineating ownership of joint purchases, such as real estate, vehicles, or investments. Without such agreements, cohabitants may encounter disputes over asset division, especially in jurisdictions where common-law marriage is not recognized.

The elements of a typical cohabitation agreement for complex families include the following:

- **Asset ownership and contributions:** Specifies each partner’s percentage contribution to the down payment and mortgage, clarifying that each owns a proportional share of the property or asset.
- **Property division upon separation:** If separated, a formula divides the home’s (or other asset’s) value based on each partner’s contributions to payments, improvements, and shared expenses.
- **Household expenses:** Defines the sharing of household expenses (e.g., utilities, repairs) based on each partner’s income, providing clarity and avoiding misunderstandings.
- **Asset protection:** Each partner retains individual ownership over certain assets (e.g., retirement accounts) that are exempt from claims by the other in case of separation.
- **Medical and financial powers of attorney:** Provides each partner limited authority to make medical and financial decisions on the other’s behalf in emergencies.

Titling and Ownership of Assets

Advisers should recommend titling assets based on individual ownership contributions, especially for significant assets like real estate. Joint ownership with rights of survivorship may be suitable for some couples, while tenancy-in-common arrangements (which allow each partner to designate beneficiaries for their share) may be better suited for others. Proper titling ensures that each partner’s intentions are legally documented, protecting against unexpected legal claims or disputes in the future.

Estate Planning and Beneficiary Designations

Because cohabiting partners may not have automatic inheritance rights, advisers should guide clients in estate planning. Wills, trusts, and beneficiary designations on retirement accounts or life insurance policies are essential for ensuring that assets pass as intended to the surviving partner. Advisers should also discuss options for creating a trust, which provides greater control over asset distribution and may help avoid probate costs and delays.

Example Strategy: Protecting Assets in a Long-term Cohabiting Relationship

Consider a cohabiting couple in which case one partner is significantly wealthier. The wealthier partner may wish to protect assets in case of separation. Advisers should recommend creating a cohabitation agreement and titling major assets individually. If the wealthier partner also intends to provide for the other partner in case of death, establishing a revocable trust—assuming they reside in a jurisdiction that recognizes trusts (i.e., common law jurisdiction)—with the surviving partner as beneficiary can streamline asset transfer while preserving control during the wealthier partner’s lifetime.

Case Study: Cohabitaion

Alex Martinez, 48 years old, is a successful tech engineer with a net worth of USD8 million, has been in a relationship with Taylor, 39 years old, a freelance graphic designer with a fluctuating income. They live in London and have cohabited for five years but do not plan to marry. Although Alex is committed to financially supporting Taylor if something happens, he wants to protect his assets if their relationship ends. They recently purchased a home together, with Alex contributing 80% of the down payment.

Strategy Implementation

Alex’s adviser recommends drafting a cohabitation agreement that outlines each partner’s contributions to the property and stipulates Alex’s ownership share proportional to his financial investment. The agreement also specifies how assets like the home would be divided upon separation, ensuring that Alex retains his primary share. To ensure Taylor’s financial security, Alex establishes a revocable trust that designates Taylor as the beneficiary of USD500,000 from his investment portfolio. Additionally, Alex gives Taylor limited powers of attorney for health care and financial matters.

Outcome

This arrangement protects Alex’s assets while providing clarity if the relationship ends. The trust ensures that Taylor has support upon Alex’s death, and the cohabitation agreement minimizes the risk of legal disputes. Both partners feel secure, knowing the terms are documented and fair.

Same-Sex Couples

Wealth planning for same-sex couples depends significantly on whether or not same-sex marriages are legally recognized in a particular jurisdiction. The Pew Research Center reports that marriage between same-sex partners is legally recognized in more than 30 countries, predominantly in Europe, North America, South America, and Australia.

In these jurisdictions, wealth planning for married same-sex couples is largely similar to that of traditional couples. In regions where same-sex relationships lack legal recognition, coordinating financial, legal, and tax elements becomes challenging and, in these cases, requires considerable discretion and sensitivity from a wealth manager.

In the United States, for example, same-sex married couples are entitled to the same tax exemptions as heterosexual spouses and can now generally leave an unlimited amount of assets to their surviving spouse without triggering a federal estate tax, as long as both are US citizens. Importantly, community property regimes can override the terms of a will (e.g., forced heirship) for a partner in a same-sex marriage in the same way as for traditional couples.

In contrast, in jurisdictions where same-sex marriage is not recognized or where same-sex couples are cohabitating without formalizing their relationship, wealth planning becomes more complex. In these scenarios, the considerations largely align with those for cohabitating couples discussed earlier, including the importance of asset titling and cohabitation agreements to secure each partner’s financial interests.

Example Strategy: Estate Planning for Same-sex Couples in Nonrecognizing Jurisdictions

For same-sex partners in a jurisdiction without legal recognition, a wealth adviser might recommend a combination of clear asset titling, a cohabitation agreement, and a trust. If one partner wishes to ensure the other’s financial stability, they could establish an irrevocable trust, funding it with specific assets intended for the partner. This approach ensures that assets are directed according to the client’s wishes and protected from legal challenges.

Case Study: Wealth Management Strategies for Same-sex Couples

Liam, 52 years old, an expatriate from the United Kingdom, and Marc, 47 years old, a native of a country where same-sex relationships are not legally recognized, have been in a committed relationship for 15 years. They live together in Marc’s home country, where Liam has a successful consulting business. With no legal protections in place, Liam is concerned that Marc might face challenges in accessing their shared home and other assets if he dies unexpectedly. Marc relies on Liam financially and would need support to maintain his lifestyle if anything were to happen to Liam.

Strategy Implementation

Liam’s adviser recommends several key steps to secure Marc’s future. First, Liam and Marc establish a cohabitation agreement detailing asset contributions and clarifying ownership rights in their shared residence. To ensure Marc’s financial support after Liam’s passing, Liam funds an irrevocable trust with USD1 million and designates Marc as the beneficiary. This trust provides Marc with a steady income stream, bypassing the need for legal inheritance claims. Additionally, Liam updates his will to leave Marc specific personal assets and assigns Marc limited powers of attorney for health care, ensuring that his partner can make decisions in case of an emergency.

Outcome

With these protections in place, Liam ensures that Marc will be financially secure and legally protected, even though their relationship lacks formal recognition in Marc’s country. The irrevocable trust offers Marc financial independence without the

risk of legal claims, and the cohabitation agreement solidifies Marc's rights to their shared property. This arrangement provides both partners with peace of mind, knowing their wishes are documented and protected.

Up Next

You have now completed Lesson 2: Advising Complex Families. We hope this lesson has provided you with valuable insight into the profound financial implications of complex family structures and the need for advisers to provide comprehensive support to ensure clients maintain financial stability, minimize tax burdens, and secure future assets.

In the next lesson, you will explore advising entrepreneurs and business owners. Only a small portion of the ultra-high-net-worth population depends solely on inherited wealth. This trend underscores the critical need for tailored financial strategies for business owners, given their distinct wealth characteristics.

Lesson 3: Advising Entrepreneurs and Business Owners

Welcome to Lesson 3 of Module 1!

Entrepreneurship is a major driver of wealth creation and an essential consideration within wealth management. For ultra-high-net-worth (UHNW) individuals—those with more than USD30 million (equivalent) in assets—entrepreneurial activity often plays a key role in wealth accumulation and diversification. According to a report by Altrata, 73% of UHNW individuals globally possess entirely self-made wealth, with an additional 21% having wealth that combines both self-made and inherited components. Only a small portion of the UHNW population, about 7%, depends solely on inherited wealth (see Exhibit 1). These trends underscore the critical need for tailored financial strategies for business owners, given their distinct wealth characteristics.

Source of Wealth for the Global UHNW Population

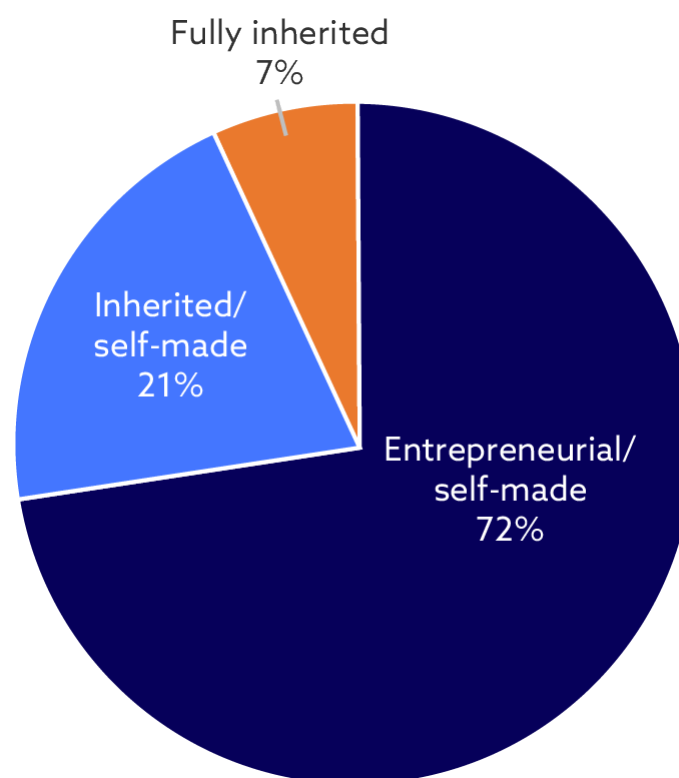


Exhibit 1: Source: World Ultra Wealth Report, 2023, Altrata.

Business owners require specialized wealth management approaches because of the often-concentrated nature of their assets in a single company or a few core investments.

These concentrated positions can expose entrepreneurs to significant financial risks if not properly managed. Furthermore, the financial and emotional ties to a business can complicate decisions regarding diversification, liquidity, and succession planning. This lesson will explore the challenges and opportunities associated with advising business owners on managing concentrated positions, mitigating risks, generating liquidity, and planning for the transfer of wealth.

Entrepreneurs and business owners face a distinctive set of considerations, including

- managing the risks associated with concentrated business positions;
- planning and decision-making strategies that align with their goals and address business-specific constraints; and
- developing tailored approaches to mitigate and transfer risks while ensuring their legacy is secure.

We will address these components and examine strategies for managing not only business-focused concentrated positions but also concentrated real estate holdings, which are often closely linked to business ownership.

By the end of this lesson, you will be able to recommend appropriate wealth management approaches for entrepreneurs and business owners.

Let's get started!

Concentrated Positions

For many business owners, the majority of their wealth is typically tied up in one or more primary assets, such as

- wholly owned or closely held private businesses,
- publicly traded stocks, or
- commercial or investment real estate.

A **concentrated position** describes a holding that, because of its low tax basis and implicit large potential capital gains or personal association with the client, inhibits the development of an efficient, diversified portfolio. In the wealth management

industry, most advisers consider 25% (or more) of a client’s net worth tied up in a position, such as a privately held business, as very concentrated, although this proportion can vary. Concentrated positions pose distinct risks because of limited diversification, making the development of targeted risk management strategies essential.

Example: Evaluating Risks and Tax Implications

For instance, when advising clients on concentrated positions, wealth managers evaluate both associated risks and tax implications, focusing on three key aspects. First, there is wealth concentration; second, the low cost basis and high unrealized capital gains make diversification expensive; and, third, risk management complexities make it crucial to strategize carefully to maintain both wealth and tax efficiency.

This section covers three core components of managing concentrated positions effectively, namely

- identifying the risks associated with concentration;
- developing goals-based planning strategies; and
- understanding common investment constraints.

Each of these elements is essential in advising clients on the complexities of concentrated holdings. Blake Curle further explains how the type of client, and the origin of their wealth, can influence the approach used in managing that relationship in the Practitioner Perspectives video on the course online.

Risks of Concentrated Positions

Entrepreneurs and business owners with large concentrations in one or a few assets face significant risks that, if not managed properly, could disrupt financial stability and wealth growth. These risks are typically divided into two types; systemic and nonsystemic risks.

Systematic Risk

Systemic risk is associated with market-wide factors, such as economic cycles, inflation, and interest rates, which affect all investments. Concentrated positions, especially in private businesses, expose the client to heightened systematic risk because of their limited diversification; such positions bear added brunt of economic cycles and external factors.

Nonsystematic Risk

Nonsystemic risk is idiosyncratic and is specific to the concentrated asset, such as a change in the industry landscape, regulatory shifts, or company-specific risks. In privately held businesses, nonsystematic risks might include a narrow business focus, restricted financing alternatives, or operational risks tied to family management. Because nonsystematic risk is specific to the company, it cannot be managed by traditional diversification strategies.

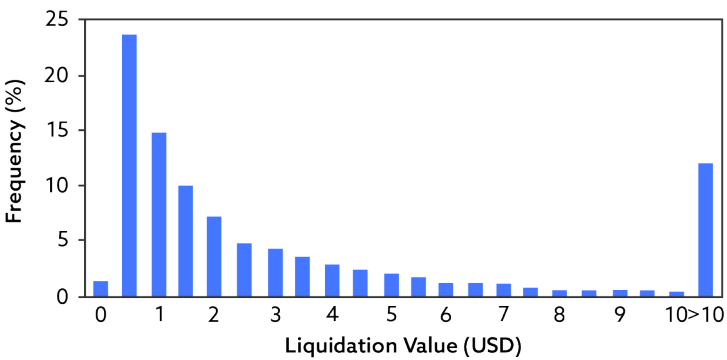
Monte Carlo Analysis of Two Equity Positions

Exhibit 2 provides a comparative analysis of the potential outcomes when holding a concentrated position versus selling it and reinvesting the proceeds in a diversified equity portfolio. This exhibit compares the distribution of potential outcomes using Monte Carlo analysis of two alternatives:

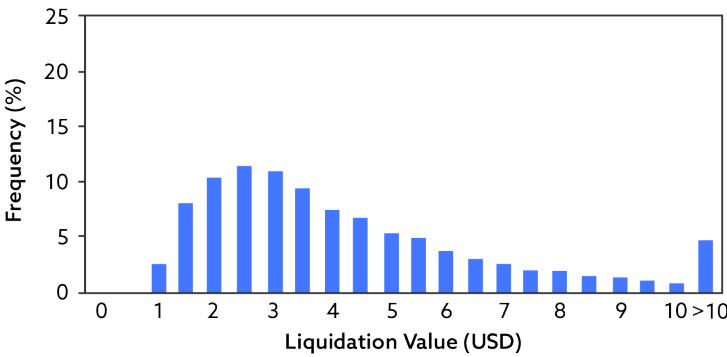
- The first alternative holds a concentrated position with an expected return of 10%, 40% volatility, and zero cost basis and pay capital gains tax at the end of 20 years.
- The second alternative sells the concentrated position today, pays 20% capital gains tax today, reinvests the after-tax proceeds in a diversified equity portfolio with the same 10% expected return but with just 17% volatility, and pays capital gains tax at the end of 20 years.

Monte Carlo Analysis of Holding a Concentrated vs. Diversified Position
Probability Distributions of After-Tax Liquidation Value

Panel A: USD1.00 in Single Security with Zero Cost Basis and 40% Volatility



Panel B: USD0.80 in Diversified Portfolio with USD0.80 Cost Basis and 17% Volatility



Measure	A	B
Expected final value	USD5.3	USD4.2
Median value	USD1.6	USD3.3
Probability of USD1 or less	39%	2%
Probability of USD2 or less	57%	21%

Note:
Annual Expected Return = 10%; Dividends on Stock = 0; Dividends on Diversified Portfolio = 1.2%; Horizon = 20 Years; Terminal Liquidation.
Exhibit 2: Source: CFA Institute.

Exhibit 2 shows the volatility distribution (i.e., frequency) across the liquidation value “buckets.” It demonstrates that holding a concentrated position carries both a higher potential upside return, and a significantly higher risk of wealth reduction. Specifically, the concentrated asset position (Panel A) has a 39% chance of losing money, whereas the diversified position (Panel B) has a less than a 2% chance of losing money.

This analysis illustrates that, although a tax minimization strategy (Panel A) may seem appealing, it is not necessarily optimal: Higher volatility from a concentrated position can lead to larger losses. Moreover, although the higher positive skew creates a higher expected value for the concentrated position (USD5.3 versus USD4.2), the median outcome is much higher for the diversified position (USD3.3 versus just USD1.6).

Objectives Associated with Managing the Risks of Concentrated Positions

Key Objectives to Manage Associated Risks

Wealth managers typically guide clients with concentrated positions toward several key objectives to manage associated risks, described below.

Reduce Total Risk

Managing both systematic and nonsystematic risks is essential, as concentrated positions tend to increase overall portfolio risk. Strategies often involve diversification, financial hedging, and structured monetization.

Address Idiosyncratic Risk

Although diversification can mitigate idiosyncratic risk, many entrepreneurs are hesitant to sell a long-held business asset. Wealth managers should help identify and manage specific risks associated with retaining the concentrated asset, such as operational or regulatory risks.

Generate Liquidity

Concentrated positions are often illiquid, which can lead to cash flow challenges for clients. Wealth managers must develop liquidity strategies that allow clients to cover expenses and fund new investment opportunities without disrupting business ownership or continuity.

Manage Tax Obligations

Assets with low-cost bases, particularly those that have appreciated significantly over time, come with considerable tax implications upon sale. Wealth managers focus on minimizing the tax impact, potentially by structuring staggered sales or engaging in other tax-efficient planning.

Transfer Wealth

For many business owners, the goal is to pass the business to the next generation. Wealth managers can support this objective by implementing transfer strategies that align with the owner's legacy goals and family needs.

Goals-Based Planning with Concentrated Positions

Goals-based planning provides a framework to align asset allocation with an owner's financial goals, especially when emotional or legacy considerations are involved. This approach organizes assets into "risk buckets" to match different financial goals with appropriate risk levels:

- **Personal risk bucket:** This bucket is focused on preserving essential lifestyle needs, providing a stable source of funds through low-risk assets such as cash, government bonds, and the primary residence.
- **Market risk bucket:** Aimed at maintaining the owner's lifestyle over the long term, this bucket holds diversified assets such as stocks and bonds, targeting average risk-adjusted market returns.
- **Aspirational risk bucket:** This bucket contains high-risk assets, such as private business holdings, concentrated stock positions, and real estate and alternative assets, which are used to pursue ambitious wealth growth goals.

This framework allows wealth managers to discuss investment risks with clients, specifically those with concentrated assets, and serves as a reference for decisions on selling or monetizing positions. One metric to consider in the goal-based planning framework is whether the after-tax proceeds from monetization, combined with other personal risk and market risk bucket assets, will cover lifetime spending needs. This amount is the owner's primary capital and includes allocations to their personal and market risk buckets.

To determine the optimal timing for selling or monetizing a concentrated asset position, wealth managers often guide clients through five crucial questions:

- What are the projected lifetime expenditures and aspirations after selling or monetizing the concentrated asset?
- How much immediate capital is needed to confidently fund these lifetime expenditures without financial risk?
- What is the current market value of the concentrated position, and how does it compare across various valuation approaches?
- Does monetizing the asset sufficiently close any gap between existing capital and required primary capital?
- What is the value of all liquid assets and other assets held outside of the concentrated position?

For owners of concentrated assets, a sale or monetization should at least meet their primary capital requirements. Goals-based planning allows wealth managers to first identify each client's concentration risk and then to develop a framework to evaluate if a sale or monetization will achieve financial objectives.

Case Study: A Business Owner and the Concentrated Position Decision-Making Process, Part 1

Fred Garcia (a 60-year-old CEO of an aircraft parts business company he founded 30 years ago) consults his wealth manager, Bill Wharton, for advice on his assets, valued at USD50 million. This consultation comes after Garcia's son, initially expected to inherit the business, chose a different career path, prompting Garcia to consider selling or monetizing his business. Garcia's assets include the following:

- A business worth USD40 million.
- Investments in commercial real estate worth USD5 million.
- An equity and bond portfolio, 50% in each asset class, worth USD3 million.
- Cash and short-term treasuries held in different accounts worth USD1 million.
- An unmortgaged primary residence worth USD1 million.

Strategy

Wharton suggests categorizing Garcia's assets into three risk buckets and aligning them with corresponding investment objectives for a comprehensive financial assessment, as shown in Exhibit 3.

On an aggregate basis, these risk buckets are distributed as follows:

- **Personal risk:** USD2 million (4%)
- **Market risk:** USD3 million (6%)
- **Aspirational risk:** USD45 million (90%)

Garcia’s Wealth Distribution Shown in Risk Buckets (USD millions)

Personal risk (4%) protective assets		Market risk (6%) market assets		Aspirational risk (90%) aspirational assets	
Primary residence (unmortgaged)	1	Equities	1.5	Family business	40
Cash/short-term treasury bonds and notes	1	Intermediate- and long-term fixed income	1.5	Commercial real estate	5
Total	2	Total	3	Total	45

Exhibit 3: Source: CFA Institute.

Outcome

After evaluating Garcia’s projected lifetime expenses and considering possible market shocks, tax hikes, inflation, and unexpected longevity, Garcia and Wharton conclude that a primary capital requirement of USD35 million would sufficiently maintain Garcia’s lifestyle with minimal risk of depleting funds. Of this, USD20 million can be allocated to the “personal” risk bucket and USD15 million can be allocated to the “market” risk bucket. Subsequently, Garcia then discusses with Wharton potential strategies to monetize his business.

Assessment of Capital Requirements and Risk Allocation

After assessing Garcia’s lifetime spending needs, including forecasting the projected lifetime expenditures and aspirations after monetizing the business, Wharton calculates the capital required to sustain his lifestyle with minimal risk of depleting funds. Wharton allocates assets to Garcia’s personal and market risk buckets, computing his primary capital requirement. Exhibit 4 shows an extended balance sheet categorized by risk buckets: personal risk assets in dark blue, market risk assets in green, and aspirational risk assets in light blue. Notably, Garcia’s need for primary capital of USD35 million, or spending needs for both personal and market risk buckets, significantly exceed the assets currently allocated to these respective risk buckets of USD5 million.

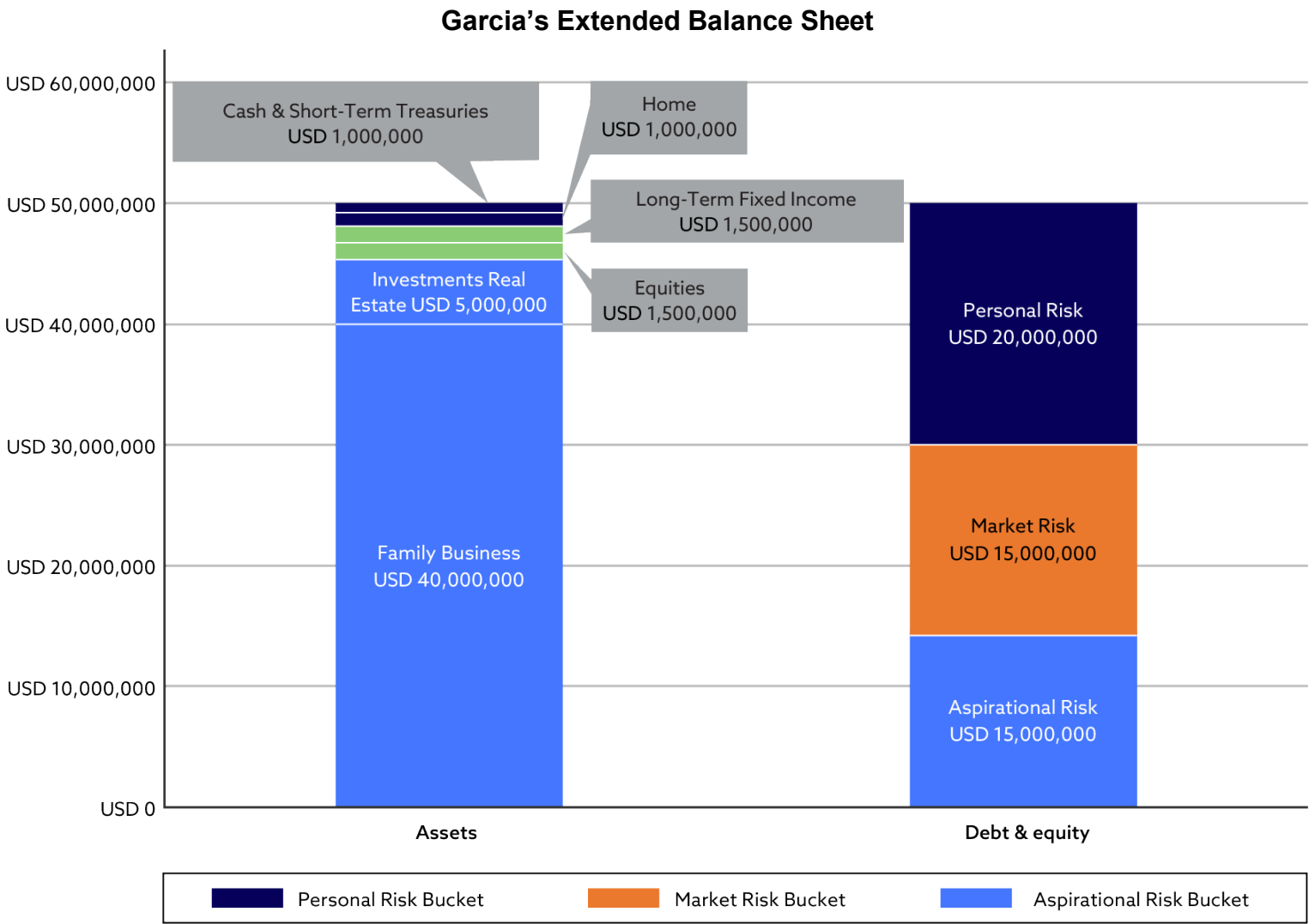


Exhibit 4: Source: CFA Institute.

Risk Misalignment

In terms of the goals-based planning framework, Garcia is facing a risk mismatch because so much of his wealth is concentrated in aspirational investments.

Currently, 90% of his total wealth, or USD45 million, is invested in his family business and commercial real estate, both of which are categorized in the aspirational risk bucket. For someone more than 60 years old, this constitutes significant risk, particularly now that his son has opted out of taking over the business. Garcia’s extended balance sheet reveals a risk mismatch: USD30 million of Garcia’s required USD35 million primary capital (represented in dark blue/personal risk bucket and green/market risk bucket) are currently assets in the aspirational risk bucket (light blue). This misalignment signifies a concentrated business and real estate investment strategy that is too aggressive relative to Garcia’s primary capital goals.

Primary Capital Requirement's Role in Choosing a Course of Action

Understanding his current risk misalignment clarifies for Garcia that selling or monetizing his business needs to yield a minimum of USD30 million in after-tax proceeds. These funds would be allocated to his personal and market risk buckets, adequately covering his lifetime spending needs. In simpler terms, calculating Garcia's primary capital requirement should help him realize that such a transaction could secure his financial independence.

Investment Constraints Related to Concentrated Positions

Entrepreneurs with concentrated positions face various constraints that complicate decision making and diversification efforts. Following are some of the key constraints.

Lack of Liquidity

Private business and real estate holdings are usually illiquid, making it difficult to access cash for expenses or investment opportunities.

Time Horizon

Business owners' investment horizons are often extended, particularly if they plan to pass the business down to the next generation. This affects the timing of diversification strategies and tax management.

Control Preferences

Business owners frequently desire to maintain control over their companies, often because of legacy considerations or personal attachment. This preference can limit actions like selling shares or bringing in new partners.

Regulatory Restrictions

Executives and founders might face restrictions on selling or transferring shares because of contractual obligations or securities regulations, particularly if shares are part of compensation packages.

Psychological Attachment

Emotional connections to a business, especially in family-owned or long-held enterprises, can result in cognitive biases, such as the endowment effect or loyalty bias, that make diversification difficult.

Wealth managers working with clients in these situations must navigate these constraints carefully, balancing the need for diversification with the owner's personal and professional objectives. Through effective planning, advisers can identify and address these constraints, integrating solutions that support both the owner's financial goals and their personal vision for the future of their business or asset.

Strategies for Managing Private Company Concentrated Positions

For business owners, managing a concentrated position in a private company involves a distinct set of strategies that balances liquidity needs, tax considerations, control, and legacy goals. Unlike publicly traded assets, private businesses lack immediate marketability, requiring well-structured, creative solutions to achieve partial or full liquidity without forfeiting control. Wealth managers help clients explore these strategies, which fall into several broad categories, as outlined below.

Equity Sale

Selling a portion or all of the company to a third party, such as a strategic or financial buyer, is one of the most direct ways to generate liquidity. This sale might involve a strategic buyer looking to integrate the business into its operations for synergies or a financial buyer, such as a private equity firm, interested in adding value through operational improvements or other efficiencies.

Internal Sale or Transfer

Many business owners prefer to retain ownership within the family or with loyal employees. Selling to internal parties, such as through a management buyout (MBO) or an employee stock ownership plan (ESOP), allows the owner to pass the business along without selling to an outside party. An MBO typically involves a team of senior managers or employees buying out the owner, sometimes using financing from the owner, such as a promissory note, to fund the purchase. ESOPs offer another option by allowing employees to become partial owners over time through shares allocated to a trust. For example, ESOPs in the United States provide tax benefits and ensure long-term employee engagement, making them a viable succession planning tool for family-owned or closely held businesses.

Recapitalization

Recapitalization involves restructuring a company's capital to access liquidity without giving up full ownership. In a leveraged recapitalization, a private equity firm usually invests in the company's equity and coordinates debt financing with senior and mezzanine lenders. The business owner, in turn, cashes out a portion of their stock, retains a minority ownership, and cedes

overall control while often maintaining operational duties. This approach enables business owners to benefit from liquidity and potential tax benefits while maintaining significant influence over business operations. Recapitalization is particularly suitable for owners looking to generate liquidity and retain a stake in a growing business.

Divestiture of Noncore Assets

Many private businesses own additional assets, such as real estate holdings, partnerships, or noncore subsidiaries. Selling or spinning off these assets can provide liquidity while allowing the owner to focus on core business operations. Divestiture enables business owners to simplify their asset base and reinvest proceeds into their primary business or other opportunities.

Initial Public Offering

For larger businesses, going public provides significant liquidity and prestige by listing the company on a public exchange. An initial public offering (IPO), however, involves substantial regulatory scrutiny, compliance costs, and the owner’s loss of control over some aspects of the business, as public shareholders gain influence. Although suitable for some companies, this option requires a strong business infrastructure and management team capable of navigating public market demands.

Debt Financing

Business owners can secure liquidity by taking on additional debt, such as senior or mezzanine debt financing, to unlock cash flow without diluting ownership. Although this approach increases the company’s leverage, it can be an effective option for businesses with strong cash flows and growth potential, allowing them to continue growing without relinquishing equity.

Exhibit 5 summarizes these liquidity-generation methods.

Financial Tool Set to Generate Full or Partial Liquidity from a Private Business

Category	Strategy	Type/Details
Equity Sale	Sale to third-party investor	- Strategic buyer - Financial buyer - Other investor
	Sale to insider	- Management, MBO - Employees, employee stock ownership plan - Sale or transfer to next generation of family
	Recapitalization	- Issuing or selling new shares - Increasing dividends (reduce internally generated capital)
	Divestiture of non-core assets	- Real estate holdings in the business - Exit investments and partnerships
	IPO	Enter public markets for larger companies
Monetize without Equity Sale	Personal line of credit against company shares	- Puttable debt - Non-recourse loan
Debt	Senior debt	
	Mezzanine debt	Subordinate to other debt including senior debt

Exhibit 5: Source: CFA Institute.

Risk Avoidance by Selling the Business

Selling a private business outright is one of the most straightforward ways to diversify and reduce the risks associated with concentrated ownership. Although a complete sale may achieve diversification and liquidity goals, it also carries several key considerations, including tax implications, choice of sale strategy, and long-term objectives for the business and family.

Tax Consequences of Selling the Business

An outright sale of a highly appreciated business often results in significant capital gains taxes because of the high value accumulated over time relative to the cost basis. This tax liability can make owners hesitant to proceed with a sale, as it may erode a substantial portion of the transaction’s proceeds. To mitigate these consequences, owners may consider strategies to defer or minimize tax obligations over time.

In certain jurisdictions, like the United States, holding the asset until death allows heirs to benefit from a step-up in basis, which effectively resets the tax cost basis to the asset’s higher market value at the time of death. By potentially avoiding capital gains tax, this approach can have a positive impact on the intergenerational transfer of a business with a low tax basis.

Timing risk can also be an issue. Selling an asset in multiple tranches over time can mitigate this risk, as can tax-loss harvesting strategies, which allow for the offset of capital gains with capital losses. In jurisdictions with progressive tax rates on capital gains, spreading out the recognition of capital gains can further reduce tax liabilities. Divesting a concentrated ownership structure incrementally over a period of time can mitigate tax impacts and distribute the tax obligation more evenly over time.

The following case provides an example of how different timing structures can affect overall tax liability. The progressive capital gains tax system assesses taxes on a scale based on the gains generated, and it often favors long-term gains.

Case Study: Progressive Capital Gains Tax System

Consider a concentrated position with an unrealized capital gain of EUR500,000. The applicable capital gains tax rates are 5% for gains up to EUR25,000, 10% for gains between EUR25,001 and EUR50,000, and 30% for gains over EUR50,000.

Alternative 1: Immediate Outright Sale

The tax liability totals EUR138,750 under a scenario of an immediate outright sale. The tax breakdown is as follows:

- The first EUR25,000 is taxed at 5%, resulting in EUR1,250.
- The next EUR25,000 is taxed at 10%, adding EUR2,500.
- The remaining EUR450,000 is taxed at 30%, contributing EUR135,000.

Alternative 2: Staged Sale Over 10 Years

In this scenario, the total gain of EUR500,000 is spread out evenly over 10 years, or with an annual capital gain of EUR50,000 per year. The yearly tax amounts to EUR3,750, calculated as follows:

- The first EUR25,000 is taxed at 5%, or EUR1,250 annually.
- The remaining EUR25,000 is taxed at 10%, adding EUR2,500 annually.

Multiplied over 10 years, the total tax liability would be EUR37,500, which is far less than the EUR138,750 under the immediate outright sale scenario

Sale Strategies

Several sale strategies can meet the objectives of business owners, depending on whether they prioritize maximizing sale proceeds, preserving legacy, or maintaining a degree of control, as explained below.

Strategic Buyers

Competitors or complementary businesses often act as strategic buyers who are interested in synergies or expanded market share. Strategic buyers generally offer premium prices because of these synergies, making this option ideal for owners prioritizing immediate liquidity and the highest possible valuation. Selling to a competitor, however, could mean a shift in the business’s mission or values, so legacy-focused owners might have reservations.

Financial Buyers

Private equity firms or investment funds may acquire stable, growth-oriented companies and often propose value-creation strategies that align with the original owner’s objectives. Financial buyers typically require the seller to retain a minority stake, allowing the owner to participate in the company’s future growth. This option balances liquidity and legacy preservation, as financial buyers may align with the owner’s strategic vision.

Management Buyouts

Selling to a team of senior managers or key employees can offer continuity, as these individuals are already invested in the business’s success. An MBO often typically involves the seller financing a portion of the transaction or leveraging company assets to fund the buyout. For business owners interested in passing the business to a loyal team, an MBO can both provide liquidity and offer a continued role in the business. The owner, however, must consider the ability of the management team to assume operational and financial responsibilities effectively.

Leveraged Recapitalizations

This method enables owners to retain partial ownership while extracting significant liquidity from the business. In a leveraged recapitalization, a private equity firm or other financial partner provides financing to buy out a portion of the owner’s shares. The owner receives cash proceeds, retains a minority interest, and typically retains some involvement in running the business. This option is popular among middle-market business owners seeking liquidity without a complete exit, as it allows them to continue contributing to the company’s growth.

Initial Public Offering

An IPO is a possible alternative for companies in investor-favored industries with strong growth trajectories. Although going public incurs substantial costs, the potential rich valuation often outweighs them. The IPO process, however, eliminates the privacy and the autonomy many successful entrepreneurs and business owners value. As the CEO of a public company, the owner faces intense scrutiny and must adhere to investors’ short-term financial expectations. An IPO is generally not suitable for owners looking for a quick exit; instead, it serves as a growth financing mechanism for those planning to stay actively involved in the business for an extended period. Moreover, minimum size requirements must be met to make an IPO attractive to investors and to make it cost effective.

These sale strategies offer flexibility in meeting the financial and personal goals of business owners, ensuring that liquidity needs are balanced with ownership preferences and legacy considerations.

Sale or Gift to Family Member or Next Generation

Business owners who prioritize family legacy may consider transferring ownership to a family member. Transfers can be structured as gifts, which may provide tax benefits, or as structured sales financed by promissory notes.

Gifting

Business owners who want to pass down ownership can gift shares gradually, taking advantage of gift tax exclusions. This strategy is most effective when the owner has sufficient liquid assets to sustain their lifestyle independently.

Structured Sales to Family Members

In cases in which the family successor lacks the liquidity to purchase the business outright, the owner can finance the sale through the purchase of a promissory note issued by the successor. This structured sale offers the successor an extended payment period, providing the next generation with time to grow into the role while gradually assuming full ownership.

The optimal transfer strategy will depend on factors such as family residency, business valuation, and tax implications, all of which require guidance from legal and tax advisers to ensure compliance with regulatory requirements and family goals.

Considerations in Evaluating Different Sales Strategies

The value of a privately held company can vary based on the chosen exit or monetization strategy. Unlike public companies with established markets, private firms require a market to be created, and potential buyers identified, driven by the potential buyers’ valuation perspectives. In evaluating different strategies, the objective should be to maximize the after-tax proceeds, subject to achieving the owner’s goals relating to legacy and other nonmonetary considerations, that are available to the business owner to reinvest as opposed to simply maximizing the sales price. Astute transactional tax planning and structuring is extremely important and can result in significant tax savings for the owner.

Case Study: A Business Owner and the Concentrated Position Decision-Making Process, Part 2

Continuing with the previous example, Fred Garcia, advised by his wealth manager Bill Wharton, has determined that either selling the business to a strategic buyer or conducting a recapitalization would meet his USD35 million capital need. The firm engaged to evaluate the various exit options finds the following:

- Capital gains are currently taxed at 15%, but an impending capital gains tax hike is expected in Garcia’s country next year.
- Garcia aims to spend more time to his family.
- Garcia highly values his role as the CEO of an aircraft parts business.
- Garcia’s cost basis in the company is zero.

With additional capital, Garcia believes his company could triple earnings within a few years. A private equity firm with holdings in the aircraft parts business shares Garcia’s optimism about the potential growth of the company and is ready to finance a recapitalization on favorable terms. Garcia decides on the recapitalization, receiving 80% of the USD45 million value of the company (including the real estate), or USD36 million, in cash from the private equity firm. After paying the capital gains tax of USD5.4 million, Garcia invests USD10 million of the proceeds in personal risk bucket assets (such as cash, short-term fixed income, and treasury inflation-protected securities, TIPS), and the remaining USD20.6 of after-tax proceeds is added to his market risk bucket assets (such as long-term/corporate fixed-income assets, equities, and alternative assets).

Strategic Sale vs. Recapitalization

Selling to a strategic buyer would benefit Garcia by freeing him from daily operational stress, enabling more family time, and likely yielding him the highest immediate proceeds while avoiding upcoming tax hikes. Conversely, a recapitalization allows Garcia to keep his cherished CEO role and raises the capital needed for growth in earnings and company value, while providing liquidity to fund his personal risk and market risk buckets.

Monetized Amount and Retained Stake Value After Recapitalization

The (after-tax) amount monetized by the recapitalization is calculated as follows:

(Firm valuation – Cost basis) × Percent of equity sold × (1 – Tax rate)

Equation 4

=(USD45 million – 0) × 0.80 × (1 – 0.15)

=USD30.6 million, which is the amount monetized

Equation 4a

The value of Garcia’s remaining 20% stake is USD45 million × 20% = USD9 million before any possible valuation discounts for the lack of control or limited marketability of the shares.

Evaluation of Primary Capital Requirements and Post-recapitalization Asset Allocation

The recapitalization will fulfill Garcia’s primary capital requirements of USD35 million. After the transaction, his personal risk bucket will increase to USD12 million, consisting of the original USD2 million plus an additional USD10 million from the recapitalization, totaling USD12 million. The market risk bucket will increase to USD23.6 million, consisting of the USD3 million stock and bond portfolio plus the remaining USD20.6 million from the recap, totaling USD23.6 million. Thus, Garcia’s primary capital, the sum of the personal risk and market risk buckets, will be USD35.6 million, which is slightly more than his primary capital requirements.

Exhibit 6 shows the allocation of Garcia’s wealth after the recapitalization with some assumed asset allocations of the invested proceeds.

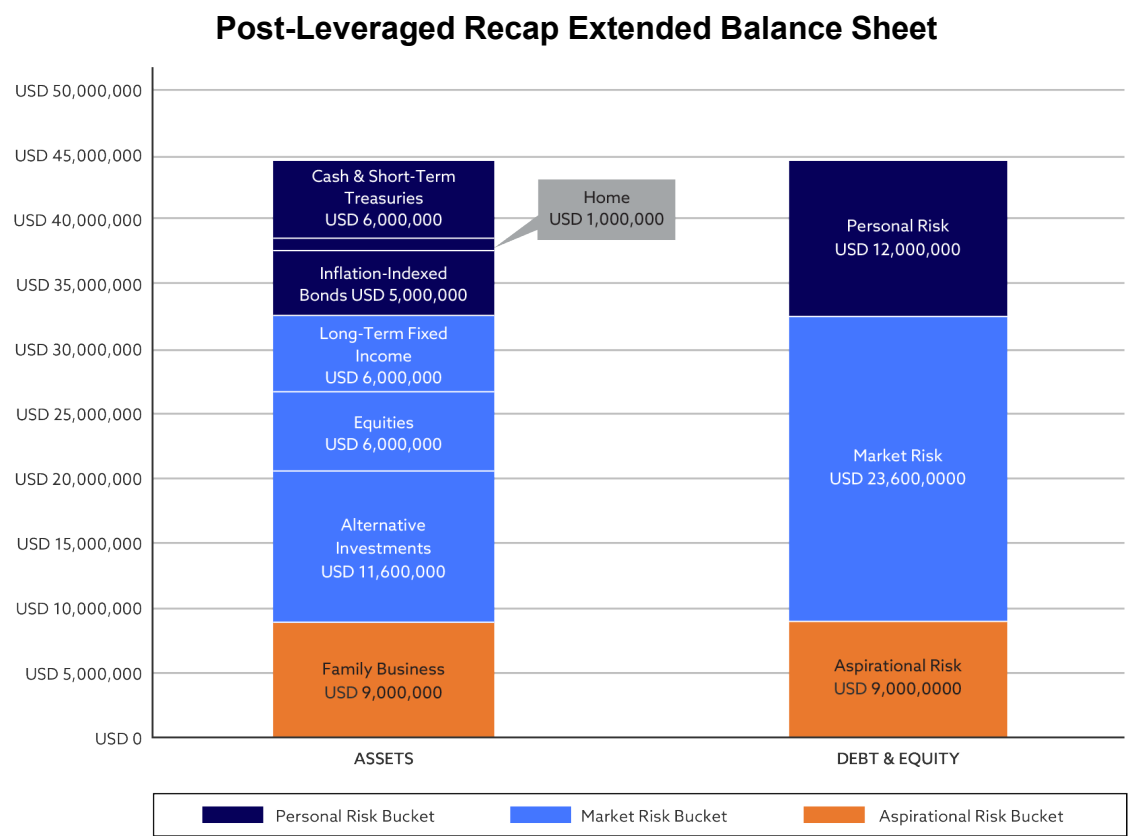


Exhibit 6: Source: CFA Institute.

This new allocation more than adequately covers Garcia’s spending needs in both the personal risk and market risk buckets. Garcia’s net worth on paper has declined 10.8%, from USD50.0 million to USD44.6 million, as a result of capital gains realization and portfolio realignment decisions. Moreover, Garcia’s risk allocations based on the new after-tax portfolio value of USD44.6 million have changed: 27% to personal risk, 53% to market risk, and only 20% to aspirational risk.

Possible Future Management Objectives

With the capital the private equity firm may add through equity and debt infusions, if growth expectations are realized, the recapitalized private equity firm may seek to exit from its investment by either IPO or selling out to a strategic buyer several years down the road. This second exit could be profitable for Garcia if growth expectations are indeed realized, and he continues to retain an ownership stake.

Strategies for Managing Concentrated Real Estate Positions

Families whose wealth is predominantly in real estate holdings face distinct challenges and opportunities related to managing these concentrated positions. Real estate assets—whether commercial buildings, residential developments, or other income-generating properties—carry concentration risk, liquidity constraints, and potential tax issues. Effective wealth management strategies are essential for owners to diversify, create liquidity, or leverage these assets. Such strategies are explained in more detail below.

Debt Financing with Real Estate as Collateral

Owners of valuable properties can monetize their assets without selling by securing loans against real estate. With recourse or non-recourse loans, property owners can leverage real estate to access liquidity. For example, a property owner can take out a fixed-rate loan with a conservative loan-to-value (LTV) ratio, allowing for liquidity while retaining ownership and future appreciation potential. In cases of high-value properties, non-recourse loans offer downside protection by limiting the lender’s ability to seize personal assets if the borrower defaults.

Mortgage Financing

Mortgaging or refinancing high-quality, income-generating properties allows owners to generate cash flow without incurring immediate capital gains tax from a sale. Mortgages are effective in cases where the rental income from the property can cover debt servicing costs while reducing taxable income. Utilizing rental income to repay the mortgage helps property owners monetize equity while preserving ownership and capital appreciation.

Real Estate Investment Trusts

For owners of multiple properties, consolidating assets into a real estate investment trust (REIT) and issuing shares to the public can provide liquidity while diversifying property risks. By forming a REIT, property owners gain access to equity markets, benefiting from the tax efficiencies of the REIT structure. In addition, REIT shares offer greater liquidity compared with holding individual properties, giving owners the flexibility to sell shares as needed.

Sale-Leaseback Arrangements

In a sale-leaseback arrangement, the property owner sells the asset but then leases it back from the buyer, maintaining use of the property while freeing up capital. This is particularly advantageous for businesses in which the real estate is integral to operations. The arrangement provides liquidity, often with favorable tax treatment, which may allow the owner to continue using strategic properties for business purposes.

Tax Optimization Through Staged Sales

A staggered approach to selling real estate assets over multiple years can help owners manage capital gains taxes, spreading out tax liabilities and maximizing after-tax proceeds. By planning incremental sales, property owners may remain in lower tax brackets, minimizing the impact of gains on a single year’s tax return.

Example: Strategies for Managing Concentrated Positions in a Privately Held Business and Real Estate

Emma Gustafsson, the majority owner of a thriving grocery store chain, has a net worth of SEK250 million, 90% of which is invested in her company’s shares and in unleveraged real estate leased to the grocery stores. At 50 years old, she has accumulated some retirement assets and is vested in the Swedish pension schemes. Although focused on expanding her business, Emma is aware that her future retirement relies heavily on the sustained success of her company. She also recognizes the need for capital to fuel further growth.

To address this issue, Emma’s advisor recommends that she diversify her asset portfolio and fund growth initiatives through a real estate loan on the real estate she leases to her stores. She should preferably use nonrecourse loans for downside protection. By unlocking significant liquidity, she can invest to strengthen her existing business or to diversify her income sources.

For reinvesting in her grocery chain, she could use the debt capital to expand to new locations, upgrade technology infrastructure, or broaden her product range, enhancing her market share and revenue potential. The cash provided through such a transaction could also lead to the creation of a more diversified asset portfolio while retaining ownership in the grocery business.

Alternatively, Emma could acquire a business that either complements her grocery stores or diversifies her risk exposure to the consumer discretionary and nondiscretionary sectors. Initiating a logistics or food distribution arm could offer vertical integration benefits but less diversification. Entering a different industry could also serve as a hedge against grocery sector risks.

Up Next

You have now completed Lesson 3: Advising Entrepreneurs and Business Owners. We hope this lesson has provided you with valuable insight into the distinctive considerations facing entrepreneurs and business owners and strategies for managing not only business-focused concentrated positions but also concentrated real estate holdings, which are often closely linked to business ownership.

In the next lesson, you will explore strategies for recommending appropriate wealth management approaches for professionals.

Lesson 4: Advising Professionals

Welcome to Lesson 4 of Module 1!

For executives of publicly traded companies, concentrated positions in company stock represent both an asset and a potential liability. Executives are often compensated with various forms of equity, such as stock options, restricted stock units, and performance-based shares, creating an alignment between the executives' interests and shareholders' goals. This compensation model contributes significantly to the net worth of executives and provides substantial wealth-building opportunities. It also introduces concentration risk, however, as a large portion of the executive's wealth is dependent on the company's performance.

By the end of this lesson, you will be able to recommend appropriate wealth management approaches for professionals.

Let's get started!

Wealth and Income Sources for Public Company Executives

The wealth structure and income streams of public company executives differ significantly from those of traditional wage earners or private company owners, in the categories outlined below.

Salary

Executives receive a high base salary, forming a significant component of their human capital. This high salary differentiates them from traditional wage earners and enables them to pursue more aggressive investment strategies.

Bonuses

Annual bonuses are a common component of executive compensation and are often tied to company performance and individual goals. These bonuses, although substantial, are variable and may fluctuate based on business cycles and company results. Consequently, bonuses introduce income volatility that must be accounted for in wealth management strategies.

Stock Options and Equity Awards

Executives are often compensated with stock options and equity awards, aligning their interests with shareholders' interests by tying wealth accumulation to company stock performance. Although these options can become valuable as the stock price increases, they also expose executives to significant market risk because of the large position in a single stock.

Deferred Compensation

Many executives have access to deferred compensation plans, which allow them to defer a portion of their income for future tax benefits or for retirement. Deferred compensation plans provide flexibility in managing income tax but may limit liquidity.

Retirement Plans and Other Benefits

Public company executives often have access to enhanced retirement plans, pension benefits, and various other benefits, including company cars, travel allowances, and club memberships. These benefits can support lifestyle goals but contribute less to liquidity than other forms of compensation.

Implications for Spending Patterns for Executives of Publicly Traded Companies

The distinct sources of wealth for public company executives have significant implications for their spending behavior and financial planning, including variable income, a focus on wealth accumulation, and high fixed costs, as detailed below.

Variable Income

Because of the dependence on performance-based bonuses and the potential volatility of stock options, executives may experience fluctuations in annual income. This variability necessitates more conservative spending during low-bonus years and requires liquidity planning to smooth out cash flow.

Focus on Wealth Accumulation

Many executives prioritize wealth accumulation over immediate liquidity needs, especially through stock options and equity awards. Executives commonly defer income or stock option exercise until retirement, leveraging the value of equity-based compensation for long-term financial goals.

High Fixed Costs

Executives often maintain high fixed costs associated with a certain lifestyle level, such as mortgages on luxury properties, education expenses for children, and other substantial financial commitments. This high-cost structure makes executives more sensitive to economic downturns, particularly if bonuses or stock performance are adversely affected during these periods.

For wealth managers advising public company executives, understanding the specific composition of their wealth and the implications on spending patterns is crucial. This lesson explores effective wealth management approaches for managing concentrated positions in publicly traded equity, with a focus on risk mitigation, hedging, and liquidity strategies. These strategies help executives optimize their financial outcomes while addressing the risks and constraints associated with concentrated equity holdings.

Managing Concentrated Positions for Professionals and Executives

Executives and professionals who hold significant concentrations of their wealth in publicly traded company stock face distinct challenges. Although they benefit from the public market's liquidity and transparency, these positions come with constraints imposed by regulators and employers, and personal financial implications that differ from privately held businesses. For wealth managers, advising executives on managing these concentrated positions requires navigating public market considerations and understanding the tools available for hedging and risk management, such as exchange-traded (ET) and over-the-counter (OTC) derivatives.

Legal and Regulatory Requirements

Public Market Considerations

The liquidity of publicly traded stocks provides opportunities for hedging and monetization, unlike the limited marketability of shares of privately held businesses. Public market instruments allow executives to access higher potential sale prices because of established market values and greater buyer availability, circumventing discounts for lack of marketability. The public market environment, however, brings additional regulatory, contractual, and company-imposed restrictions on trading, especially for insiders.

Executives of publicly traded companies are typically subject to legal and regulatory requirements, as detailed below, that govern the sale and hedging of their stock holdings.

Securities Regulations

Executives are often considered insiders, meaning they must comply with strict rules, such as avoiding trades based on material nonpublic information and adhering to reporting requirements. In many jurisdictions, they are required to publicly disclose trades and must do so within specified time frames, which affects both the timing and transparency of their sales and hedges.

Blackout Periods

Companies often impose blackout periods during which executives cannot trade shares. These typically coincide with the lead-up to earnings reports, mergers, or major announcements, minimizing the risk of trades based on sensitive, nonpublic information. Blackout periods restrict executives' ability to respond quickly to market changes, adding complexity to wealth management.

Deferred Compensation and Lockups

Executives may have compensation tied to deferred equity that they cannot access for a predetermined period, limiting liquidity. Moreover, lockup agreements following an initial public offering (IPO) may restrict executives from selling shares immediately after the listing, affecting liquidity for months or even years.

Employer and Company Policies

Many firms place additional restrictions on share sales or require approval from the board of directors. For example, some companies mandate staggered sales plans, which are preestablished trading schedules allowing insiders to gradually reduce their position in compliance with regulatory requirements.

Other Considerations for Hedging Concentrated Public Equity Positions

Additionally, characteristics of the stock, such as borrowability and liquidity, affect the feasibility of hedging strategies for concentrated positions in public stock. The ability to borrow shares is critical because the dealer needs to manage the risk inherent in being a counterparty to the investor's hedge. Managing this risk is achieved by first locating and borrowing the shares and then selling them in the marketplace. Moreover, the stock's liquidity is vital because the dealer will periodically adjust its hedge, either borrowing and shorting additional shares or buying back shares and covering some of its outstanding short position. The dealer will assess liquidity and observe whether the shares have had a propensity to "spike" either up or down.

The Role of Derivatives

A specific type of derivative instrument, equity options, can be used to hedge risk in concentrated positions in public equities. These options can be of two varieties, either exchange-traded or over-the-counter.

Exchange-traded (ET) Derivatives

ET derivatives are standardized financial contracts traded on organized exchanges, such as futures and options. These contracts specify terms like transaction or exercise price, size, expiration date, and delivery conditions for the underlying asset. The exchange acts as an intermediary and provides a clearinghouse that guarantees contract performance, significantly reducing counterparty risk.

Over-the-counter (OTC) Derivatives

OTC derivatives are privately negotiated financial contracts between two parties, such as forwards, swaps, and options. These contracts are tailored to meet the specific needs of the counterparties, allowing flexibility in terms, including size, duration, and underlying asset. They are not, however, traded on centralized exchanges and typically are settled bilaterally or through intermediaries.

Exhibit 1 summarizes the key differences between ET and OTC derivatives.

Key Differences Between Exchange-Traded and Over-the-Counter Derivatives

Aspect	Exchange-traded derivatives	Over-the-counter derivatives
Trading venue	Traded on organized exchanges, offering transparency and liquidity	Privately negotiated between counterparties, with less transparency
Standardization	Highly standardized with predefined terms	Customizable to meet specific counterparty needs
Counterparty risk	Reduced due to clearinghouse guarantees	Higher risk unless collateral agreements or clearing services are used
Liquidity	Generally more liquid due to standardization and centralized trading	May have lower liquidity due to customization and fewer participants
Regulation	Heavily regulated, ensuring standardized practices	Less regulated but increasingly subject to oversight post-2008 financial crisis
Flexibility	Less flexible due to standardization	Highly flexible, catering to specific requirements

Exhibit 1: Source: CFA Institute.

Other Considerations for ET and OTC Derivatives

OTC derivatives offer executives flexible and customizable solutions for hedging or monetizing concentrated positions. OTC derivatives include instruments such as forward contracts, total return swaps, and prepaid variable forwards, providing personalized contract terms that ET derivatives cannot. These customized solutions involve credit risk, less pricing transparency, and potentially higher costs, because they are executed directly with a single dealer rather than through an exchange.

Further considerations involving ET and OTC derivatives are detailed below.

Customizable Hedging

OTC derivatives allow wealth managers to tailor contracts to fit the executive’s needs for strike prices, expiration dates, and embedded leverage. Unlike standardized ET derivatives, OTC derivatives can include specific features that reflect the distinct financial objectives or risk profile of the client.

Reduced Counterparty Risk with ET Instruments

Although OTC derivatives carry counterparty risk because they are negotiated with individual dealers, ET derivatives use clearinghouses that significantly reduce this risk. Wealth managers must consider the client’s risk tolerance, as a single-dealer contract could expose the executive to default risk if the dealer encounters financial difficulties.

Price Discovery and Transparency

ET derivatives provide more transparent pricing because they trade on an open market, whereas OTC derivatives lack public quotes. This lack of transparency can make it challenging to determine fair value for OTC derivatives. Wealth managers are encouraged to solicit quotes from multiple dealers to ensure competitive pricing and use standard derivative pricing models for validation.

Flexible Tax Treatment

OTC derivatives may provide immediate liquidity without triggering an immediate sale, potentially delaying the tax consequences of capital gains. A prepaid variable forward is a contract in which the investor receive an upfront cash payment for agreeing to deliver the underlying shares in the future. This structure provides liquidity and tax-deferral benefits, as the investor retains ownership and defers capital gains tax until delivery. The contract outlines flexible future delivery options, allowing the investor to determine the exact number or value of shares to be delivered at a later date, based on the stock's performance.

Hedging Concentrated Positions in Publicly Traded Companies

The remainder of this lesson assumes a basic knowledge of options. For learners that need more background or a refresher on options fundamentals, please download and review the brief [Options Primer](#).

The stocks of public companies may have liquid derivative contracts that use the public equity as an underlying instrument, which provides more liquid hedging strategies, offers additional pricing transparency for the hedging strategies, and avoids the additional costs typically associated with executing economically similar OTC transactions through a dealer. The set of hedging and monetization strategies we will explore using ET derivatives (i.e., options) includes

- short against the box,

- protective put,
- zero-cost (cashless) collar, and
- covered call.

The following sections will examine each of the aforementioned options strategies.

Short Against the Box Strategy

In a short-against-the-box strategy, an investor simultaneously holds both a long position and an equivalent short position in the same stock. For example, owning one million shares of ABC Corp. at USD100 per share establishes a USD100 million long position. By borrowing and selling an equal number of ABC Corp. shares, the investor creates a corresponding USD100 million short position. This setup effectively locks in the current stock value by neutralizing price movements, as gains or losses in one position offset those in the other.

Mechanics of Short Against the Box

Long and Short Position Creation

To implement this strategy, the investor borrows shares equivalent to their long position and sells them in the market, forming a “box” around the stock price.

Risk Neutralization

As the long and short positions move in opposite directions, the net value remains stable. For example, if the stock price rises, gains on the long position match losses on the short position, resulting in a neutral impact. Dividends received on the long shares are passed to the lender of the shares that were sold short. Because the long and short positions constitute a riskless position, the investor earns a money market rate of return on the USD100 million position.

Exhibit 2 depicts the short-against-the-box structure, illustrating how the combined positions remain unaffected by price fluctuations.

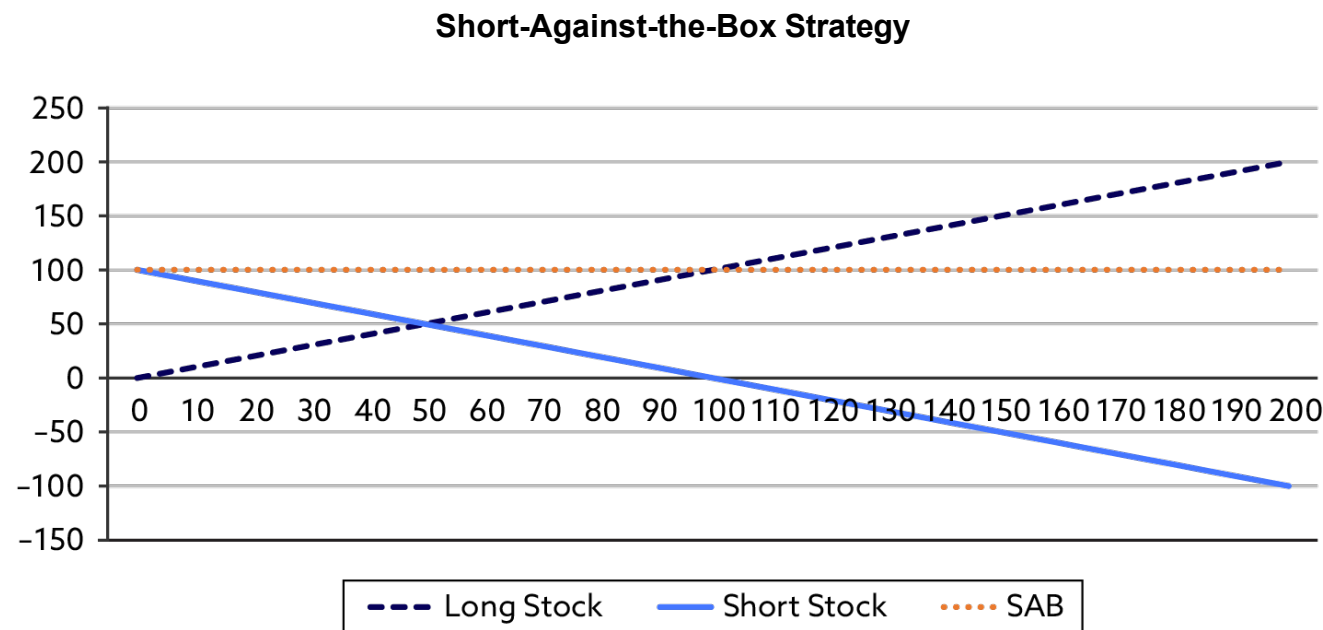


Exhibit 2: Source: CFA Institute

Short Against the Box Pros and Cons

Liquidity and Flexibility

This strategy provides liquidity by allowing the investor to access cash from the short sale without selling the long-held shares. It is often used by investors seeking to monetize positions temporarily.

Tax Treatment

In many jurisdictions, short against the box may trigger constructive sale rules, treating the transaction as a taxable event on the unrealized gains of the long position. This can create tax implications similar to an outright sale.

Considerations for Borrowing Costs

Borrowing shares can incur costs that may vary significantly based on market conditions, the specific stock (and its availability to borrow), and the length of time of the short position.

Short against the box offers a straightforward hedge but may be limited by tax implications, ongoing borrowing costs, or potential regulatory or corporate prohibitions against shorting, making it less popular under certain regimes.

Protective Put Strategy

The protective put strategy involves buying a put option on the underlying stock, which grants the right (but not the obligation) to sell the stock at a predetermined strike price. This approach creates a price floor, protecting against downside risk while allowing for potential upside gains from owning the shares.

Mechanics of a Protective Put

Buying the Put Option

By purchasing a put option with a strike price close to the current stock price, the investor establishes a lower bound on the stock value. If the stock’s market price drops below the strike price, the investor can sell at the higher strike price, limiting losses.

Participating in Upside Potential

If the put is not exercised, so the stock is not sold, the investor retains any gains if the stock price appreciates. However, the cost of the put premium reduces overall return.

Mitigating Out-of-Pocket Expenses

Offsetting Premium Costs

Investors can manage premium costs by choosing shorter-dated puts, which may offer cost efficiency over longer-term options in certain (i.e., volatile) market conditions.

Selecting Put Strikes Strategically

Choosing slightly out-of-the-money puts (strike price below current stock price) can further reduce premium expenses, as these options are cheaper but still provide some downside protection.

Funding Premiums with Call Options

Selling call options against the long stock position, known as a covered call, can offset some or all of the put premium, reducing the net cost of the protective put. However, this approach caps upside potential (as the stock will be “called away” from the investor if it appreciates above the call strike price) but is effective in a neutral or mildly bullish outlook.

Protective Put Pros and Cons

Advantages

The protective put provides flexible downside protection with minimal impact on upside gains. As a type of “insurance” strategy, the investor knows their maximum potential loss.

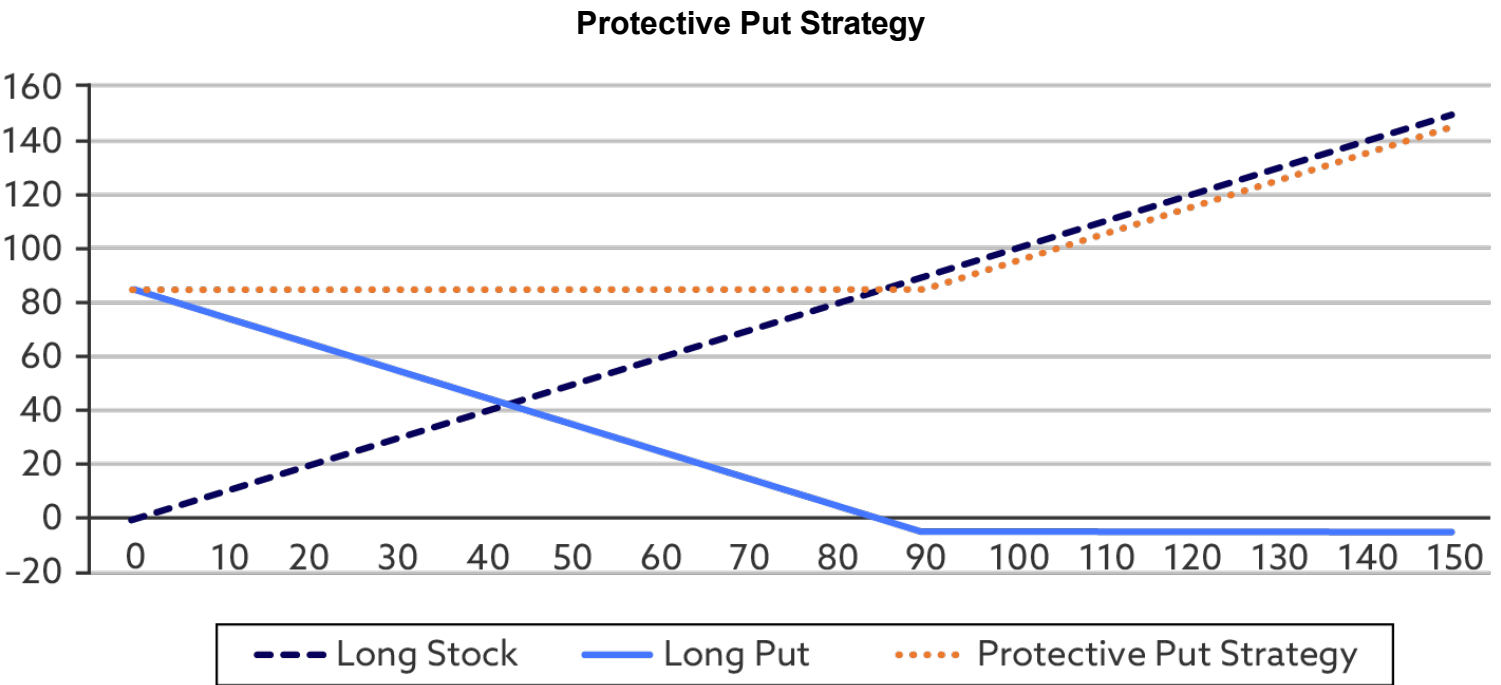
Drawbacks

Premium costs reduce net returns, although out-of-pocket costs can be reduced with careful strategy choices as described earlier. Liquid options also can have relatively short lives. Thus, depending on the protective put’s duration, expiring contracts would need to be rolled over in new put contracts, thereby increasing the total put premiums paid. Finally, in some jurisdictions, profits on long-put options are often taxed as capital gains.

Case Study: Protective Put

Bill owns shares of ABC Corp. that are currently trading at USD100. European put options on ABC shares with one year to expiration and a strike price of USD90 currently trade at a premium of USD5 per share. Bill decides to buy these puts to protect his stock position.

If ABC’s stock price is below the USD90 strike price at maturity, the puts will be exercised, and Bill will deliver his shares to the option seller for USD90. His net proceeds will be USD85, accounting for the USD5 option premium he paid for the puts. If the stock price ends at USD90 or higher at expiration, the put options will expire worthless, and his payoff will be the ending stock price less the USD5 put option premium, as shown in Exhibit 3. Another alternative is to sell the options before expiration if the trade is for protection only and not for sale purposes.



Bill’s total initial investment is USD105 per share: USD100 per share in stock and USD5 per share in puts. If the stock closes at or above USD90, the USD5 spent on the put acts like term insurance that expires worthless.

Zero-cost (Cashless) Collar Strategy

The most common method to achieve downside protection with minimal costs is a zero-cost collar. It offers investors a hedge against a stock price decline, a potential for upside gain, and a deferment of capital gains tax without an out-of-pocket expense. Dividend income and voting rights also remain intact.

Mechanics of a Zero-cost Collar

Buying a Put and Selling a Call

The investor purchases a put to create a price floor and sells a call to create a price ceiling. The premium received from the sale of the call option offsets the purchase of the put, resulting in little or no upfront cost.

Establishing a Price Band

This strategy effectively establishes a price range, or collar, within which the investor can participate in gains or losses. The put strike price defines the floor, while the call strike price defines the ceiling.

Case Study: Zero-cost Collar

Bill holds ABC Corp. shares worth USD100 per share. To implement a zero-cost collar, he

- buys puts with one year to expiration and a USD90 strike for a premium at USD5 per share, and
- sells calls with one year to expiration and a USD120 strike for a premium at USD5 per share.

The premium received from the sale of the calls offsets the premium paid for the puts, requiring no out-of-pocket cost, except for transaction costs.

Exhibit 4 illustrates that Bill’s maximum upside is USD120 per share. If the stock price rises above USD120, the calls will be exercised by the buyer, yielding USD120 in exchange for his shares. If ABC’s stock price falls below USD90, the proceeds would be USD90 per share because Bill would exercise the puts and receive USD90 per share.

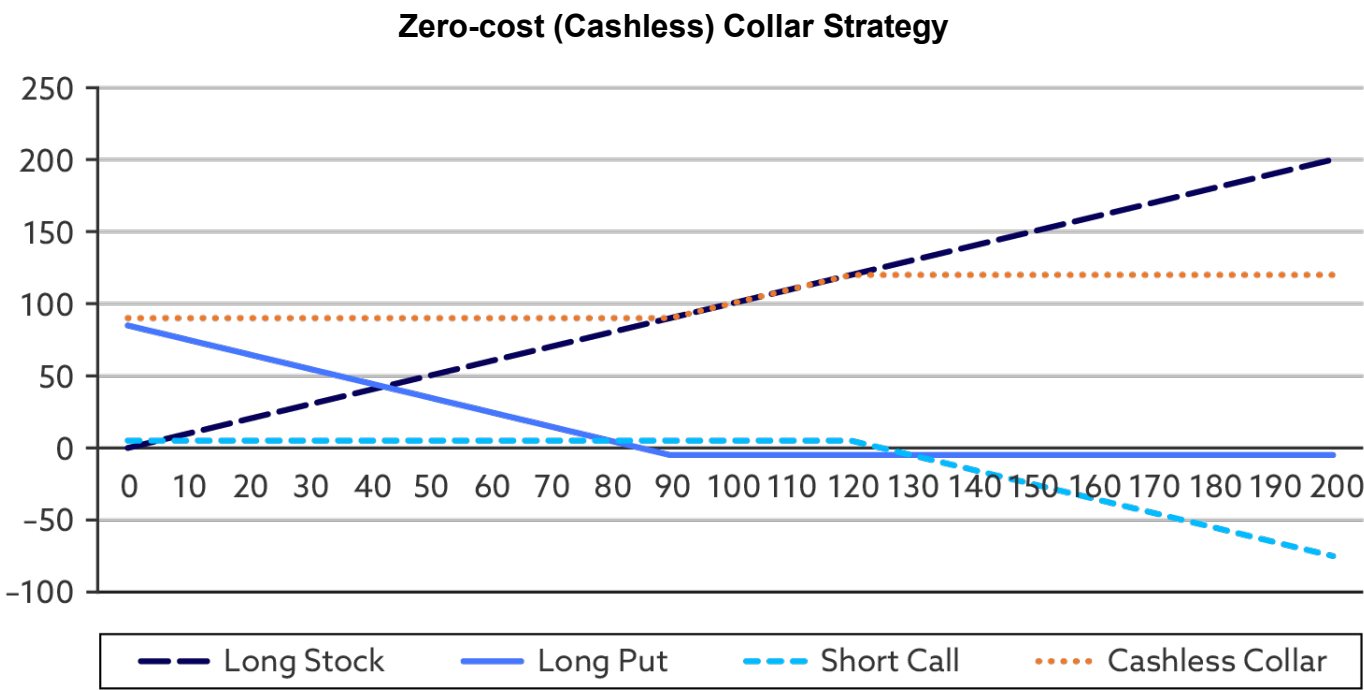


Exhibit 4: Source: CFA Institute.

If ABC’s stock price closes at any price between USD90 and USD120 at expiration, both the puts and calls expire worthless. Bill effectively breaks even on the options, having paid a USD5 per share put premium and having received a USD5 per share call premium. He retains his price exposure to the stock within this range. As noted, if the stock drops below the USD90, Bill can exercise the puts, sell his shares for USD90 each, and break even on premiums, ultimately netting USD90 per share.

Tax Treatment of Option Premiums in Zero-cost Collars

In many countries ET products, like put and call options, are exempt from taxation on capital gains. In the United States, however, the situation is different in terms of put and call premiums.

Put Premiums

For the purchased put, premiums are typically treated as a capital loss if the option expires worthless. If the put is exercised, the premium is included in the cost basis of the stock (i.e., decreases the realized gain), reducing taxable gains.

Call Premiums

For the sold call, premiums received are treated as taxable ordinary income or short-term capital gains if the option expires worthless. If exercised, the option premium received often decreases the cost basis (i.e., increases the realized gain) on the underlying stock.

Zero-cost Collar Pros and Cons

Tax Efficiency and Cost Management

Although tax treatments vary by jurisdiction, the zero-cost structure can be tax-efficient if managed correctly, minimizing the need for additional funding. Additionally, the collar may avoid constructive sale rules with a relatively broad (versus narrow) band of retained price exposure.

Drawbacks

This strategy’s capped upside makes it less suitable for investors with strong bullish expectations on the stock. It is most beneficial when primary objectives are risk mitigation and value preservation. Also, investors must be psychologically prepared for their shares to be called away if the share price unexpectedly surpasses the short call strike price.

Covered Call Strategy

A covered call strategy involves holding a long position in stock and selling call options with the stock as the underlying. The premium received from the sale of the call provides immediate income and partial downside protection, making this strategy attractive when the investor has a neutral or mildly bullish outlook.

Mechanics of a Covered Call

Selling the Call Option

By selling a call with a strike price above the current stock price, the investor gains premium income while agreeing to sell the stock if the price rises above the strike price.

Income Generation and Limited Protection

The premium provides additional income and offsets minor losses if the stock declines. Significant drops in stock value, however, are not protected.

As an example, if ABC is trading at USD100 per share, and the client, Bill, is not happy to sell below USD110 per share, he could sell call options with a USD110 strike price and receive a call premium of USD5 per share. If the stock rises above the strike price, then the call gets exercised, and Bill must deliver the shares at USD110 per share, as illustrated in Exhibit 5.

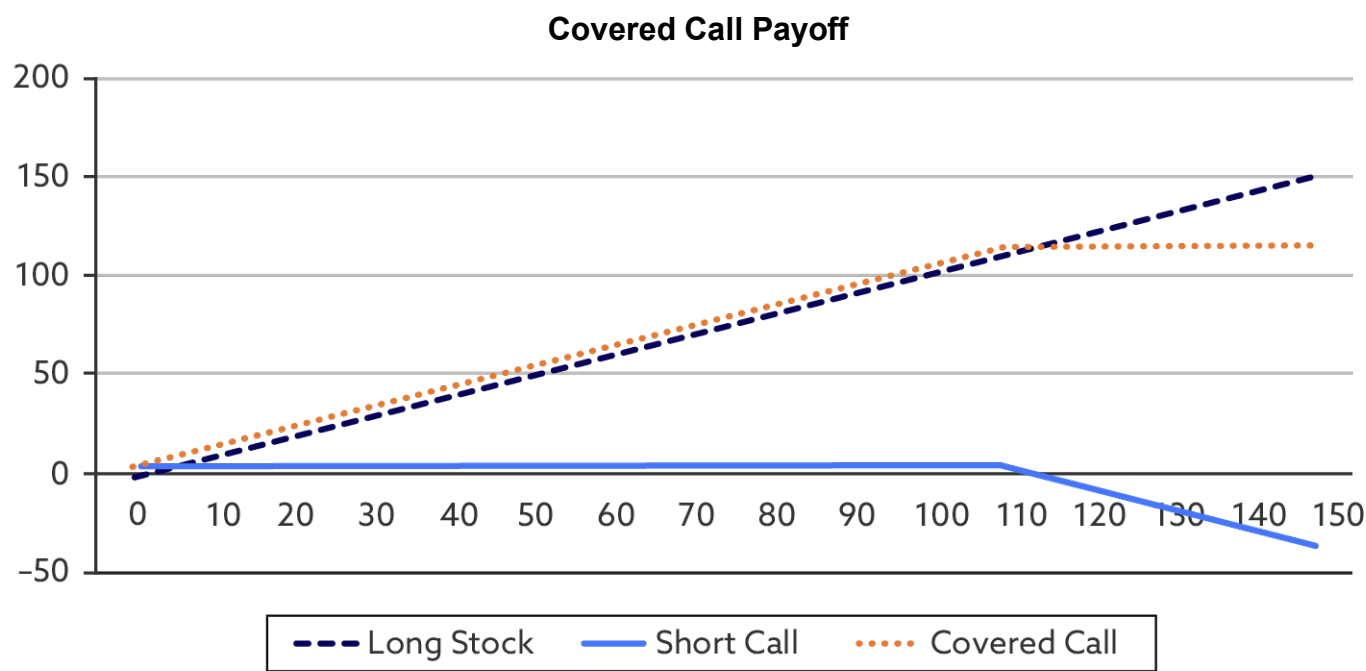


Exhibit 5: Source: CFA Institute.

If the ABC share price does not reach the strike price of USD110, Bill simply profits from collecting the call premiums. While often labeled a hedging strategy, it minimally guards against downside risk, only offsetting losses by the amount of the premium collected, at the expense of capping upside potential. A more accurate description of the covered call strategy would be a “yield enhancement” strategy.

Covered Call Pros and Cons

Income in a Neutral Market

Covered calls generate steady income, which is especially effective in a low-volatility environment in which significant share appreciation is unlikely.

Alternative to Structured Selling

Using a covered call writing can also serve as an alternative to structured selling for staged diversification. A key benefit is that it can mentally prepare the owner for eventually selling the shares.

Limited Downside Protection

Although the premium received provides some buffer against losses, it does not protect against significant stock declines. Consequently, this strategy is unsuitable for bearish market expectations.

Case Study: Hedging a Concentrated Equity Position

James Banner is the former CEO of Camier Company. He sold a large portion of his shares to a private equity firm in a leveraged recapitalization, but still holds 300,000 shares, which are currently trading at EUR76 per share. Banner is unwilling to sell any portion of his position at less than EUR80 per share but also wants to protect his shares from sharp share price declines over the next year should the stock price experience a significant decline. Capital gains on stock held for more than a year are taxed at 25%. With the help of his adviser, Banner looks at three strategies to protect his entire position: a protective put, a covered call, and a zero-cost collar.

- **Protective put:** Buy put options with one year to expiration and a strike price of EUR70 for a EUR5 per share premium.
- **Covered call:** Sell call options with one year to expiration and a strike price of EUR80 for a EUR5 per share premium.
- **Zero-cost collar:** Buy the same one-year put options with a EUR70 strike price using proceeds from the sale of calls with one year to expiration and a strike price of EUR80.

The tax code where Banner is domiciled taxes the premium received on calls that expire worthless at 50%. Premiums paid on long puts that expire worthless increase the tax cost basis of the shares that were hedged. Premiums received and paid on collar can be netted against each other, however. On exercised options, premiums paid on long puts or received on short calls, increase or decrease, respectively, the cost basis of the underlying stock. Gains on closed positions are taxed at 50%. Losses are deducted at 25%.

Maximum Profit and Loss for Each Prospective Strategy

Exhibit 6 displays the profit and loss metrics for the protective put, zero-cost collar, and covered call strategies.

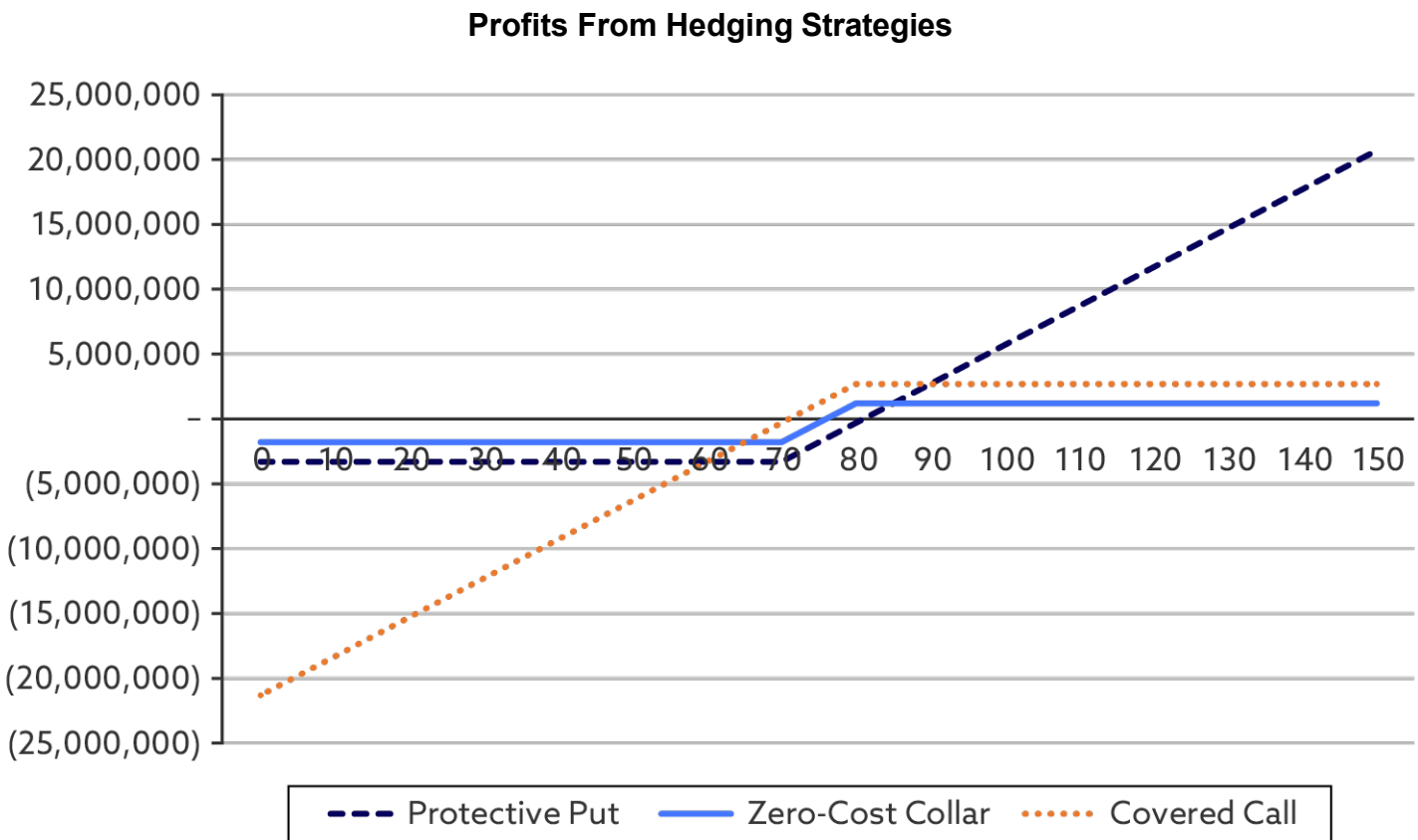


Exhibit 6: Source: CFA Institute.

Maximum Profit and Loss for the Protective Put Strategy

In a protective put, Banner has unlimited upside potential. His maximum loss occurs at any share price below EUR70 per share. In this case, Banner would exercise the put and sell his 300,000 shares at the strike of EUR70 per share, yielding EUR21 million for his shares, generating a loss of EUR21 million – EUR22.8 million (= EUR76 × 300,000 shares) = EUR1.8 million. Banner paid a premium of EUR5 per share for the puts, or EUR1.5 million (= EUR5 × 300,000 shares). So, Banner’s maximum possible loss at a share price of EUR70 or lower equals the EUR1.8 million loss on the shares plus the cost of the put, EUR1.5 million, or EUR3.3 million.

Maximum Profit and Loss for the Zero-Cost Collar Strategy

The maximum profit for the zero-cost collar is capped at EUR1.2 million, while the maximum loss is EUR1.8 million.

If the stock price rises to EUR80 or higher at expiration, Banner would be obligated to sell at EUR80, realizing a profit of only EUR4 per share for a total of EUR1.2 million (= [EUR80 – EUR76] × 300,000 shares).

Conversely, Banner is protected from any price decline below EUR70 with the purchase of the put. Specifically, at any price below EUR70, he would exercise the put and sell shares at the strike price of EUR70 for a loss of EUR6 per share (= EUR70 – EUR76), or a total loss of EUR6 × 300,000 = EUR1.8 million.

Maximum Profit and Loss for the Covered Call Strategy

The covered call strategy yields a maximum possible profit of EUR2.7 million. At share prices of EUR80 or higher, Banner would be obligated to sell at the call strike price of EUR80, realizing a EUR1.2 million profit ($= [EUR80 - EUR76] \times 300,000$ shares). Adding the call premium collected of EUR5 per share adds an additional EUR1.5 million to Banner's gain, for a total of EUR2.7 million.

Banner, however, faces a substantial downside risk, with a maximum loss potential of EUR21.3 million. Specifically, if the share price falls to EUR0, Banner's loss would be EUR76 per share; however, the loss is minimally offset by the EUR5 per share premium collected from the sale of the call, which would expire worthless. So, the maximum possible loss is $(EUR76 - EUR5) \times 300,000$ shares = EUR21.3 million.

Zero-Cost Collar vs. Covered Call

Both the zero-cost collar and the covered call strategies forfeit profits above EUR80. The collar protects against downside risk and allows for monetization of the position through borrowing. The covered call has a maximum profit of EUR2,700,000, whereas the maximum profit on the collar is only EUR1.2 million. The collar offers downside protection below EUR70. If Banner executes the covered call, however, he would continue to be exposed to significant downside risk.

Tax Consequences of Opening the Option Positions

The protective put strategy offers moderate tax efficiency, as the put premium is not immediately tax deductible. It will increase the cost basis of the underlying stock and decrease the taxable gain at the same 25% tax rate already applied to the underlying stock. It creates a timing mismatch, however, between the payment of the premium and the eventual tax benefit.

The premiums received and paid on the zero-cost collar can be netted against each other for tax purposes, creating a tax-neutral impact. However, hedging the investment risk may trigger a taxable event unless there is still some risk of loss. Short call premiums received from selling calls are heavily taxed at 50%, which is inefficient compared with the 25% long-term tax rate on outright stock sales.

Tax Consequences at Strategy Expiration

The tax consequences at strategy expiration will depend on what option is exercised.

The major tax consideration is capital gains from the sale of Camier stock, including shares being called away. Such capital gains would qualify for Banner's 25% long-term capital gain rate if the shares were held for more than a year.

Moreover, if Banner exercises the put, the put premium paid will decrease the size of his taxable gain. If the short call is exercised against Banner, the premium he originally received will increase the size of his taxable gain.

Conclusion

Each hedging strategy offers a distinct balance between cost, risk management, and return potential, allowing investors to align their holdings with their personal objectives and market outlook. When structured thoughtfully, these strategies can reduce the risk of holding concentrated positions in company shares while also managing tax efficiency and cost, ensuring that investors remain on track to meet their wealth management goals.

Equity Monetization Strategies Without a Sale

For executives and professionals with substantial, concentrated equity positions, finding ways to access liquidity without selling shares directly can provide significant tax advantages, offer the ability to maintain ownership, and support diversification. Five primary strategies allow clients to monetize their holdings without triggering immediate capital gains taxes or giving up control, including

- personal line of credit,
- total return swap (TRS),
- equity forward contract,
- synthetic equity forward, and
- tax-free exchange.

Each method provides a distinct combination of liquidity, tax efficiency, and risk management benefits, as described below.

Personal Line of Credit

A personal line of credit enables an investor to access funds using their stock holdings as collateral. Typically offered through private banks and financial institutions, these lines of credit give individuals the flexibility to borrow against their assets without having to liquidate them, thus avoiding immediate capital gains tax.

Mechanics

To establish a personal line of credit, the investor's financial institution places a lien on the stock holdings, and funds are disbursed up to a certain percentage of the stock's value. The amount available for borrowing usually depends on the stock's liquidity, price volatility, and the bank's lending criteria.

Advantages

This strategy offers substantial liquidity without disrupting an investor's core portfolio holdings. Interest rates on personal credit lines are often competitive, allowing clients to obtain funds at lower costs than traditional loans. Moreover, by not selling the shares, the investor defers any capital gains tax liability.

Risks and Considerations

Personal lines of credit carry inherent margin requirements. If the stock's value declines, a margin call could force the borrower to provide additional collateral or sell assets to maintain the loan. Additionally, borrowers remain exposed to market volatility, as the underlying shares are still subject to price fluctuations, which can affect borrowing capacity during market downturns.

Total Return Swap

A TRS enables an investor to swap the total return on their equity position (capital gains and dividends) with a counterparty, typically a bank, for a fixed- or floating-rate cash flow. This OTC derivative arrangement monetizes the equity position by converting stock returns into a stable cash flow without necessitating the actual sale of the shares.

Mechanics

In a TRS, the investor agrees to pay the counterparty the stock's total return, while the counterparty agrees to provide a fixed- or floating-rate payment based on a market reference interest rate or another benchmark.

Two-step monetization process for TRS (Note: This process is the same for equity forwards and synthetic equity forwards)

- **Step 1:** The investor enters into the swap agreement, locking in terms for the periodic cash flow exchange.
- **Step 2:** The investor receives the cash flows based on the predetermined terms, which can be used for personal or investment purposes while deferring taxes on the underlying stock position.

Advantages

A TRS allows investors to maintain ownership and avoid immediate tax on unrealized gains. This strategy is ideal for individuals seeking stable cash flow from volatile stocks. TRS arrangements can be particularly beneficial in jurisdictions with tax-favorable treatment for swap income, potentially reducing tax liabilities.

Risks and Considerations

Investors in a TRS are subject to counterparty risk—relying on the financial stability of the counterparty bank or institution providing the swap. Additionally, TRS agreements often require detailed legal documentation, and fees for these agreements may be higher than other financing methods, making it essential to consider all associated costs.

Equity Forward Contract

An equity forward contract is a customized OTC derivative agreement in which the investor commits to selling a specific number of shares at a future date for a fixed price. By locking in a future sale price, equity forwards provide liquidity and help manage downside risk, especially for highly volatile stocks.

Mechanics

The forward contract specifies the price at which the stock will be sold and the settlement date, allowing the investor to plan for future liquidity needs.

Advantages

This approach enables the investor to lock in the future sale price, reducing exposure to price declines without requiring an immediate sale. Equity forward contracts are highly customizable, allowing the investor to set a time frame and terms that align with specific financial goals.

Risks and Considerations

Forward contracts are typically non-standardized and subject to counterparty risk, meaning the investor relies on the counterparty's (typically a financial institution) solvency at settlement. Additionally, because forward contracts lock in a sale price, they limit upside potential beyond this contracted forward price.

Synthetic Equity Forward

Synthetic equity forwards mimic the payoff profile of a forward contract through a series of options, combining puts and calls to establish an agreed-on future cash flow. By using options instead of a direct sale commitment, the investor achieves similar liquidity and tax deferral benefits with enhanced flexibility.

Mechanics

This strategy involves purchasing put options (which protect against downside risk) and selling call options (which cap upside potential), resulting in a payoff similar to a forward contract.

Advantages

Synthetic equity forwards provide similar tax deferral benefits as traditional forward contracts. This method is often more flexible than an equity forward, as options can be selected with varying strike prices to adjust the risk-return profile. Synthetic structures can be tailored to lock in partial rather than full position monetization.

Risks and Considerations

The flexibility of a synthetic equity forward often comes with higher transaction costs, and the tax treatment of options premiums varies across jurisdictions. This strategy also requires careful structuring to avoid unintended tax consequences, such as constructive sale rules.

Tax-free Exchange

Under certain tax systems, such as in the United States, an exchange fund is a mechanism that allows for a tax-free exchange of a concentrated stock position for a diversified asset pool. In an exchange fund, investors contribute low-cost-basis stock to a partnership and acquire a proportional interest in a diversified pool of low-basis assets. This is a nontaxable event, and each partner’s tax basis in the fund remains unchanged. After a minimum holding period (e.g., seven years in the United States), distributions are made in the form of shares in the diversified portfolio. Gains are not taxed until the diversified shares are sold. Distributions before the minimum holding period generally return the original shares and incur substantial fees.

Exchange funds come with limitations. Portfolio managers hold discretion over share acceptance and the composition of the share basket for withdrawals. At least 20% of the fund must include “qualified assets,” typically illiquid assets, like real estate or a private real estate investment trust. The fund may be less diversified and could charge redemption fees for early exits. Assuming identical returns between an exchange fund and a sell-and-diversify strategy, which is a significantly limiting assumption, Exhibit 7 shows that the final liquidation value is higher for the exchange fund because of the benefits of tax deferral. Management fees, however, will offset some of these advantages.

Exchange Fund Example

	Sell/diversify	Exchange fund
Market value	USD1,000,000	USD1,000,000
Tax basis	USD100,000	USD100,000
Capital gain	USD900,000	
Tax on sale (at 25% rate)	USD225,000	
Amount to invest	USD775,000	USD1,000,000
Market value in 7 years (10% return)	USD510,256	USD1,948,717
Tax basis	USD775,000	USD100,000
Capital gain	USD735,256	USD1,848,717
Tax on sale (at 25% rate)	USD183814	USD462,179
Final value	USD1,326,442	USD1,486,538

Exhibit 7: Source: CFA Institute.

Note: Assumes a 25% tax rate and a 10% annual return for the exchange fund and the reinvestment portfolio of the diversification strategy.

Choosing the Best Hedging Strategy

The selection of a hedging strategy involves a careful balance of risk tolerance, financial objectives, and tax efficiency. The tax characteristics of the shares representing the concentrated position can help determine which strategy will deliver the optimal result for the client. It is not unusual for executives to receive compensation in the form of either restricted company shares or various forms of employee options to acquire common shares of their company in the future.

Because these types of instruments are received as compensation for services rendered, tax regimes often tax such instruments differently from common shares that have been held as an investment asset for a long-term period by an investor. For instance, restricted shares and employee stock options are often taxed as salary and bonus or other forms of compensation and, as such, are often taxed at different rates than long-term capital gains.

The key point is that the tax attributes and characteristics of the shares or other instruments, such as employee options, that are being hedged can influence the decisions as to what hedging tool should be used and how the transaction should be legally structured and documented.

Hedging strategies must align with each investor's profile, including factors such as anticipated market conditions, liquidity needs, and time horizon.

Case Study: Hedging Strategy for Publicly and Privately Held Positions

Ian Lopes is a young, single serial entrepreneur. One of his prior ventures, T-Moto, is a manufacturer of electric motor bikes and recently went public through an IPO. As part of an agreement, Lopes no longer actively manages the firm but has retained USD200 million of restricted stock with essentially a zero-cost basis subject to a one-year lockup period. The shares nonetheless trade in a liquid market in which associated publicly listed options also trade.

Another of Lopes's ventures is MotoElétrica. It is profitable, like T-Moto, but younger and pre-IPO. He wishes to retain complete control and continue to actively manage the firm. Nonetheless, Lopes is interested in monetizing both stakes so he can either diversify his holdings or perhaps purchase another venture, Chirpia, a lifestyle app that helps users manage alarms and notifications.

Tax Implications of Selling Lopes's Equity Interests

The potential sale of Lopes's interests in T-Moto and MotoElétrica would likely have similar tax treatment. In both cases, they would be subject to capital gains tax, calculated as the sale price minus the cost basis, which is nearly zero. If, however, some or all of Lopes's T-Moto shares were originally granted through stock options or another form of executive compensation, the entire proceeds from the sale, not just the capital gain, might be subject to ordinary income tax. Additionally, the timing of the tax obligation would typically be triggered by events like the vesting of restricted stock, the granting of stock options, or the exercising of stock options rather than the actual sale of the shares. Based on the provided description, however, this does not seem to be the case.

Sale and Hedging Alternatives for Lopes's Interests

Lopes's ability to sell his publicly traded shares in T-Moto is more straightforward than his shares in MotoElétrica, a private company, which would require him to find a financial or strategic buyer. However, he must wait for the expiration of his lockup period before selling his T-Moto shares.

Furthermore, Lopes has a broader range of hedging alternatives available for his interest in T-Moto because of the fact that the equity shares, as well as the associated options (puts and calls) are publicly traded. Consequently, the hedging alternatives include short against the box, protective put, zero-cost collar, covered call, or synthetic equity forward.

Importantly, the ability to observe the market price of the underlying asset is crucial for accurately valuing derivative contracts or hedging instruments. So, for MotoElétrica, a private company, it is unlikely that an OTC dealer would competitively price derivatives for implementing any of the aforementioned hedging alternatives.

Monetization Opportunities for T-Moto vs. MotoElétrica

Lopes could potentially explore the creation of puttable or nonrecourse loans using his shares in either T-Moto or MotoElétrica. Note, however, that T-Moto's higher liquidity is likely to result in a higher loan-to-value (LTV) ratio for those shares.

Because Lopes is no longer actively managing T-Moto, he is unlikely to utilize options like an MBO, ESOP, or leveraged recapitalization, as they typically require more control than he currently has over the company. These options may be available for monetizing his holdings in MotoElétrica, depending on the interest of management or external financial buyers.

Additionally, because T-Moto shares are publicly traded, Lopes has the opportunity to explore tax-efficient strategies like a tax-free exchange (e.g., exchange fund) or TRS with his T-Moto shares. Such options are not feasible with his holdings in MotoElétrica. Furthermore, given that many monetization strategies rely on the ability to hedge the underlying shares, T-Moto offers a wider array of monetization strategies based on the possible hedges discussed in the previous section.

Up Next

You have now completed Lesson 4: Advising Professionals. We hope this lesson has provided you with valuable insight into the sources of wealth of public company executives, strategies for hedging their risks in concentrated public equity positions, and strategies for equity monetization without a sale.

In the next lesson, you will explore the role of family offices in private wealth management.

Lesson 5: Role of Family Offices

Welcome to Lesson 5 of Module 1!

Ultra-high-net-worth (UHNW) families, typically defined as those with more than USD30 million (equivalent) in investable assets, often have distinct and complex financial needs. These families seek to preserve, grow, and effectively transfer wealth across generations while aligning their investments with personal values and legacy goals. Family offices, specialized entities established to serve the multifaceted financial, administrative, and even personal needs of these families, are crucial in meeting these objectives. This lesson explores why wealthy families establish family offices, the distinguishing characteristics of family offices, different family office structures, and considerations for selecting an appropriate model.

By the end of this module, you will be able to explain the role of family offices in private wealth management.

Let’s get started!

Family Offices

Reasons Wealthy Families Use Family Offices

UHNW families turn to family offices for several key reasons that go beyond traditional wealth management. These are outlined below.

Centralized Management and Control

Family offices offer a consolidated approach to wealth management, enabling families to centralize services such as investment management, tax planning, estate planning, philanthropy, and even lifestyle management under one roof. This centralization improves efficiency and reduces the complexity of managing various assets and services separately.

Privacy and Confidentiality

Family offices provide a high level of privacy, which is critical for UHNW clients. Managing wealth within a family office structure ensures that sensitive financial information remains within a secure and controlled environment, reducing the risk of external exposure.

Education and Legacy Building

Family offices often play an essential role in educating the next generation about managing family wealth responsibly. This education can cover the structure of family holdings, the values guiding financial decisions, and the skills necessary for asset management. Family offices also cultivate a shared sense of purpose among family members, reinforcing values and goals that sustain family cohesion over generations.

Alignment with Family Values

Many UHNW families are interested in impact investing, philanthropy, and socially responsible investing. Family offices can incorporate these preferences into their investment strategies, ensuring that the family’s values are integrated with its financial goals.

Efficient Intergenerational Wealth Transfer

A family office provides a structured environment for planning and executing wealth transfer strategies, ensuring that wealth is preserved and effectively passed down to subsequent generations. By organizing assets and implementing succession planning, family offices help prevent conflicts that can arise from unclear asset distribution.

Case Study: Motivation for a Family Office

The Jensen family, founders of a multinational logistics company, find themselves at a financial and generational crossroad. Martin and Elaine Jensen, who built their business over 30 years, have amassed wealth exceeding USD200 million. With three children, each with differing perspectives on wealth, the family faces challenges in aligning personal financial goals with shared family values. The eldest son, Lars (30 years old), wants to maintain the company’s focus on traditional logistics, while their daughter, Willow, advocates for expansion into sustainable and eco-friendly transport solutions. The youngest child, Sophie (26 years old), is interested in philanthropy and wanted to direct resources to charitable causes that would make a meaningful impact.

Recognizing the need for a unified approach, the Jensen’s decide to establish a single-family office. This office consolidates investment management, tax planning, estate planning, and philanthropic advising under one roof. A primary goal is to educate the next generation in managing and preserving family wealth. The office creates a family mission statement and organizes regular educational workshops for the children, addressing topics like responsible investing and family governance.

Additionally, the family office facilitates the establishment of a foundation managed by Sophie, focusing on environmental initiatives and youth education. Through the family office, Lars can pursue business-oriented investments, while Willow explores green technology ventures. The single-family office allows the Jensen family to centralize control, maintain confidentiality, and foster family cohesion around their wealth, ultimately securing a legacy that reflected each family member’s goals.

Characteristics of a Family Office

As is clearly shown in the following descriptions of their features, family offices are distinct in their service offerings and operational structures.

Holistic Approach

Family offices manage both financial and nonfinancial aspects of wealth, addressing comprehensive needs such as investment, tax, legal, lifestyle, and philanthropic planning. This holistic approach ensures that family wealth aligns with life goals and legacy aspirations.

Personal Attention and Customization

Family offices provide a high degree of personal attention, tailoring services to meet the specific requirements of each family. For example, some offices may create bespoke investment strategies aligned with family values or manage complex asset types, such as artwork or private businesses.

Family Involvement

Unlike traditional wealth management firms, family offices encourage active family engagement. This involvement may include family governance structures, regular family meetings, and educational initiatives to help family members understand and participate in wealth management decisions.

Evolving Structure

A family office’s structure often evolves as family dynamics change. This evolution can include adapting to the growing interests of younger generations, shifting from asset preservation to growth-oriented strategies, or transitioning to a new family leadership model. As families grow and their needs change, family offices must be adaptable and responsive.

A few distinct family office models have been developed in recent years. These models, shown in Exhibit 1, are anchored around single-family and multifamily offices.

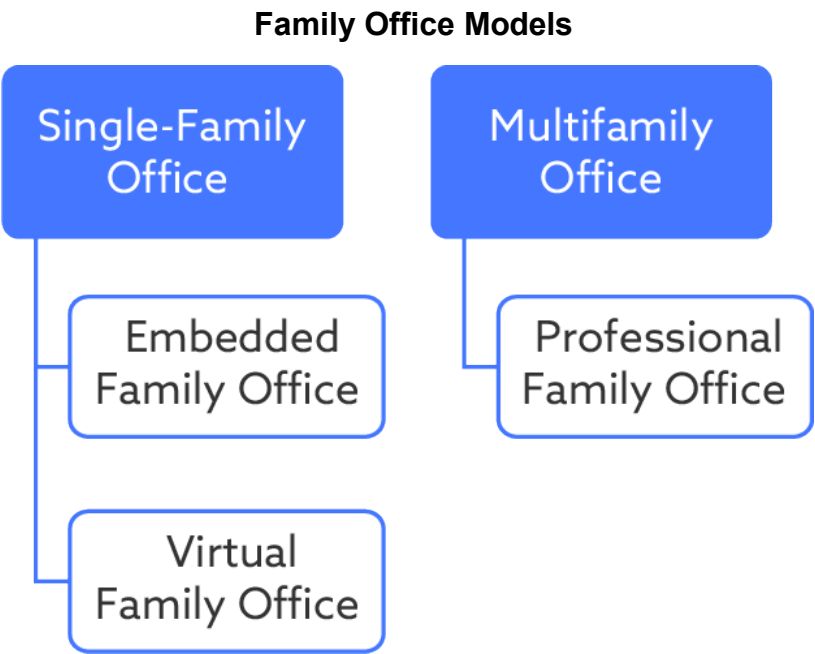


Exhibit 1: Source: CFA Institute

Single Family Offices

Single-Family, Embedded Family, and Virtual Family Offices

Family offices come in various forms to meet the unique needs of UHNW families, namely single-, embedded, and virtual family offices.

Single-family Office (SFO)

An SFO serves a single family, providing tailored and private services. SFOs are ideal for families with substantial wealth (often more than USD100 million, equivalent) that desire maximum control and customization. They are costly to establish and maintain, however, requiring dedicated staff, technology, and infrastructure.

Embedded Family Office (EFO)

An EFO functions within a family business and typically manages the wealth of the business owners rather than the entire family’s assets. Although this is an affordable option, it may create conflicts between family wealth management and business interests. EFOs can be practical for families who view their business as their primary asset, but they do not offer a holistic solution for complex family wealth needs.

Virtual Family Office (VFO)

A VFO operates mainly through outsourced services, making it a flexible and cost-effective option. VFOs can scale services up or down based on family needs and rely on minimal in-house staff. This model avoids the significant expenditures associated with traditional SFOs, such as physical office space and full-time employees, making it suitable for families who value flexibility and lower costs.

Exhibit 2 presents a SWOT analysis that highlights the strengths, weaknesses, opportunities, and threats specific to SFOs, offering a balanced view of the SFO’s competitive advantages and challenges.

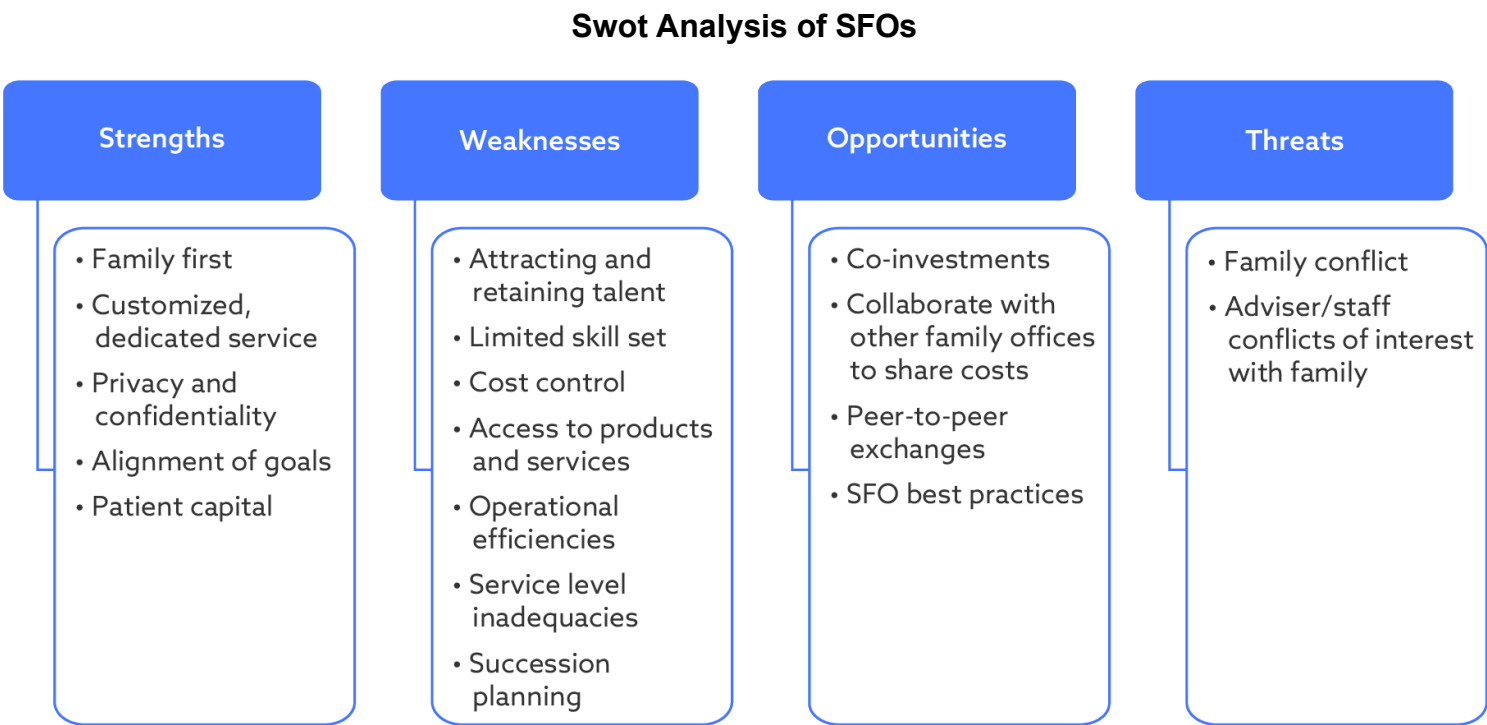


Exhibit 2: Source: CFA Institute.

Case Study: The Decision to Establish an SFO

The Alvarez family, who accumulated their wealth through real estate and hospitality businesses, recently reached USD300 million in net worth. Rafael Alvarez, the family patriarch, decided that an SFO would best serve the family’s diverse needs, especially as his three adult children began to take active roles in managing the family wealth. With interests spanning commercial real estate, private equity, and philanthropy, each family member required a tailored approach to meet their specific financial and personal goals.

By creating an SFO, Rafael ensures comprehensive support for each family member’s objectives. For instance, his eldest daughter, Ana, manages the family’s philanthropic arm through the SFO, aligning their charitable giving with core family values. His son, Marco, oversees private equity investments focused on tech start-ups, while his youngest daughter, Sofia, manages sustainable real estate initiatives. The SFO also provides the Alvarez family with centralized estate planning and tax management, ensuring that wealth preservation and confidentiality are maintained.

The Alvarez family office now holds quarterly family meetings to discuss investment performance, tax planning, and philanthropic endeavors. These gatherings foster transparency and encourage the next generation to understand and uphold the family’s values. The Alvarez family’s decision to establish an SFO allows for highly personalized service, consolidated wealth management, and a legacy-focused approach that ensures alignment with the family’s long-term goals.

Multifamily Offices

Multifamily and Professional Family Offices

Other family office models focus on serving multiple families, making them viable alternatives to the dedicated SFO. Of these, multifamily and professional family offices are the two most prominent types.

Multifamily Office (MFO)

An MFO serves multiple families, offering a range of services similar to an SFO but with shared resources. MFOs are usually less personalized than SFOs but benefit from economies of scale, which reduce costs. MFOs often pool family funds to access exclusive investment opportunities, such as private equity or coinvestments, making them suitable for families with substantial but less than ultra-high wealth.

Professional Family Office (PFO)

The PFO model, sometimes considered a variation of the MFO, serves multiple clients through institutionalized wealth management services but may include dedicated staff for certain families. PFOs are often structured to provide a blend of tailored and standardized services, appealing to families who require specific expertise, such as private banking, estate planning, and family governance, but who prefer shared costs and resources.

Exhibit 3 presents a SWOT analysis for MFOs that emphasizes economies of scale, breadth of resources, and key challenges associated with serving multiple families.

SWOT Analysis of MFOs

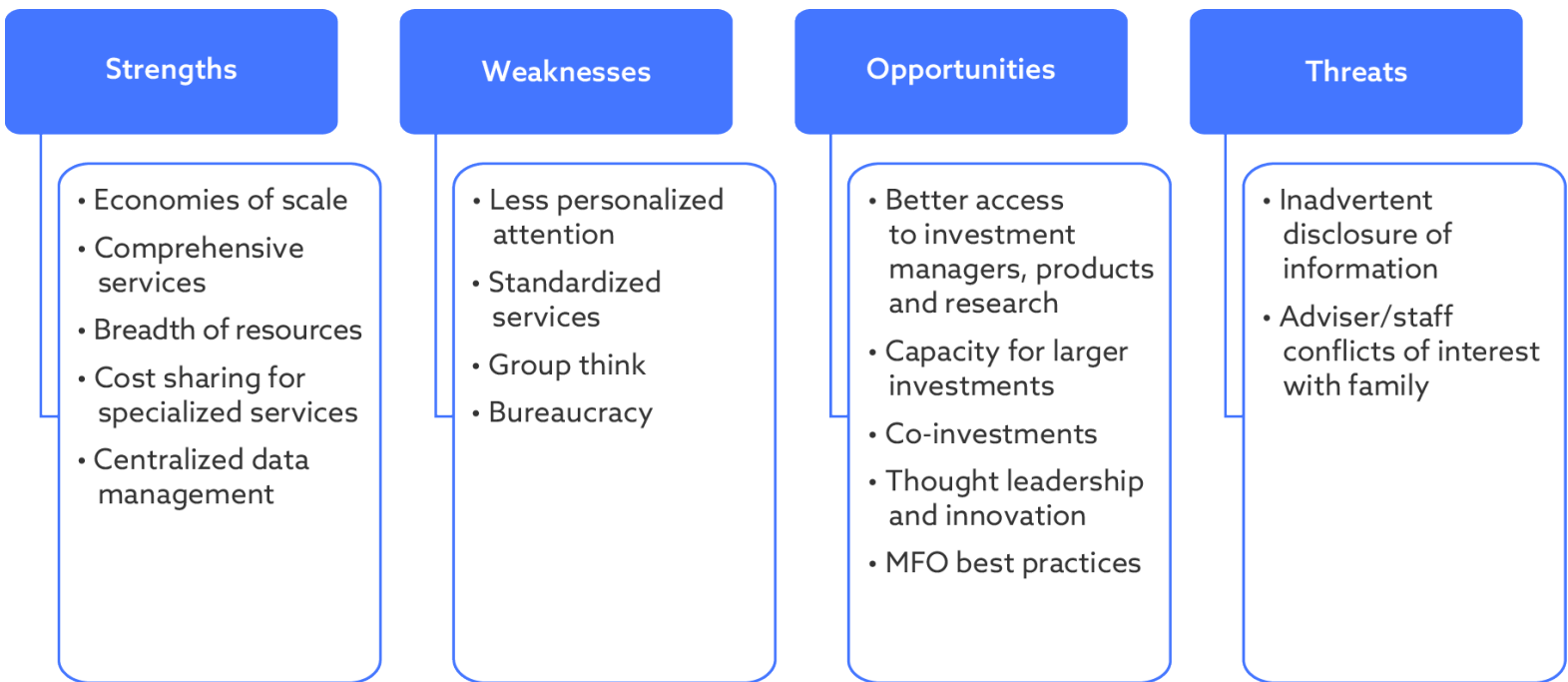


Exhibit 3: Source: CFA Institute.

Case Study: A Family’s Decision to Use an MFO

The Kim family, after recently selling their specialty manufacturing business, have accumulated around USD25 million in wealth. With four family members actively involved in different aspects of wealth and philanthropic management, they seek a model that offers personalized services without the high costs of an SFO. Privacy and maintaining some family control over investment strategies are priorities.

After evaluating the available options, the Kim family opt for an MFO. The MFO offers tailored investment solutions aligned with their risk tolerance and provides access to distinct co-investment opportunities in sustainable technology. The MFO also supports the family’s philanthropic initiatives, helping them structure a charitable fund that could grow over time. Regular family meetings, facilitated by the MFO’s advisers, encourage transparency and active participation among family members, which reinforces shared family values and investment philosophies.

Choosing an MFO allows the Kim family to balance cost-effectiveness with a level of personalization and privacy they value. Through this model, the Kims gain access to a comprehensive suite of services without the significant overhead and staffing requirements of an SFO, making it a suitable choice for their wealth level and family goals.

Selecting the Right Family Office Model

Exhibit 4 categorizes family office models based on typical net worth ranges, helping families match their wealth levels with the most appropriate model.

Net Worth Ranges for Family Office Models

Family office model	Net worth ranges (US dollar equivalent)
Single-family office	Net worth of USD100 million and above
Virtual family office	Net worth of USD20 million to USD100 million
Multifamily office	Net worth of USD20 million to USD 100 million

Exhibit 4: Source: CFA Institute.

Choosing the appropriate family office model depends on several factors, including the family’s wealth level, goals, complexity of assets, and desired level of control.

Wealth Level and Costs

SFOs are generally viable for families with USD100 million (equivalent) or more because of their high operational costs, whereas MFOs can be more cost-effective for families with wealth starting at about USD20 million (equivalent). VFOs and EFOs are suitable for families with lower to intermediate wealth levels or those seeking flexibility without the burden of high fixed costs.

Service Needs and Customization

Families seeking highly tailored services and maximum privacy may prefer an SFO, which offers tailored solutions across wealth management, lifestyle, and legacy planning. MFOs, while less customizable, provide a broad range of services that can satisfy the needs of multiple families without compromising significantly on service quality.

Asset Complexity

Families with complex assets, such as operating businesses, international holdings, or illiquid investments, may benefit from an SFO or MFO, which can handle a broad scope of services. In contrast, families with straightforward portfolios may find a VFO adequate, as it allows for the selective use of specialized outsourced services.

Governance and Family Involvement

An SFO is typically more conducive to active family governance, enabling family members to engage in decision making and ensuring alignment with family values. MFOs can still facilitate family involvement but may require more coordination because of the number of clients served.

Privacy and Confidentiality Needs

SFOs are the preferred choice for families that highly value privacy, as these offices are dedicated to a single client. MFOs, while offering confidentiality, cannot match the exclusivity of an SFO. VFOs and EFOs may be more limited in their ability to provide complete confidentiality, as some services are outsourced.

Once a wealthy family elects the appropriate structure for their needs (excluding the SFO option), they can ask the representatives of several family offices a range of questions to determine if an MFO, a PFO, or a VFO will best serve their needs.

The questions listed below are purely illustrative. Given the heterogeneity of wealthy families, no list of questions can be truly exhaustive, but the following list can be used as a baseline to inform the outline of a discussion with a private wealth adviser.

Illustrative Questions for Family Office Representatives

- Who is my primary point of contact, and how many clients is that person responsible for?
- Can you share a typical client profile as well as a summary of the range of clients you serve?
- What services do you provide your clients, and how are your services priced?
- What are your greatest strengths as a firm, and what do you outsource to other vendors?
- How do you ensure client confidentiality and the security of my family's information?
- What is your investment philosophy, and how do you implement it for clients like me?
- How do you think about risk and how do you integrate it into portfolio construction?
- How do you form capital market assumptions and create portfolios that align with our goals and needs?
- How do you recommend that families deal with concentrated holdings in single securities or businesses?
- What information do you need from me to create a portfolio that reflects my family's specific needs?

Up Next

You have now completed Lesson 5: Role of Family Offices. We hope this lesson has provided you with valuable insight into how and why wealthy families establish family offices, the distinguishing characteristics of family offices, different family office structures, and considerations for selecting an appropriate model.

Next, you will review the learnings from this module.

Module 1 Summary

You have now completed Module 1: Advising Multijurisdictional and Complex Families, Business Owners, and Professionals. In this module, you learned about:

- **Complex cross-border issues:** High-net-worth individuals with ties to multiple jurisdictions face varying tax, legal, and financial rules requiring coordinated planning.
- **Residency vs. citizenship:** Jurisdictions differ in tax bases—some tax by residency, others by citizenship—making it vital to understand both legal and tax domiciles.
- **Dual and economic citizenship:** Citizenship can be gained through various means, including investment; holding multiple citizenships offers mobility and diversification but introduces tax risks.
- **Double taxation treaties (DTTs):** DTTs help resolve conflicts where multiple countries claim tax rights, using methods like credit, exemption, or deduction.
- **Evolving family structures:** Blended families, cohabiting partners, and same-sex couples require tailored legal and financial planning.
- **Legal systems and agreements:** Different inheritance laws and divorce regimes necessitate tools like prenuptial agreements, trusts, and cohabitation contracts.
- **Concentrated wealth risks:** Business owners often hold illiquid, undiversified wealth, necessitating strategies for risk management and liquidity creation.
- **Wealth allocation frameworks:** Advisors use personal, market, and aspirational risk buckets to balance essential needs, investments, and high-risk assets.
- **Monetization and exit options:** Liquidity strategies include equity sales, MBOs, IPOs, or private equity deals, each with tax and control implications.
- **Capital gains tax planning:** Staged sales, tax-loss harvesting, and step-ups at death help reduce taxes triggered by business sales.
- **Compensation structures:** Executives accumulate wealth through salary, RSUs, stock options, and bonuses—often concentrated in employer stock.
- **Liquidity and hedging challenges:** Regulatory restrictions and insider rules limit trading flexibility, requiring careful planning and use of derivatives strategies like collars, protective puts and covered calls.
- **Alternative liquidity tools:** Executives access liquidity through loans, equity forwards, and swaps without triggering share sales.
- **Tax-efficient diversification:** Tools like exchange funds allow diversification while deferring capital gains taxes.
- **Centralized wealth management:** Family offices coordinate investments, estate planning, and family governance for UHNW families.
- **Flexible family office models:** SFOs, EFOs, MFOs, and VFOs offer varying control, cost, and service scope based on asset level and complexity. Beyond financial management, family offices support legacy planning, education, philanthropy, and discretion.

In the next module, you will learn how to recommend appropriate strategies for transferring wealth either during the donor's lifetime through gifts or at death through bequests and inheritances.

Module 1 Glossary

Note: The glossary terms in this list appear in the same order as they are introduced in the module text, rather than alphabetically.

- **Resident:** An individual or entity subject to tax in a specific country based on factors like domicile or physical residence.
- **Golden visa:** A visa that provides initial residency, work rights, and a path to permanent residency and potentially citizenship through significant investments in areas like real estate, government debt, or business ventures.
- **Tax domicile (tax residence):** Refers to the country where an individual is considered a tax resident.
- **Source jurisdiction (territorial tax system):** A country that taxes income sourced within its borders.
- **Credit method:** A method used by a residence country to provide relief to its taxpayers from residence-source conflicts. It offsets the domestic (i.e., residence) tax liability for taxes already paid to a foreign (i.e., source) country.
- **Exemption method:** A method used by a residence country to provide relief to its taxpayers from residence-source conflicts. The home (residence) country relinquishes its taxation rights on foreign-source income, so the taxpayer owes taxes only to the foreign country where the income originates.
- **Deduction method:** A method used by a residence country to provide relief to its taxpayers from residence-source conflicts. It reduces the taxable income by the amount of qualifying taxes already paid to a foreign government.
- **Treaty shopping:** Where an individual or entity attempts to leverage treaty tax advantages without genuine economic activities in either country.
- **Source state:** The jurisdiction where the income originates, generally where the related economic activity takes place.
- **Deemed disposition:** When an exit tax is assessed on unrealized gains accrued on assets leaving a taxing jurisdiction; for tax purposes the assets are assumed to be sold.
- **Investor visa:** A visa that offers temporary residency in exchange for specified investment in local businesses or industries, without guaranteeing a route to full citizenship.
- **Postnuptial agreement:** A contract signed after marriage that outlines the division of assets, debts, and financial obligations in case of divorce or death - it adapts to any changes in financial circumstances during the marriage.
- **Prenuptial agreement:** A contract signed before marriage that outlines the division of assets, debts, and financial obligations in case of divorce or death, which aims to offer predictability in asset division.
- **Cohabitation:** The living arrangement in which two people, typically in a romantic or committed relationship, share a residence without being legally married.
- **Cohabitation agreement:** An agreement that establishes a legal and financial framework for a cohabitation relationship, by defining how assets and debts will be treated during cohabitation and in the event of separation or death.
- **Concentrated position:** A holding that, due to its low tax basis and implicit large potential capital gains or personal association with the client, inhibits the development of an efficient, diversified portfolio.
- **Exchange-traded (ET) derivatives:** Standardized financial contracts traded on organized exchanges, such as futures and options. These contracts specify terms like transaction or exercise price, size, expiration date, and delivery conditions for the underlying asset.
- **Over-the-counter (OTC) derivatives:** Privately negotiated financial contracts between two parties, such as forwards, swaps, and options. These contracts are tailored to meet the specific needs of the counterparties, allowing flexibility in terms, including size, duration, and underlying asset.
- **Prepaid variable forward:** A contract in which the investor receives an upfront cash payment for agreeing to deliver the underlying shares in the future.
- **Exchange fund:** A mechanism that allows for a tax-free exchange of a concentrated stock position for a diversified asset pool. In an exchange fund, investors contribute low-cost basis stock to a partnership and acquire a proportional interest in a diversified pool of low-basis assets. This is a non-taxable event, and each partner's tax basis in the fund remains unchanged. After a minimum holding period, distributions are made in the form of shares in the diversified portfolio. Gains are not taxed until the diversified shares are sold.
- **Single family office (SFO):** An SFO serves a single family, providing tailored and private services. SFOs are ideal for families with substantial wealth that desire maximum control and customization.

- **Embedded family office (EFO):** An EFO functions within a family business and typically manages the wealth of the business owner(s) rather than the entire family's assets.
- **Virtual family office (VFO):** A VFO operates mainly through outsourced services, making it a flexible and cost-effective option.
- **Multi-family office (MFO):** An MFO serves multiple families, offering a range of services similar to an SFO but with shared resources. MFOs are usually less personalized than SFOs but benefit from economies of scale, which reduce costs.
- **Professional family office (PFO):** A PFO serves multiple clients through institutionalized wealth management services but may include dedicated staff for certain families.

Module 2: Wealth Transfers: Gifts and Bequests

Transferring wealth effectively requires a thoughtful blend of strategies that align financial goals with personal values, family dynamics, and legal considerations. This module explores two key components of estate planning—lifetime gifts and bequests—offering insight into how each can be used to achieve efficient, tax-advantaged wealth transfers. In this module, we'll first focus on the benefits of gifting during life, including the opportunity to reduce taxable estates, leverage exemptions and valuation discounts, and witness the impact of generosity in real time. Strategic gifting—through vehicles like trusts, family partnerships, and charitable structures—not only supports financial planning but also promotes legacy goals across generations. Then, we'll examine wealth transfers at death, highlighting the importance of wills, jurisdictional laws, and the use of trusts to structure distributions, minimize probate, and reduce estate or inheritance taxes. Special considerations, such as planning for blended families or international assets, underscore the need for customized, well-communicated estate plans.

This module provides a foundation for advising individuals on how to structure both lifetime and testamentary wealth transfers in a way that maximizes impact and minimizes disruption.

By the end of this module, you will be able to:

- Recommend appropriate approaches for transferring wealth during the donor's lifetime through gifts.
- Recommend appropriate approaches for transferring wealth at the donor's death through bequests and inheritances.

This module includes two lessons, as well as a module summary and a module glossary.

- Lesson 1: Transferring Wealth: Gifts During Donor's Lifetime
- Lesson 2: Transferring Wealth: Bequests and Inheritances at Donor's Death
- Module 2 Summary
- Module 2 Glossary

Let's get started!

Lesson 1: Transferring Wealth: Gifts During Donor's Lifetime

Welcome to Lesson 1 of Module 2!

In the landscape of private wealth management, transferring wealth through lifetime gifts offers an important avenue for families aiming to achieve both tax efficiency and intergenerational legacy goals. Unlike bequests or inheritances, which occur at the donor's death, lifetime gifts enable individuals to make substantial asset transfers during their lifetimes. This approach presents numerous advantages, including potential transfer tax savings, the ability to see the impact of one's wealth on recipients, and more control over the asset allocation process.

High-net-worth (HNW) individuals and families increasingly employ lifetime gifts as part of a strategic estate plan to maximize wealth distribution while minimizing tax liabilities. Effective lifetime gifting involves understanding and navigating various considerations, including the tax implications associated with gift transactions, as well as assessing how these transactions align with overall estate planning goals. This lesson will explore critical aspects of gifting, focusing on methods to optimize these transfers within the boundaries of the law, the creation and use of trusts, and strategic investment considerations that support the donor's long-term wealth management objectives.

By the end of this lesson, you will be able to recommend appropriate approaches for transferring wealth during the donor's lifetime through gifts.

Let's get started!

Gifting for Family and Others

In estate planning, **lifetime gifts** are often referred to as inter vivos (during life) transfers. These gifts are typically initiated by a **donor**—the individual providing the gift—without expectation of anything in return, embodying what is known as **donative intent**. The **donee**, or the individual or entity receiving the gift, might be a family member, charitable organization, or other parties as designated by the donor. Lifetime gifts are generally distinct from bequests made at death, as they are executed during the donor's life rather than through a will.

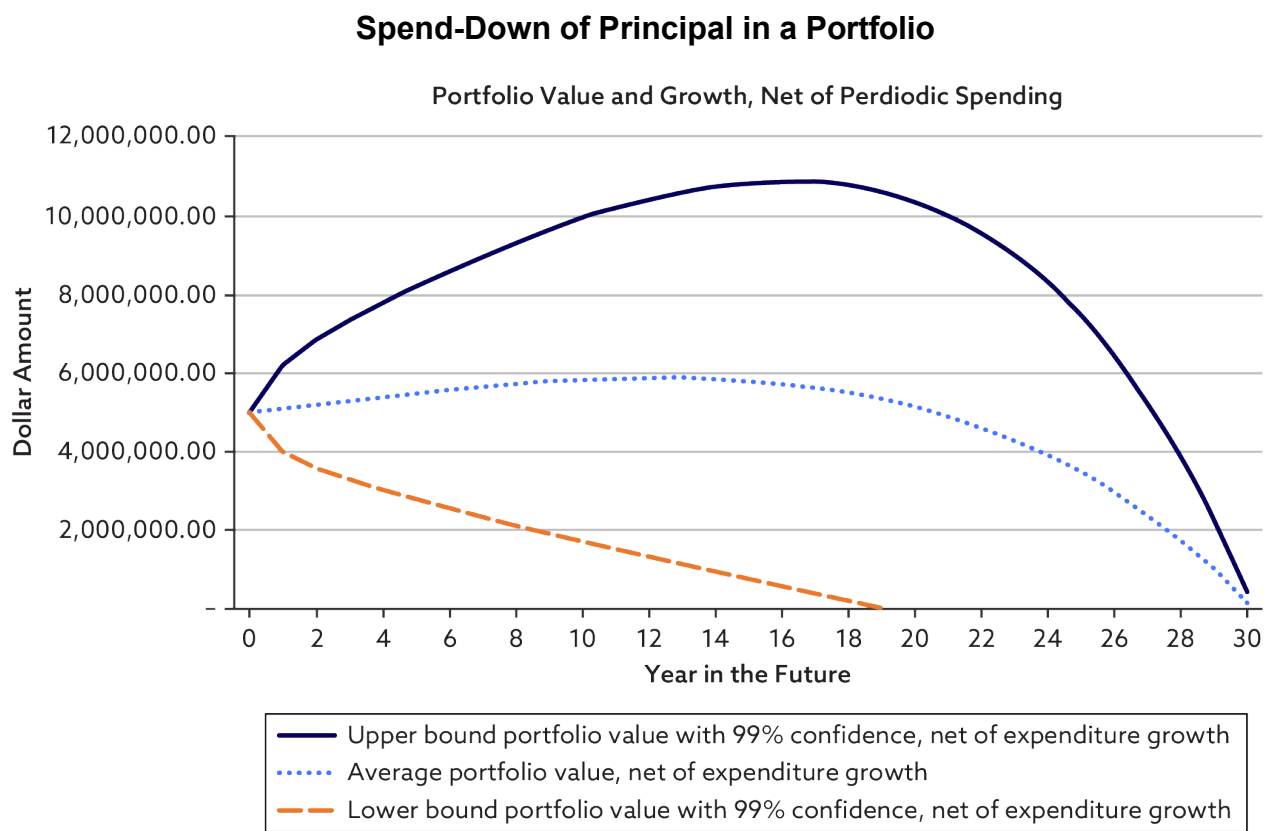
A key consideration in making lifetime gifts is the **transfer tax**, which refers to taxes levied on the transfer of wealth from one individual to another, whether during life or at death. The primary types of transfer taxes include **gift tax**, typically applicable to lifetime transfers, and estate or inheritance taxes, which are applied at death. Importantly, gift tax liability can vary depending on many factors, such as the relationship between the donor and donee, the type and location of the gifted asset, and the donor's and donee's tax statuses (e.g., tax-exempt or nonexempt), as well as the timing of the gift, specifically the period between the gift and the donor's death.

Wealth managers help clients navigate the complexities of these regulations, providing guidance on tax-efficient gifting strategies to optimize intergenerational wealth transfer while minimizing the tax burden on both the donor and the donee. Lifetime gifts are commonly employed to reduce the size of the taxable estate at death, facilitating a smoother transition of wealth across generations.

Determining Estate Planning Goals

Determining estate planning goals is a critical component of developing an effective wealth transfer strategy. HNW individuals often need to balance their personal wealth needs with their long-term aspirations for family support and charitable giving. Estate planning for HNW individuals typically includes defining wealth transfer objectives, determining an appropriate gifting strategy, and establishing clear timelines and priorities for lifetime gifts and charitable contributions.

A primary concern for many clients is ensuring that they have sufficient funds to sustain their standard of living for the remainder of their lives, particularly if they are uncertain about future expenses, inflation, or investment performance. As illustrated in Exhibit 1, such analysis offers insight into the sustainability of a portfolio over time, providing guidance on realistic spending rates based on expected returns, inflation, and portfolio value growth assumptions.



In this example, a 60-year-old couple with a USD10 million portfolio has outlined their intent to allocate today USD2 million to funds for each of their two children and to allocate USD1 million to a fund for charitable causes. After these allocations, they are left with USD5 million, which must last them for an expected 30 years. A sustainable spending rate is estimated to be between 3.5% and 6% of the initial portfolio value to ensure that the remaining funds are not depleted before the end of the period.

Given a moderate annual return rate of 6.5% (with a standard deviation of 10%) and an inflation rate of 5%, the projected portfolio balance over a 30-year period is as shown in Exhibit 1. With a 4.3% annual spending rate, the couple has a high probability of nearly exhausting their portfolio by the end of the 30-year horizon. However, the portfolio value depletes rapidly if the spending rate increases, especially if inflation erodes purchasing power or investment performance falls short of expectations.

Strategies for Making Lifetime and Charitable Gifts

Lifetime gifts are often leveraged by high-net-worth individuals to maximize the value of intergenerational wealth transfers while minimizing tax liabilities. Effective gifting strategies typically emphasize tax savings, valuation discounts, and the use of family limited partnerships. This section covers two key strategies: transfer tax savings and the use of valuation discounts.

Transfer Tax Savings

One of the primary motivations behind lifetime gifting strategies is to reduce transfer tax liabilities. **Estate tax** and **inheritance tax** are the main forms of transfer taxes levied on wealth transfers. Estate tax is imposed on the entire estate of the deceased before distribution to the heirs, while inheritance tax is levied on the recipients, or heirs, of an estate after its distribution. The rates and structure of these taxes vary significantly across jurisdictions, making it essential for advisers to understand the tax implications specific to each client’s location. For example, some jurisdictions offer some type of estate tax exemption where a portion of the estate can be transferred tax-free, resulting in the estate taxable value being less than the entire estate value.

The advantage of lifetime gifting rests in the ability to reduce the taxable value of an estate, thus minimizing estate tax. By transferring assets as lifetime gifts, donors can utilize periodic or lifetime allowances to mitigate the eventual tax burden, taking advantage of lower rates applicable to gifts. Additionally, many jurisdictions offer exclusions or reliefs for smaller gifts or gifts to specific recipients, such as immediate family members. This strategic use of allowances can have a significant impact on reducing the overall estate tax liability at the time of death.

Some gifts can escape transfer tax by falling below annual or lifetime allowances. South Africa, for example, allows taxpayers to make tax-free gifts of up to ZAR100,000 per tax year. UK taxpayers may make annual gifts of GBP3,000 that escape gift tax. Germany has allowances for gifts to close family members, and the size of the allowance depends on the relationship between the donor and the donee. Each parent may make an EUR400,000 gift to a child (including stepchild, adopted child, or child born out of wedlock) every 10 years. This exemption applies to each parent, so a couple may gift EUR800,000 total without gift tax, allowing a substantial amount of wealth to be transferred over time. Therefore, it is important to check local regulations closely and obtain guidance from legal and accounting professionals.

Other types of exclusions or relief may apply as well. In France, for instance, a 50% tax relief applies to gifts from donors less than 70 years old, and a 30% tax relief applies if the donor is between 70 and 80 years old. It is therefore common to be able to transfer some assets by gift in a tax-efficient manner.

Exhibit 2 illustrates the variations in gift and estate tax rates, allowances, and who bears the tax burden in several different countries.

Gift and Estate Tax Rates for Various Jurisdictions

Jurisdiction	Maximum gift and estate tax rate (%)	Allowances	Taxes paid by
Japan	55.0	Spousal exemption and up to JPY10 million per statutory heir	Donee
Belgium	40.0 ^a	Minor exemptions	Donee
Netherlands	20.0 ^b	Partner exemption of up to EUR723,526	Donee
United Kingdom	40.0	Unlimited spousal or partner exemption	Donor
South Korea	50.0	Spousal exemption of up to KRW600 million; KRW50 million for a child of the deceased	Donee
United States	40.0	First USD12.92 million is exempt from taxation for citizens and domiciliaries. Unlimited spousal exemption for surviving spouses who are citizens.	Donor

Exhibit 2: Source: CFA Institute.

Note: Tax rates are as of 2023.
^aLower rates for spouses and direct descendants and depends on property type.
^bFor partner and children. Up to 40% for other persons.
Data Source: EY 2023 Worldwide Estate and Inheritance Tax Guide.

Understanding and utilizing these allowances across different jurisdictions can be crucial in optimizing wealth transfers. For example, the United States offers a relatively high lifetime exemption, while Japan has high tax rates but allows significant spousal exemptions.

The effect of these exemptions and allowances on inflation-adjusted wealth transfer potential is important, because inflation and tax strategies can affect the actual value transferred across generations. Inflation erodes the value of transferred wealth over time, making it vital for donors to consider inflation when planning gifting strategies to preserve the wealth’s purchasing power.

For example, assume that in the United States a donor’s annual gift exclusions are limited to USD17,000 per year per donee (e.g., a parent may annually transfer USD17,000 to each child or USD34,000 from both parents). Exhibit 3 shows that an annual gifting program of transferring USD17,000 per year gift-tax free at the beginning of each year over a 30-year period transfers nearly USD1.084 million at a 6% nominal return taxed at 25% annually.

Nominal Wealth Transferred via USD17,000 Annual Gifts with Capital Gains Taxed Annually

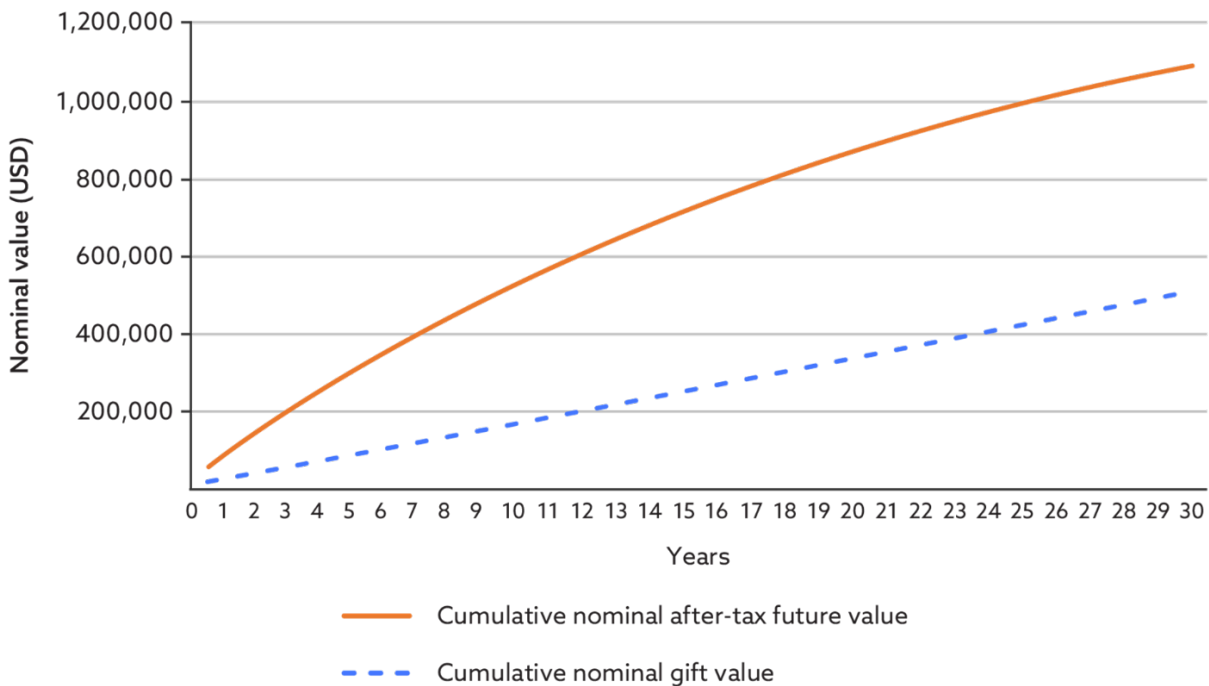


Exhibit 3: Source: CFA Institute.

The blue dashed line represents the accumulated nominal value of the gifts (USD17,000 per year) themselves, excluding investment returns. After 30 years, the gifts total USD510,000 (= USD17,000 × 30). If the donor had kept this amount, it would have increased the value in their estate and their estate tax liability. With gifting, any appreciation of the gifted amounts also escapes estate tax. Given the assumptions noted above, there would be approximately USD574,000 of nominal appreciation (the difference between the solid blue line and the dashed black line after 30 years), for a total value of about USD1,083,791. Note, however, that the real (inflation-adjusted) value will be substantially lower due to the value-eroding impact of inflation over the 30-year horizon.

Example: Taxes on Annual Gifting

To illustrate the difference that using tax-efficient strategies can make, consider a scenario where USD17,000 is gifted annually over a 30-year period.

In this situation, the following can be assumed:

- Annual tax-free gifts of USD17,000 are made at the beginning of each year for 30 years.
- Nominal return is 6% annually.
- Capital gains tax rate is 25%, assessed annually at year end.
- The annual inflation rate is 2.5%.

First, we'll determine the nominal and real after-tax value of the gift, with no tax-efficient strategy applied. Thereafter, we'll make the same calculations for tax-efficient gifts and compare the results.

Nominal After-tax Gift Value

Using the assumptions given, the nominal after-tax investment return over the period is 4.5% annually:

$$6.0\% \times (1 - 0.25) = 4.5\%$$

The nominal after-tax value of the gifts in 30 years is found using the future value of an annuity due formula,

$$A \times (1 + r) \left[\frac{(1 + r)^n - 1}{r} \right]$$

Equation 1

Where

- A = USD17,000,
- r = 4.5%, and
- n = 30.

Therefore, the nominal after-tax value of the gifts is USD1,083,791, as calculated below.

$$\text{USD17,000} \times (1 + 0.045) \left[\frac{(1 + 0.045)^{30} - 1}{0.045} \right] = \text{USD1,083,791}$$

Equation 1a

Real After-tax Gift Value

The real after-tax value of the gifts at the end of the 30-year horizon is found by dividing the nominal value by $(1 + i)^n$

Where

- i = the assumed annual inflation rate of 2.5% and
- n = 30.

Therefore, the after-tax value is USD516,689.

Note that the difference in this real value compared with the much larger nominal value demonstrates the value-eroding effects of inflation over the 30-year period:

$$\frac{\text{USD1,083,791}}{(1 + 0.025)^{30}} = \text{USD516,689}$$

Nominal After-tax Value of Tax-efficient Gifting

As an alternative to the previous scenario, if a more tax-efficient investment strategy is used—one that, for example, defers the 25% tax on investment returns until the end of the investment horizon—then the accumulated sum of the gifts increases to almost USD1.196 million.

In this situation, the same assumptions are made as in the first scenario except that instead of assuming the 25% capital gains tax is assessed annually at year end, the same tax is assumed to be deferred and payable once at the end to the 30-year horizon.

Using the 6% nominal pre-tax return over the period and the future value of an annuity due formula, the nominal pre-tax value of the gifts is found to be USD1,424,629.

$$\begin{aligned} &A \times (1 + r) \left[\frac{(1 + r)^n - 1}{r} \right] \\ &= \text{USD}17,000 \times (1 + 0.060) \left[\frac{(1 + 0.060)^{30} - 1}{0.060} \right] \\ &= \text{USD}1,424,629 \end{aligned}$$

Equation 1b

The nominal taxable capital gain, using a cost basis of USD510,000 (= USD17,000 × 30) is found to be USD914,629, and the capital gain tax, at the 25% capital gains tax rate, is USD228,657.

$$\begin{aligned} &\text{USD}1,424,629 - \text{USD}510,000 = \text{USD}914,629 \\ &\text{USD}914,629 \times 0.25 = \text{USD}228,657 \end{aligned}$$

Therefore, as shown below, the nominal after-tax value of the gifts is USD1,195,972.

$$\text{USD}1,424,629 - \text{USD}228,657 = \text{USD}1,195,972$$

Real After-tax Value of Tax-efficient Gifting

The real after-tax value of the gifts at the end of the 30-year horizon is found the same way it was in the previous scenario, by dividing the nominal value by $(1 + i)^n$.

Therefore, the real after-tax value is USD570,171 as calculated below.

$$\frac{\text{USD}1,195,972}{(1 + 0.025)^{30}} = \text{USD}570,171$$

The benefit of such a tax-efficient strategy is that appreciation on gifted assets is effectively transferred to the donee without gift or estate taxes. Importantly, appreciation on the gifted assets is likely still subject to tax on investment returns (e.g., dividends and capital gains) whether they are transferred to a donee (as in this alternative scenario) or whether the assets remain in the donor’s estate. If, however, the tax-free gift had not been made and had remained in the estate, the appreciation on it would have been subject to estate or inheritance tax.

Using Valuation Discounts

Once the decision to make a gift is made and the amount of capital that can be transferred is determined, then appropriately selecting the assets to gift can maximize the value of the gift. Transfer taxes may also be mitigated by transferring assets that qualify for valuation discounts (or, in appropriate cases, structuring assets to qualify for such discounts). Typically, tax is levied on the fair market value of the asset being transferred, which is a straightforward determination in the case of cash or marketable securities.

However, if, for example, shares in a privately held family business are being transferred, then establishing their fair market value is not straightforward. It requires a valuation according to some pricing model or models, which, in turn, requires assumptions. In addition to the inputs that must be estimated or forecasted to determine the intrinsic value of an otherwise similar publicly traded company, the valuation of privately held companies often involves discounting estimated future cash flows at a higher cost of capital to reflect the lack of liquidity associated with their shares. Estimates of the average discount for lack of liquidity (i.e., illiquidity discount) are substantial and range from 30% to 50% of the value of an otherwise identical publicly traded company. The size of the discount tends to be inversely related to the size of the company and its profit margin.

When transferring interests in closely held businesses or other illiquid assets, valuation discounts can significantly reduce the gift’s taxable value. Such discounts reflect the challenges in selling these assets because of marketability or control limitations. Two common types of valuation discounts are the **illiquidity discount** (also known as **discount for lack of marketability** or **DLOM**) and the **lack of control discount** (also known as **discount for lack of control** or **DLOC**). These discounts are often applied in the context of **family limited partnerships (FLPs)**, a vehicle for family wealth transfer used mainly in the United

States (similar structures may exist in other common law countries) where assets are pooled into a partnership and shares are gifted over time to heirs.

FLPs not only allow donors to maintain a certain level of control over assets but also benefit from reduced valuation for tax purposes. To illustrate these strategies, consider three case studies involving the Rivera Family.

Case Study: Illiquidity Discount for Gifts of Shares

Herbert and Jane Rivera are US citizens and domiciliaries, and they are each 60 years old. They have three adult children—Don, Greg, and Tina. Jane has an investment portfolio, comprised mostly of publicly traded securities and some alternative assets, with a fair market value of approximately USD50 million. Herbert and his brother Michal each own 50% of an education services company they started several years ago, with a recent valuation of USD75 million. The company’s shares are governed by a buy–sell agreement between the brothers that limits the ability to sell the shares.

Herbert and Jane would like to begin making gifts of their assets to their children to lower their expected estate taxes at their deaths. If Herbert were to make a gift of 10% of his one-half ownership interest in the company, he believes the stake would be valued with a discount of between 30% and 40% due to its illiquidity.

Assuming a 35% illiquidity discount, Herbert’s gift of 10% of his interest in the company before any discounts would have a fair market value of USD3.75 million (= USD75 million × 0.5 × 0.1). After applying a 35% discount to this value, the value of the potential gift of shares is reduced to USD2,437,500 (= USD3.75 million × (1 – 0.35)).

If the shares being transferred represent a minority interest in the privately held company, an additional discount is taken for the lack of control associated with a minority interest. This valuation discount is distinct from, but not independent of, an illiquidity discount because positions of control are generally more marketable than minority positions that lack control. Lack of control discounts resulting from minority stakes typically range between 10% and 30%, but their interaction with illiquidity discounts is not additive. For example, if a stake in a privately held business warrants a 40% illiquidity discount and a 20% lack of control discount, then the combined discount is multiplicative and will result in a lower figure than 60%, as follows:

$$[(1 - 0.40) \times (1 - 0.20)] - 1 = -0.52, \text{ or a } 52\% \text{ combined discount}$$

Case Study: Lack of Control and Illiquidity Discounts for Gifts of Shares

Herbert’s potential gift to his children of 10% of his one-half share of the company also represents a minority interest in the company, thereby allowing an additional discount for lack of control of 20%. The 35% illiquidity discount and 20% lack of control discount would interact multiplicatively, resulting in a combined 48% discount on Herbert’s potential gift, as follows:

$$[(1 - 0.35) \times (1 - 0.20)] - 1 = -0.48$$

Transferring assets subject to valuation discounts reduces the base on which transfer tax is calculated, and hence reduces the transfer tax. For this reason, HNW investors in some jurisdictions may intentionally create illiquidity and lack of control by placing assets in a FLP. Rather than gifting (during their lifetimes) or bequeathing (at their deaths) the underlying assets, the first-generation transfers minority interests in the FLP, which are illiquid, to separate individuals. The lack of liquidity and control of an FLP structure may make it eligible for valuation discounts in some jurisdictions. In general, FLPs comprised of cash and marketable securities will receive less discount than a privately held operating company. Taxing authorities generally scrutinize these types of transactions very closely. These structures must be carefully crafted by experienced attorneys to ensure they qualify for the maximum discounts allowable.

Case Study: Transferring via a Family Limited Partnership

Herbert’s brother, Michal, is not in favor of Herbert gifting the company shares to his children. Because of their buy–sell agreement, this transaction is consequently not possible. Given this situation, Jane wishes to gift 25% of her investment portfolio to the children while minimizing the value of the gift for tax purposes.

To transfer the desired portion of her investment portfolio to her children at a lower than fair market value, Jane could contribute her investment portfolio to a new FLP, the Rivera FLP, and then make a gift of 25% of the FLP to her children. If Jane gifts 25% of the FLP, and assuming the combined lack of liquidity and lack of control discount for the FLP is 30%, then the value of the gift of FLP shares for gift tax purposes would be USD8,750,000 (= USD50 million × 0.25 × [1 – 0.30]). This compares to a market value of USD12,500,000, assuming a direct gift of the investment portfolio.

In conclusion, by incorporating transfer tax savings strategies and valuation discounts, advisers can help HNW families like the Riveras structure lifetime gifts in ways that maximize intergenerational wealth transfer. Proper application of these strategies allows families to retain control over assets while benefiting from substantial tax savings, ultimately preserving wealth for future generations.

Brief Primer on Common Law and Civil Law

Before going into more detail on trusts, take some time to review common law and civil law.

Common law, or case law, derives its authority from judicial decisions, setting precedents for future cases and promoting legal consistency. On the other hand, civil law depends on detailed legal codes and statutes. Judges in civil law countries interpret the laws without the power to modify them.

Origins and Significance

Common law has its roots in medieval England under monarchs like Henry II. With decisions accumulating over time, it brought uniformity in rulings. Common law proliferated throughout the British colonies; later, countries like the United States, Canada, and Australia adopted it. The system's strength lies in its adaptability and the ability to evolve, granting judges the discretion to weigh individual case nuances.

Civil law traces back to the Roman legal tradition, particularly the Corpus Juris Civilis commissioned by Emperor Justinian I. This structured system became foundational for European nations such as France, Germany, and Spain. Its significance comes from its explicitness, offering clear guidelines on rights and obligations for consistent law application.

Comparison

Both systems seek societal justice and address similar legal quandaries. Yet, they diverge in their methodology. While common law stresses judicial decisions, civil law hinges on its legal codes. Judges in common law mold the law, whereas their counterparts in civil law stick to code interpretation.

Trusts

Trusts play a significant role in estate planning and wealth management, offering a versatile structure for wealth transfer that can meet various financial, legal, and family objectives. Trusts come in different forms, each with unique characteristics and benefits. This section provides a comprehensive overview of trusts, from fundamental definitions and purposes to investment considerations.

What Is a Trust?

Typically, a trust is a common-law legal arrangement in which a **settlor** (or **grantor**) transfers assets to a **trustee**, who holds and manages these assets for the benefit of one or more beneficiaries. The arrangement is defined and governed by a **trust agreement**, a document that outlines the terms, conditions, and intentions of the settlor. Trusts can be structured in various forms to meet specific objectives, such as asset protection, tax efficiency, and control over the distribution of wealth.

Trusts are generally classified as revocable trusts or irrevocable trusts.

Revocable Trusts

A revocable trust can be amended or terminated by the settlor during their lifetime. These trusts offer flexibility, as the settlor is considered to retain control over the assets and can make changes as circumstances evolve. However, because the assets in a revocable trust are still within reach of the settlor, they are typically not shielded from creditors or estate tax.

Irrevocable Trusts

In contrast, an irrevocable trust cannot be altered or revoked once established. This type of trust is commonly used for estate planning purposes, as assets within the trust are generally considered separate from the settlor’s estate, potentially offering tax and asset protection advantages.

Exhibit 4 illustrates the primary distinctions between revocable and irrevocable trusts.

Some Distinctions Between Revocable and Irrevocable Trusts

Characteristics	Trust type	
	Revocable trust	Irrevocable trust
Trust can be rescinded	Yes	No
Title to ownership (for tax purposes) held by	Settlor (grantor)	Trustee
Responsible for taxes and reporting	Settlor (grantor)	Trustee
Assets reachable by settlor’s creditors	Yes	No

Exhibit 4: Source: CFA Institute.

Additionally, trusts can be structured as fixed trusts or discretionary trusts.

Fixed Trusts

A **fixed trust** specifies predetermined distributions to beneficiaries. The trustee has limited discretion, as the terms of the trust agreement define who will receive the assets and in what proportion or amount. Fixed trusts offer certainty and are useful in situations where the settlor has clear intentions for the asset distribution.

Discretionary Trust

In contrast, a **discretionary trust** allows the trustee to decide how and when to distribute the trust assets among the beneficiaries. This flexibility can help the trustee respond to changes in the beneficiaries’ circumstances over time, making discretionary trusts ideal for families with diverse or evolving needs.

Exhibit 5 illustrates the primary distinctions between fixed and discretionary trusts.

Some Distinctions Between Fixed and Discretionary Trusts

Characteristics	Fixed Trust	Discretionary trust
Distributions to beneficiaries	Amount and timing are specified	Amount and timing are determined by trustee
Beneficiaries have legal right to trust assets or income	Yes	No
Assets reachable by beneficiaries’ creditors	Yes	No

Exhibit 5: Source: CFA Institute.

These classifications provide a foundational understanding of the flexibility that trusts can offer, whether the goal is to retain control, protect assets, or provide adaptable solutions to beneficiaries’ needs.

Why Use a Trust?

Trusts are often central to estate planning due to their ability to meet a range of financial, legal, and personal objectives for HNW individuals and families. The main objectives for using a trust structure include asset protection, avoiding probate, tax planning, privacy, and ensuring the continuity of wealth transfer across generations.

Benefits of Trusts

One of the primary benefits of a trust is that it allows assets to bypass probate—the often lengthy and public legal process that validates a will and facilitates the distribution of assets to heirs. Probate can be costly and time-consuming, potentially delaying access to assets and exposing family members to unwanted scrutiny. A trust arrangement circumvents probate, allowing for more efficient and private asset transfer according to the settlor’s wishes.

Trusts also play a vital role in asset protection, especially in situations where assets might otherwise be exposed to creditors. Certain jurisdictions provide greater protection through trust structures, particularly irrevocable trusts, which legally separate the trust’s assets from the settlor’s personal assets.

In some cases, trusts are used to navigate community property laws. Community property, recognized in certain jurisdictions, refers to a legal framework in which assets acquired during marriage are jointly owned by both spouses. Trusts allow for the segregation of individual or inherited assets from community property, offering greater control over the disposition of these assets in cases of divorce or death.

Key Objectives for Using a Trust Structure

The key objectives for using a trust structure can be summarized as follows:

- **Asset protection:** Protecting assets from creditors or legal claims against beneficiaries.
- **Avoiding probate:** Bypassing the probate process for privacy, efficiency, and cost savings.
- **Tax planning:** Structuring assets in ways that minimize estate, inheritance, or other applicable taxes.
- **Privacy:** Providing a private vehicle for wealth transfer, avoiding the public nature of probate.
- **Continuity:** Ensuring that assets are distributed according to a long-term, generational wealth plan, particularly when combined with an FLP or similar structure.

Note that, besides including financial assets, such as securities (i.e., stocks and bonds) and bank and investment accounts, and real estate assets, like residences and vacation homes, trust assets can also include tangible personal property. Examples of tangible personal property include artwork, jewelry, wine collections, and classic cars and yachts, among others. Trust assets can also include intellectual property, like copyrights and patents.

By establishing a trust, a family can address these objectives, enabling a more comprehensive and efficient transfer of wealth while maintaining control over the timing and conditions under which assets are distributed.

Trust Duration

The duration of a trust is a critical consideration in estate planning, as it determines how long the trust can last and the time frame for asset distribution to beneficiaries. Trust duration is often influenced by the **rule against perpetuities**, a legal principle that limits how long a trust can last. The rule aims to prevent assets from being held indefinitely and typically requires that interests in a trust vest within a specific time frame, such as 21 years after the death of a relevant individual. However, some jurisdictions have abolished or modified this rule, allowing trusts to last for extended periods or even indefinitely.

For families seeking to create a legacy across multiple generations, dynasty trusts can be an effective tool. A dynasty trust is a type of trust designed to last for generations, often structured to bypass estate taxes at each generational level. Dynasty trusts are particularly useful in jurisdictions that have repealed the rule against perpetuities or allow extended trust durations.

Generation skipping is another concept in trust planning, whereby assets are transferred directly to their grandchildren or later generations, bypassing the children to maximize tax efficiency. In some jurisdictions, however, such arrangements are subject to the **generation-skipping transfer tax (GST)**, a tax imposed on wealth transfers that skip a generation. This tax aims to prevent families from avoiding estate taxes by skipping generations.

The following case studies illustrate how generation-skipping strategies and dynasty trusts are used in estate planning.

Case Study: Generation Skipping with a Gift

Kenichi and Fumiko Kawaguchi are Japanese citizens who have JPY1 billion of first-generation capital that they would like to transfer to fulfill their goals of securing a sound financial future for their children and grandchildren. Suppose that the capital to support their children amounts to JPY800 million, leaving JPY200 million of “excess” capital that can be transferred to the third generation.

Japan imposes tax rates up to 50% on the recipient of a gift or inheritance. Suppose the second-generation excess capital of JPY200 million is transferred twice—once from the first generation to the second in 10 years and again from the second to the third generation 25 years after the first transfer.

Gift’s Future Value: Second to Third Generation

Assuming an estate/gift tax rate of 50% and a real rate of return of 5% (e.g., 8% nominal return with 3% inflation), the real after-tax value of the transfer, after it has been transferred from the second generation to the third generation of the Kawaguchi family is JPY275,800,768. This is calculated as follows:

$$\text{JPY}200,000,000 \times \left[(1.05)^{10} (1 - 0.50) (1.05)^{25} (1 - 0.50) \right] = \text{JPY}275,800,768$$

Gift’s Future Value: First to Third Generation

After discussions with their tax attorney, Mr. and Mrs. Kawaguchi decide to take advantage of a generation-skipping strategy to transfer their JPY200 million gift directly to their grandchildren. Under the same conditions as previously, the real after-tax value of the gift after it is transferred via generation skipping directly to the third generation of the family JPY551,601,537, calculated as follows:

$$\text{JPY}200,000,000 \times \left[(1.05)^{35} (1 - 0.50) \right] = \text{JPY}551,601,537$$

This amount is double the amount when the capital is taxed twice.

In general, the relative value of skipping generations to transfer capital that is considered excess for both the first and second generations is $1/(1 - T_1)$, where T_1 is the tax rate applicable to capital transferred from the first to the second generation.

In at least one jurisdiction (the United States), the taxing authorities discourage this strategy by imposing a special generation-skipping transfer tax. This tax, in addition to the usual transfer tax, is imposed on transfers to, among others, grandchildren or subsequent generations and is intended to produce the same overall tax effect had the assets been passed sequentially through two generations. However, a large exemption to this tax (USD12.96 million in 2023) can be sheltered for multiple generations in a dynasty trust. Additionally, non-US persons are not subject to this tax and could shelter all of their assets from US transfer taxes in a dynasty trust.

Case Study: Generation Skipping Planning Using a Trust

The Kawaguchi children and grandchildren are US citizens who live in the United States. If Mr. and Mrs. Kawaguchi transfer the sum of JPY200 million outright to their grandchildren, then at the death of the grandchildren, the funds will be subject to estate tax. To avoid this, they are instead considering transferring the property into a trust.

A US-based irrevocable dynasty trust would be best suited for this transfer because the Kawaguchis, who are Japanese citizens, are not subject to any US generation-skipping taxes. Therefore, the trust can be held for the benefit of their grandchildren and future generations without paying any transfer taxes into perpetuity. The Kawaguchis should, however, consult with local Japanese counsel to determine the Japanese transfer tax consequences.

Moreover, the trust should be created in a US state that has abolished rules against perpetuities, such as the state of Delaware. The trust should be discretionary to allow the trustees to keep the trust intact and to grow for future generations. Additionally, the trust will provide the grandchildren with protection against creditors and divorcing spouses and will allow for professional control and management of the gifted assets.

These cases demonstrate the flexibility and potential benefits of generation-skipping and dynasty trusts in multigenerational wealth planning. Such strategies enable families to maximize tax efficiency while ensuring a sustained legacy across future generations.

Gifts to Trusts

Trusts serve as versatile vehicles for wealth transfer, and gifts to trusts are a common strategy in estate planning. Gifts to trusts can be structured in different ways depending on the timing and purpose of the transfer. The two main types, based on the timing of the gift, are inter vivos trusts and testamentary trusts.

Inter Vivos Trusts

Also known as a “living trust,” an inter vivos trust is created and funded during the lifetime of the settlor. This type of trust allows the settlor to observe and control the impact of the gift, providing flexibility to modify the trust as circumstances change, especially in the case of a revocable trust. Inter vivos trusts can serve as effective tools for wealth management and asset protection and are often used to bypass the probate process.

Testamentary Trusts

This trust is established upon the death of the settlor through instructions in their will. A testamentary trust becomes active only after the settlor's death, and the assets within it are distributed according to the will's terms. Testamentary trusts are irrevocable and provide a structured way to transfer wealth to beneficiaries, especially minors or individuals requiring oversight in asset management.

Gifts to both inter vivos and testamentary trusts can be structured to achieve a variety of objectives, such as minimizing tax liabilities, maintaining privacy, and ensuring beneficiaries' long-term financial security. Choosing the appropriate type of trust and funding it through lifetime or testamentary gifts allows HNW families to control the timing and conditions of asset transfers effectively.

Taxation of Trusts

The tax treatment of trusts varies by jurisdiction and depends on factors such as the type of trust and the residency of the trustee and beneficiaries. Understanding the nuances of trust taxation is essential for optimizing the tax efficiency of wealth transfers and ensuring compliance with applicable regulations.

A common tax-planning strategy for wealthy individuals in the United States involves an **intentionally defective grantor trust** (IDGT), a type of irrevocable trust created specifically to take advantage of certain tax benefits. In an IDGT, the trust is designed so that it is disregarded for income tax purposes (with the trust's income attributed to the grantor) but is recognized as a separate entity (i.e., outside of the estate) for estate and gift tax purposes. This strategy allows the grantor to pay income taxes on the trust's assets without depleting the trust's corpus, effectively increasing the value of the assets transferred to beneficiaries. In sum, to achieve this benefit, the IDGT is designed to be effective for estate tax purposes but “defective” for income tax purposes.

Another option for HNW individuals with international ties is the **offshore trust**. Offshore trusts are established in foreign jurisdictions that offer favorable tax treatment, asset protection, and privacy for trust assets. Many wealthy individuals use offshore trusts to benefit from lower tax rates and reduced reporting requirements in certain jurisdictions. For example, many Caribbean and Channel Island countries have no income taxes and have favorable trust laws enacted to attract the trusts of such individuals from around the world.

However, offshore trusts must be carefully structured to comply with relevant tax regulations in both the grantor's home country and the jurisdiction where the trust is domiciled. Importantly, there is a low-probability but high-impact risk of running into legal issues, selecting the wrong jurisdiction (resulting in having assets seized), or picking a local trustee that absconds with the funds. Therefore, the benefits of using an offshore trust must be carefully evaluated against such risks.

The typical steps involved in establishing an offshore trust, from selecting a jurisdiction to defining the trust's structure, are outlined below.

- 1. Select a jurisdiction:** Based on the private wealth client's needs, research and then select a suitable country in which to set up the trust.
- 2. Engage legal and tax experts:** Consult with legal and tax experts familiar with trust and tax laws in both the client's home country and the chosen offshore jurisdiction. Understanding applicable laws and regulations is key, especially regarding repatriation of funds or income generation.
- 3. Draft the trust agreement:** This is the primary document outlining the trust's terms and conditions.

Appoint trustees: Typically, at least one trustee is required, and some jurisdictions may require a local trustee.

5. Transfer assets to the trust: Once established, assets can be transferred into the trust.

6. Ensure regular management: Ensure regular reviews and management of the trust's assets, compliance with local regulations, and any reporting requirements.

The establishment of an offshore trust provides advantages in tax planning and asset protection, particularly for those with assets or beneficiaries in multiple countries. However, it is essential to stay abreast of international tax rules to avoid unintended tax liabilities and ensure transparency in reporting.

Tax planning in trusts involves assessing factors such as income distribution, asset type, and jurisdictional laws. With the right structure, families can maximize the efficiency of wealth transfers while minimizing tax implications, protecting their assets across borders, and achieving their long-term financial goals, all subject to the risks noted above.

Non-trust Jurisdictions

In many countries, trusts are not traditionally recognized or permitted due to differences in legal systems. Countries that follow civil law often have restrictions that prevent the use of trusts, relying instead on other structures to facilitate wealth transfer and estate planning. For HNW individuals with assets or family members in such non-trust jurisdictions, alternatives like Stiftungs and Anstalts offer solutions similar to trusts, providing asset protection and controlled wealth distribution.

Stiftungs are private foundations used primarily in civil law jurisdictions, such as Liechtenstein, to hold and manage assets for specific purposes, including charitable, family, or estate planning objectives. A Stiftung operates similarly to a trust by providing a framework for asset management but is established under civil law rather than common law.

Anstalt structures are typical in certain civil law countries and are similar to corporations or limited liability entities. They are often used by HNW individuals to hold and protect assets while allowing flexible control over wealth transfer and estate planning.

Many civil law countries also have forced inheritance rules (or forced heirship), which prescribe mandatory distributions of a deceased person's assets to specific heirs, often spouses and children. These rules restrict the ability to alter inheritance plans through private arrangements, such as trusts, limiting flexibility in wealth distribution. Wealth managers advising clients with assets in civil law jurisdictions must carefully navigate these constraints to meet clients' estate planning objectives.

As noted, in non-trust jurisdictions, wealth managers may use structures like Stiftungs and Anstalts to achieve similar goals to those offered by trusts in common law countries. However, each jurisdiction's unique legal framework and inheritance rules must be carefully evaluated to ensure compliance and alignment with the client's estate planning objectives.

Investments Held in a Trust

The investment of assets held within a trust is a critical responsibility of the trustee. Trustees must carefully manage the trust's investments to meet the needs of beneficiaries and to honor the intentions of the settlor. The **prudent investor rule** serves as a guiding principle, requiring trustees to act prudently and in the best interest of the beneficiaries when making investment decisions. This rule emphasizes a diversified approach that balances risk and return, tailored to the specific objectives of the trust.

When selecting investments, trustees consider multiple factors to ensure alignment with the trust's purpose and the beneficiaries' needs:

- **Trust purpose:** Aligning investments with the primary objectives outlined in the trust agreement, such as capital preservation or growth.
- **Beneficiary needs:** Assessing beneficiaries' current and future financial needs to determine an appropriate risk profile and allocation of investments.
- **Time horizon:** Determining the investment time frame based on when beneficiaries will require distributions from the trust.
- **Risk tolerance:** Balancing the level of risk the trust can undertake, depending on the beneficiaries' financial security and the trust's purpose.
- **Liquidity requirements:** Ensuring the trust has adequate liquidity to meet potential distributions and unexpected expenses.
- **Tax efficiency:** Structuring investments to minimize tax liabilities, which could affect the trust's overall returns.
- **Jurisdictional requirements:** Adhering to investment regulations and tax laws specific to the trust's jurisdiction.

Trustees must manage investments prudently to protect the trust's assets while providing for beneficiaries' current and future needs. A well-constructed investment strategy reflects the unique objectives of the trust, the financial needs of the beneficiaries, and any legal constraints.

Case Study: Gift and Estate Planning

John Harper (56 years old) is a founder and CEO of a privately owned supermarket chain recently valued by a financial consultant at USD300 million. His wife, Brenda Harper, is a 54-year-old housewife who took care of the family while John was building the business. The Harper family is based in a country with a common law regime. In addition to the business, John and Brenda own commercial property, with an estimated value of USD10 million, and a personal residence. Most of the family wealth is concentrated in the family business and real estate. John and Brenda have three children:

- **James (35 years old):** James has been helping his father run the family business. At this stage, James intends to launch an online retail business of his own, which he would like to finance partially with a loan. James is married and has a 10-year-old daughter and a 12-year-old son.
- **Mick (30 years old):** Mick is a young artist and currently relies on the family income to cover his living expenses. Mick has no financial knowledge and is not interested in investments. His father would like to continue supporting Mick's lifestyle but would not be comfortable to let Mick manage his own funds. Mick is single.
- **Annette (27 years old):** Annette is a pharmacist. She is married and has a 6-year-old daughter who requires special medical care that is funded from the income generated by the family business. Annette's husband works in corporate finance.

John intends to retire from running the family business and is thinking about passing the wealth to the next generations and creating a family legacy. After retirement, John and Brenda would like to travel and support several philanthropic causes. They want to be actively involved in philanthropic activity and believe that their children and grandchildren should be involved in making philanthropic decisions as well.

Gift and Estate Planning Objectives

At least seven possible gift and estate planning objectives are evident in the Harper family case facts presented, as detailed below.

Income and Liquidity

A planning objective is to develop a strategy that provides sufficient income to support the desired lifestyles of John and Brenda, to cover medical care costs for Annette's daughter, to cover living expenses for other family members who rely on family income (Mick), and to cover any tax obligations related to wealth transfer.

Business Succession

John plans to retire, and the family needs to decide if the company will be run by a family member or by an outsider. The family also needs to decide if the company remains owned by the family or is sold to an external party.

Control Over Assets

As John is not comfortable with Mick managing his own money, John needs a solution that will separate investment and income distribution decisions from the beneficial ownership. Also, John would like to be actively involved in philanthropic decisions. Thus, he needs to maintain a certain degree of control over assets dedicated to philanthropy.

Transferring Assets in a Tax-aware Manner

Another planning objective is for an asset transfer solution designed in a way that takes into account the jurisdiction-specific tax legislation.

Asset Protection

As James is planning to use a loan to set up his online retail business, protection of family assets from potential creditors should be among the estate planning objectives.

Preservation of Family Wealth

The Harper family consists of several generations (parents, children, grandchildren) who may have different goals and interests in relation to the family business and wealth. A planning objective should be to develop a strategy that aligns the interests of all family members while preserving family wealth.

Achieving Charitable Goals

A final planning objective is for a solution that provides sufficient resources and instruments for achieving the charitable goals of the family.

Gift and Estate Planning Strategies

The Harper family can employ the strategies outlined below to meet each of their identified gift and estate planning objectives.

Income and Liquidity

The Harper family has several members who rely on family income; thus, investment strategies should provide sufficient ongoing income in the long term. The following investment products should be considered: public equities, fixed income, private equity, private debt, and REITs. Investment goals should be documented in the family's investment policy statement alongside the risk and return objectives.

Business Succession

John wishes to retire. The main business succession options he has are as follows:

- Keep both management and ownership of the business within the family. This might not be a plausible option, however, as the only person with a working knowledge of the business is James, who is planning to leave the family business and start his own online retail firm.
- Hire an external manager and keep the business in family ownership.
- Sell the business fully or partially to a third party or list its shares via an initial public offering.

Control Over Assets

As John would like to provide for the living expenses of his children and grandchildren but is not comfortable with giving some of them control over investment and distribution decisions, a discretionary trust may be used, which gives trustees the power to make investment and distribution decisions based on the circumstances of the beneficiaries. It is important that John selects a current and successor trustee in a way that avoids creating any tensions within the family. For example, John could name himself a trustee and select an institutional trustee (i.e., trust company) as a successor to ensure that there is no conflict of interest among the family members.

Wealth Transfer in a Tax-aware Manner

John and Brenda should consider available tax-free asset transfer allowances prescribed by law, such as spousal allowances or gifts to relatives. They should also consider if it makes sense to pass some assets to their grandchildren directly and what the tax implications would be, such as a generation-skipping tax. John should also consider if it makes sense to sell the business outright or put it into the trust for capital appreciation to occur outside of the estate.

Asset Protection

A trust structure can be used to protect the family's assets from creditors. An irrevocable trust can protect assets from claims against the settlor, and a discretionary trust can protect assets from claims against the beneficiaries.

Preservation of Family Wealth

Creating a family governance system will help to identify and align goals of various family members as well as smooth the process of wealth transfer to the next generation.

Achieving Charitable Goals

As John would like to be actively involved in decision making related to charitable activities and has expressed a desire to also involve the next generations of his family, a private foundation is a more suitable asset transfer strategy than gifting to charities. A private foundation allows the donor to make decisions on the causes to support and to run various charitable projects. It also allows the family members to be involved.

Up Next

You have now completed Lesson 1: Transferring Wealth: Gifts During Donor's Lifetime. We hope this lesson has provided you with valuable insight into critical aspects of gifting, including methods to optimize these transfers within the boundaries of the law, the creation and use of trusts, and strategic investment considerations that support the donor's long-term wealth management objectives.

In the next lesson, you will explore legal frameworks governing bequests, intestacy rules, and inheritance tax implications that are essential in creating a tailored wealth transfer strategy that aligns with the client's financial goals.

Lesson 2: Transferring Wealth: Bequests and Inheritances at Donor's Death

Welcome to Lesson 2 of Module 2!

A **bequest** is a transfer of assets or personal property designated in a will to be given to specified beneficiaries upon the death of the individual making the bequest, known as the testator. Bequests represent a key element of estate planning for HNW individuals, allowing them to control the distribution of their wealth, preserve family legacy, and address specific financial and philanthropic goals after death.

When a person dies without a formal will or estate plan, their assets are distributed according to the rules of intestacy. Intestacy laws vary by jurisdiction but typically distribute assets to immediate family members in prescribed shares, often starting with the surviving spouse and children. An **inheritance** is the assets that a person (an heir) receives as a beneficiary from a deceased individual's estate, whether by a will, a trust, or intestacy. Without a proper estate plan, individuals cannot fully control the allocation of their assets, leaving this decision to be governed by the default rules of their jurisdiction.

For wealth managers, understanding the legal frameworks governing bequests, intestacy rules, and inheritance tax implications is essential in creating a tailored wealth transfer strategy that aligns with the client's financial goals. A comprehensive approach considers family dynamics, tax efficiency, and adherence to legal structures, ensuring that the testator's wishes are fulfilled as effectively as possible.

By the end of this module, you will be able to recommend appropriate approaches for transferring wealth at the donor's death through bequests and inheritances.

Let's get started!

Bequests

Several key considerations are involved in transferring wealth at death, including the impact of legal frameworks, forced heirship, property regimes, and estate planning components. Each of these elements plays a critical role in estate planning and influence how assets are transferred to heirs. Additionally, the specific timing of inheritances—whether received before or during marriage—affects how assets are classified in community versus separate property jurisdictions, which can have profound implications for estate planning.

Legal Frameworks

A **testamentary plan** is a comprehensive legal structure that outlines how an individual's assets will be distributed upon death, typically formalized through a will. This plan specifies who will inherit various assets, including property, financial holdings, and other personal belongings. Testamentary plans may also contain provisions for trusts, guardianship of minor children, and charitable donations. The creation and implementation of testamentary plans are governed by local inheritance laws, which vary widely across different countries and legal systems.

One important factor that affects how a testamentary plan may be structured is whether an individual is domiciled in a civil law or a common law jurisdiction. As noted previously, civil law is derived from Roman law and is the world's predominant legal system: It relies on explicit guidelines on rights and obligations for consistent application of the law. Common law traces its heritage to England: It is adaptable, relies on case precedents, and evolves based on judicial decision making.

Common law jurisdictions, such as the United Kingdom and the United States, generally allow a testator testamentary freedom of disposition by will—that is, the right to use their own judgment regarding the rights that others will have over their property after their death. Conversely, most civil law countries place restrictions on such disposition through forced inheritance or forced heirship rules, which require the decedent to benefit certain individuals such as their children and spouse.

In civil law jurisdictions, inheritance rights are often strictly enforced, meaning that testators have limited flexibility to designate heirs beyond immediate family members. These civil law countries follow codified statutes that mandate a specific allocation of assets to certain family members, usually the surviving spouse and children, even if a testamentary plan indicates otherwise.

In contrast, some countries, particularly those influenced by Sharia law, impose additional restrictions on estate distribution based on Islamic principles. Sharia law mandates specific shares of inheritance for family members, with a particular emphasis on the rights of children and the surviving spouse. The division of an estate according to Sharia law is typically rigid, allowing little room for discretionary bequests. Sharia-based inheritance rules may restrict the testator's ability to allocate assets freely, particularly in terms of charitable giving or bequeathing assets to non-family members. For wealth managers working with clients in Sharia-compliant regions, it is essential to navigate these legal constraints while aligning the estate plan with the client's long-term objectives.

Forced Heirship

Forced heirship is a legal doctrine that mandates specific portions of an estate be reserved for immediate family members, such as children and spouses, regardless of the testator's wishes. As is typical in many civil law countries, forced heirship laws protect the inheritance rights of direct descendants and limit the testator's freedom to distribute assets beyond immediate family. Forced heirship regimes are the norm in European Union jurisdictions and other civil law jurisdictions, such as Brazil, Japan, and Switzerland.

Forced heirship can significantly affect the estate planning process by restricting the portion of assets that may be allocated to non-family members or designated for charitable purposes. For HNW individuals, especially those with complex family dynamics, forced heirship may require additional planning measures to ensure that key objectives—such as legacy preservation or philanthropic contributions—are still achievable within the framework of local inheritance laws. Wealth managers must work closely with legal experts in forced heirship jurisdictions to create compliant yet effective estate plans that fulfill the client's wishes as closely as possible.

Community vs. Separate Property Regimes

The classification of assets under community property or separate property regimes significantly affects estate planning outcomes, particularly in cases involving marital property. In jurisdictions that follow **community property** principles, assets acquired during marriage are deemed jointly owned by both spouses, regardless of individual contributions. Community property generally includes income, real estate, and financial assets accumulated during the marriage, and each spouse has an equal ownership interest in these assets.

By contrast, in **separate property** regimes, each spouse maintains individual ownership over the assets they acquire independently, including those acquired during the marriage. Separate property typically encompasses inheritances, gifts, and assets owned before marriage. In estate planning, the distinction between community and separate property is crucial for determining how assets will be distributed upon death, as different rules apply depending on the jurisdiction's property regime.

Inheritances acquired during a marriage or before marriage may be treated differently. Some jurisdictions recognize inheritances as separate property, while others might consider them community property if they were acquired during the marriage.

Community property regimes generally dictate that assets acquired during the marriage are considered jointly owned by both spouses. Inherited assets in the United Kingdom, for example, that are available to a spouse may be considered a part of family assets and are thus subject to a 50/50 division in the event of a divorce. Although there are clearly good reasons why the United Kingdom and a number of other countries take similar approaches to the division of assets, such laws can have a significant impact on a family's ability to keep a family business within the family for multiple generations. Taking the risk of divorce into account is therefore critical, particularly given that in some countries as many as half of marriages end up in divorce. Trusts and other arrangements can provide protection for a family business depending on how they are structured and implemented.

HNW individuals with substantial assets in multiple jurisdictions may encounter complexities when assets are subject to varying property regime rules. Understanding whether assets fall under community property or separate property laws allows wealth managers to structure estate plans that honor the client's intent while aligning with local legal requirements.

Inheritances Received Before vs. During Marriage

Inheritances Received Before Marriage

In many jurisdictions, assets received as an inheritance before marriage are classified as separate property. This means that, unless these assets are commingled or used for joint expenses, they generally remain outside the marital estate and are not subject to division in the event of divorce or death. Estate planners often advise clients to keep premarital inheritances separate from marital assets to preserve their classification as separate property.

For example, suppose Vijay inherits a piece of valuable art from his grandmother a year before he marries Aisha. If Vijay and Aisha later divorce in a community property jurisdiction, then the artwork would likely be considered Vijay's separate property and would not be subject to division as part of the marital assets.

Inheritances Received After Marriage

The treatment of inheritances received during marriage varies by jurisdiction and depends on whether the assets have been commingled with community property. In some cases, inherited assets may retain their separate property status, but certain actions—such as depositing inherited funds into a joint bank account or using them to purchase a jointly owned property—may act to transform these assets into community property.

Inheritances received by either spouse during the marriage can be more complex to categorize. In community property regimes, the general rule is that assets acquired during the marriage are considered community property, subject to joint ownership and division upon divorce.

However, some jurisdictions make exceptions for inheritances received during marriage. For example, in certain US community property states like California, if one spouse receives an inheritance during the marriage, that inheritance is considered the separate property of the receiving spouse if the inheritance is not commingled with community property funds. If, however, the inheritance was not kept separate but was instead deposited into a joint bank account, then this commingling of funds would categorize the inheritance as community property.

In separate property regimes, assets acquired before the marriage or during the marriage through inheritance or gift are considered the sole property of the individual who received them, and they are not automatically subject to division in the event of divorce. In fact, inheritances are generally treated as separate property regardless of when they are received—before or during the marriage. The inheritance therefore is not subject to division upon divorce and remains the exclusive property of the inheriting spouse.

Inheritances received by an individual during the marriage are also typically treated as separate property in separate property regimes, provided the inheriting spouse does not commingle the inherited funds or use them to pay joint expenses. Although separate property regimes generally uphold the principle that inheritances remain the sole property of the inheriting spouse, there are several important factors that may transform separate property into community property:

- **Comingling of funds:** If inherited funds are mixed with joint accounts or used to pay joint expenses, then they may lose their separate property status and be treated as marital assets subject to division.
- **Increase in value:** If an inheritance is invested or used to acquire additional assets, any increase in value during the marriage might be subject to division in some jurisdictions.
- **Transmutation:** In some cases, separate property can be converted into marital property if the non-owning spouse's efforts significantly contribute to its growth or improvement.
- **Legal variation:** Laws can vary from jurisdiction to jurisdiction, and some jurisdictions might have exceptions or nuances that can affect the treatment of inheritances.

Exhibit 1 summarizes the interaction of property regime type and timing of receiving an inheritance in determining whether the inheritance is likely to be considered as community property or separate property.

Determining Community Versus Separate Property

Inheritance received	Community property	Separate property
Before marriage	Separate property	Separate property
During marriage	Potential community property, especially if commingling	Separate property, especially if <i>no</i> commingling, increase in value, or transmutation

Exhibit 1: Source: CFA Institute.

Case Study: Community Property and Forced Heirship

Philippe and Helena Berelli live in a community property regime with their two children. The community property regime entitles a surviving spouse to receive one-half of the community property after the first spouse’s death. Forced heirship laws in their country also entitle a spouse to one-third of the total estate, and the children are entitled to split one-third of the total estate. During their marriage, Philippe received an inheritance that was retained as separate property and is currently worth EUR200,000. The remainder of the estate is considered community property.

If Philippe were to pass away in the current situation, his total estate would be EUR800,000. Helena would be entitled to the greater of her share under community property or forced heirship rules. Under community property, she is entitled to receive one-half of the community property, or $0.50(\text{EUR}800,000 - \text{EUR}200,000) = \text{EUR}300,000$. Under forced heirship rules, she is entitled to one-third of the total estate, or $(1/3)(\text{EUR}800,000) = \text{EUR}266,667$. Therefore, Helena is entitled to EUR300,000.

Under forced heirship rules, Philippe’s children are collectively entitled to receive one-third of the total estate equal to EUR266,667, or EUR133,333 for each child. Philippe may freely dispose of the remainder of his estate, which is $\text{EUR}800,000 - \text{EUR}300,000 - \text{EUR}266,667 = \text{EUR}233,333$. Previously, he expressed a wish to bequeath EUR300,000 to his mother in the event that she survived his death. While the calculations show that the remainder of his estate is less than that amount, Phillipe may bequeath the entire remainder of EUR233,333 to her.

Estate Planning Components

A well-constructed estate plan includes several key components that allow the testator to ensure their assets are distributed according to their wishes. An **estate** encompasses all assets, liabilities, and personal property that the deceased owned and controlled at the time of their death. Estate plans often incorporate **testamentary documents** such as wills and trusts, which are designed to articulate the testator’s intentions for asset distribution.

Note that the elements of an estate can differ for legal and tax purposes. For example, assets transferred to a trust may no longer be considered legally owned by the trust settlor. Instead, the trust may become the legal owner of the trust assets. However, the assets may be considered the settlor’s assets for tax purposes, depending on applicable tax law and the trust structure.

Estate planning is the process of preparing for the disposition of one’s estate (e.g., the transfer of property) during one’s lifetime and upon death. It may involve making arrangements for other personal matters as well, such as funeral arrangements, power of attorney designations, and end-of-life medical instructions should one become incapacitated. Importantly, estate planning can require the counsel of a variety of financial, legal, and tax professionals.

As noted previously, probate is the legal process to confirm the validity of a will. Most individuals may wish to avoid probate. Court and other fees may be sizable, and the process can cause a delay in the transfer of assets to intended beneficiaries. Additionally, an individual’s assets are frozen during the period of the probate proceeding so that they cannot be managed; for example, a decedent’s portfolio of assets cannot be traded during the pendency of a probate proceeding. A will can be

challenged, and its contents are often a matter of public record. This may concern some wealthy families, as it can cause embarrassment or divulge sensitive financial information.

Moreover, many problems can arise in probate when multiple jurisdictions are involved. In some instances, probate can be avoided, or its impact can be limited, by holding assets in other forms of ownership, such as joint ownership, living trusts, or retirement plans. Through these structures, ownership of property is transferred to beneficiaries without the need for a will; hence, the probate process can be avoided or substantially reduced.

Property in an estate can be held in a variety of ways including sole ownership, joint ownership, partnership, trust, or through life insurance. Assets held in sole ownership are typically considered part of a decedent’s estate. The transfer of their ownership is dictated by the decedent’s will (or, in the absence of a will, under applicable intestacy law) through the probate process.

Joint Tenants with Right of Survivorship

An approach typically used in common law countries (i.e., United States, Canada, United Kingdom, Australia, and New Zealand) to simplify estate distribution is to designate assets as **joint tenants with right of survivorship (JTWROS)**. JTWROS is a form of joint ownership where, upon the death of one owner, the asset passes directly to the surviving owner(s) without the need for probate. This method provides a streamlined and private approach to transferring assets, particularly useful in cases where efficiency and confidentiality are priorities.

Key Features of Joint Tenants with Right of Survivorship

- **Automatic transfer:** Upon the death of one joint owner, their share of the property automatically transfers to the surviving joint owner(s) without the need for probate.
- **Equal shares:** All joint owners hold equal shares in the property.
- **Undivided interest:** Each owner has an undivided interest in the entire property, meaning they have rights to the entire property, not just a specific portion.
- **Termination:** If one of the joint owners sells or transfers their interest, the JTWROS status will be terminated.
- **Unilateral action:** Typically, one joint owner can sell or mortgage their interest without the permission of the other owner(s).
- **Avoids probate:** One of the primary benefits of JTWROS is that it allows the property to bypass the probate process upon the death of an owner.

Estate and Succession Planning

Estate and succession planning is a core aspect of wealth management, enabling individuals to establish a clear and efficient plan for distributing their assets to beneficiaries upon their death. A **testamentary gratuitous transfer** is a type of wealth transfer that occurs after the death of the testator, distributing assets to heirs and beneficiaries through a will or trust. Testamentary gratuitous transfers are often subject to estate and inheritance taxes, and the structuring of these transfers can have a significant impact on the financial outcomes of heirs and beneficiaries. Proper planning can reduce tax burdens, preserve family wealth, and provide stability for future generations.

The remaining section in this lesson examines essential aspects of estate and succession planning, including tax considerations, the structuring of estate plans, and strategies to optimize wealth transfer according to the testator’s wishes. Tools such as lifetime exemptions, marital deductions, and charitable transfers, all of which play a role in maximizing the effectiveness of an estate plan, will also be addressed.

Taxes on Estates or Inheritances

In many jurisdictions, estate and inheritance taxes are levied on the assets of a deceased individual before they are transferred to heirs. These taxes vary significantly by country, with some jurisdictions imposing progressive tax rates and others exempting certain assets or categories of beneficiaries. Importantly, estate taxes are generally calculated on the overall value of the deceased’s estate, whereas inheritance taxes are based on the assets received by each beneficiary.

One common feature in certain jurisdictions is the concept of a deemed disposition. In this context, deemed disposition occurs when an individual is considered to have sold their assets at fair market value at the time of death, even though no actual sale takes place. This “deemed sale” can trigger capital gains taxes on appreciated assets, which may increase the tax liability for the estate. Advisers must account for deemed disposition rules when structuring estate plans, particularly in jurisdictions with high capital gains tax rates.

Example: UK Inheritance Tax

Paul Dasani, a widower, passed away last year. Dasani was a resident of London at the time of his death and had a total estate valued at GBP700,000. His children are the beneficiaries of the estate. At the time, the United Kingdom imposed an inheritance tax threshold on estates valued above GBP325,000. The tax is payable by the trustee of the estate out of estate assets at a rate of 40% on the amount over the tax threshold (i.e., statutory allowance) of GBP325,000.

The amount of inheritance tax payable in this case is GBP150,000, calculated as follows:

- **Estate value:** GBP700,000
- **Less threshold:** (GBP325,000)
- **Excess:** GBP375,000
- **Rate on excess:** 40%
- **Inheritance tax:** GBP150,000

Example: Progressive Estate Tax

Ya-wen Chao passed away in a jurisdiction with progressive estate tax rates as provided in the table below.

Taxable Estate (EUR)	Tax Rate (%)
Up to 600,000	2
600,001–1,500,000	4
1,500,001–3,000,000	7
3,000,001–4,500,000	11
4,500,001–6,000,000	15
6,000,001–10,000,000	20
10,000,001–15,000,000	26
15,000,001–40,000,000	33
40,000,001–100,000,000	41
Over 100,000,000	50

Exhibit 2: Source: CFA Institute.

After all applicable statutory allowances and exemptions, Chao had a taxable estate of EUR2 million. The estate tax on this amount is EUR83,000, calculated as follows:

- **Tax on first EUR600,000 (2%):** EUR12,000
- **Tax on next EUR900,000 (4%):** EUR36,000
- **Tax on remaining EUR500,000 (7%):** EUR35,000
- **Total estate tax:** EUR83,000

Structuring an Estate Plan

An estate plan provides a structured approach for transferring wealth at the end of the testator’s life. A well-crafted estate plan not only addresses the distribution of assets but also minimizes tax burdens, preserves family wealth, and aligns with the testator’s personal and family goals. Structuring an estate plan involves considering a range of legal and financial tools, including trusts, wills, and transfer vehicles designed to optimize the distribution of assets.

The three goals of structuring an estate plan are asset preservation, efficient transfer, and fulfillment of wishes. **Asset preservation** protects the estate’s assets from unnecessary taxation, creditors, and legal disputes to maximize wealth retention. **Efficient transfer** ensures a smooth and timely transfer of assets to heirs or beneficiaries, minimizing delays and administrative costs, and **fulfillment of wishes** ensures that the testator’s wishes regarding distribution, guardianship, and charitable intentions are honored.

Each of these goals can be met by employing specific estate planning tools. Asset preservation may involve the use of trusts or titling strategies that protect assets from probate and reduce estate tax exposure. Efficient transfer focuses on using vehicles such as joint ownership, payable-on-death accounts, or well-defined succession instructions in wills to minimize delays in asset distribution. Fulfillment of wishes reflects the personalized aspect of estate planning, ensuring the testator’s preferences—such as who will inherit what assets, guardianship of minor children, and charitable donations—are clearly stated and legally binding.

Trusts and wills are essential in estate planning strategies. In the online course’s Practitioner Perspectives videos, experts Blake Curle and Van Johnson explain and expand on this.

Lifetime Estate Tax Exemption or Exclusion

A key tool in estate and succession planning is the **lifetime estate tax exemption or exclusion**, which allows individuals to transfer a certain amount of wealth to their heirs without incurring estate taxes. This exemption varies by jurisdiction and is typically adjusted periodically for inflation. In the United States, for example, individuals have a substantial lifetime exemption amount that applies to both lifetime gifts and testamentary transfers at death, enabling HNW individuals to reduce the taxable portion of their estate.

Additionally, certain jurisdictions, including the United States, offer portability of the estate tax exemption between spouses. **Portability** allows a surviving spouse to inherit the unused portion of the deceased spouse’s exemption, potentially doubling the

exemption amount available to the surviving spouse’s estate. This portability feature is a significant benefit for married couples, as it enables them to maximize the amount of wealth they can transfer tax-free to their heirs.

By strategically using the lifetime estate tax exemption and, where applicable, the portability provision, estate planners can help reduce or eliminate estate taxes, preserving more wealth for beneficiaries and ensuring the client’s legacy remains intact.

Marital Exemption or Deduction

In estate planning, a marital deduction (or marital exemption) offers significant tax benefits, allowing assets to be transferred to a surviving spouse without immediate estate tax liability. This exemption is often applied in estate plans, particularly in jurisdictions like the United States, where US citizens can leave unlimited assets to their spouses tax-free. This strategy defers estate taxes until the second spouse’s death, providing tax relief while preserving family wealth.

A **marital disclaimer trust** is a related vehicle that allows a surviving spouse to refuse (disclaim) inherited assets, directing them into a bypass trust for future beneficiaries, such as children. This approach maximizes estate tax efficiency by ensuring disclaimed assets are excluded from the surviving spouse’s taxable estate, preserving wealth for heirs. The surviving spouse can still receive income from the trust while maintaining flexibility in estate planning. A marital disclaimer trust is especially useful for adapting to changing tax laws and financial circumstances, offering a balance between financial security for the spouse and tax-efficient wealth transfer to future generations.

A well-structured estate plan that benefits a surviving spouse often divides the estate into at least two parts:

- A trust that protects the general exempt amount from estate taxation at the surviving spouse’s death, commonly referred to as an “**exemption trust**” (or “**bypass trust**”).
- A **marital deduction trust** to make full use of the marital exemption.

By setting up these two trusts, the estate can maximize exemptions, strategically defer estate taxes, and protect wealth for future generations. The following case studies illustrate how the Juarez family employed a marital deduction, estate tax exemptions, and portability provisions to optimize their estate plan.

Case Study: Marriage Deduction, Estate Tax Exemption, Portability, and Trusts

Carlo and Julia Juarez, who are US citizens, live in the state of Florida in the United States. Carlo’s assets are valued at USD45 million. Julia has her own assets valued at USD25 million. They have two adult children, Hector and Jaime. When Carlo dies, the exemption for US estate taxes is USD12,920,000. Florida does not impose a separate state estate tax.

In bequeathing his assets, Carlo wanted to leave all of them to Julia in a way that she could use them, while also benefiting the children if needed. When he dies, he leaves all his assets outright to Julia.

Estate Tax on Carlo’s Assets

There will be no estate tax, because the total of USD45 million in assets left by Carlo to Julia would qualify for the unlimited marital deduction.

Estate Tax on Julia’s Assets

Julia passes away three years after Carlo, and the estate tax exemption amount is assumed to be reduced (via legislation) to USD12 million. In calculating the estate tax on Julia’s assets, it must also be noted that Carlo’s USD12,920,000 exemption amount is subject to portability, and that all assets appreciate at an annual rate of 6%.

Value of Julia's estate=USD83, 371, 120[=USD70, 000, 000× (1.06) ³]

Value of Julia's total estate tax exemption=USD24, 920, 000
(Julia's own USD12, 000, 000 exemption plus Carlo's " ported " exemption of USD12, 920, 000)

Estate tax due at Julia's death at 40% rate
=USD23, 380, 448[=0.40× (USD83, 371, 120– USD24, 920, 000)]

Value of Julia's estate after taxes=Taxable Estate+ Exemptions– Taxes
=USD58, 451, 120+ USD24, 920, 000– USD23, 380, 448
=USD59, 990, 672

Utilizing Trusts to Minimize Estate Taxes and Preserve Wealth

Now consider a more efficient estate plan for the couple mentioned in the previous case study. Carlo’s estate plan could have created two separate trusts upon his death. One trust, the “exemption trust,” would include USD12,920,000 in assets. These assets would be excluded from estate taxes, and would be for the benefit of Julia and, at Julia’s discretion, for their adult children. At Julia’s death, these assets and all growth and earnings on them that have not been spent will remain in trust for her descendants and will not be subject to estate tax.

The other trust, the “marital deduction trust,” would include the balance of Carlo’s assets of USD32,080,000 (USD45,000,000 – USD12,920,000); that is, the assets that qualify for the unlimited US marital deduction. At Julia’s death, whatever amount remains in the marital deduction trust will be subject to estate tax, along with the rest of Julia’s estate, and then will pass into further trust for her descendants. Note that this plan does not rely on the portability of Carlo’s estate tax exemption amount, which is now in a trust, as is his fully utilized unlimited marriage deduction amount.

Estate Plan Utilizing Trusts

Assume that at Carlo’s death, an exemption trust and a marital deduction trust are created, and his USD45 million estate is divided as follows:

- **Exemption trust:** USD12,920,000
- **Marital deduction trust:** USD32,080,000

For the next three years, all assets appreciate at an annual rate of 6%. So, at the time of Julia’s death, her assets inherited from Carlo are worth:

Exemption trust=USD15,387,927[=USD12,920,000× (1.06) ³]

Marital deduction trust=USD38,207,793[=USD32,080,000× (1.06) ³]

Over the same period, Julia’s USD25 million of assets have appreciated at a similar rate.

Julia's assets at her death=USD29,775,400[=USD25,000,000× (1.06) ³]

The sum of the exemption trust, marital deduction trust, and Julia’s assets at the time of Julia’s death is still USD83,371,120, which is the same as the sum in the previous example. However, the benefit of moving the initial USD12,920,000 exemption amount out of the estate (whether through a trust or some other means of bequest upon Carlo’s death) is that it removes the future appreciation of this sum from Julia’s taxable estate.

At the time of Julia’s death, an additional USD12 million of Julia’s assets, representing the maximum allowable estate tax exemption at that time, are put into the existing exemption trust. Consequently, the values of the exemption trust and Julia’s taxable estate are determined to be

Exemption trust=USD27,387,927(=USD15,387,927+ USD12,000,000)

Julia's taxable estate=USD17,775,400(=USD29,775,400 – USD12,000,000)

No estate taxes are due on the exemption trust. However, Julia’s estate must pay taxes on the marital deduction trust and on her taxable estate, as follows

Taxable marital deduction trust and estate =

USD55,983,193(=USD38,207,793+ USD17,775,400)

Taxes due at 40% rate=USD22,393,277

Value of trusts and estate after taxes =

Exemption trust+ Marital deduction trust+ Julia's estate – Estate taxes

Equation 1

=USD27,387,927+ USD38,207,793+ USD17,775,400 – USD22,393,277

=USD60,977,843

Equation 1a

Exhibit 3 shows a comparison of the values of the estates and trusts, and the taxes paid, at the time of Julia’s death under the initial plan (from the previous case study), and the plan utilizing trusts.

Comparison of Juarez Family’s Initial and Trusts-Based Estate Plans

	Pre-tax value	Taxes paid	After-tax value
Initial estate plan			
Marital deduction and estate tax exemptions	USD83,371,120	USD23,380,448	USD59,990,672
Trusts-based estate plan			
Exemption trust	USD27,387,927	USD0	USD27,387,927
Marital trust and Julia’s estate	USD55,983,193	USD22,393,277	USD33,589,916
Total	USD83,371,120	USD22,393,277	USD60,977,843

Exhibit 3: Source: CFA Institute.

The after-tax value of the trusts-based estate plan is USD987,171 greater than the after-tax value under the initial estate plan. Importantly, in the initial plan, Julia’s estate was taxed on the appreciation associated with the USD12,920,000 exemption from Carlos. Removing it from Julia’s estate at Carlo’s death, as is done in the trusts-based plan, also removes the USD2,467,927 of appreciation, and hence the related estate tax of USD987,171 (= 40% × USD2,467,927).

Exhibit 4 presents a visual comparison of the pre-tax and after-tax values of the Juarez estate for both the initial and the trusts-based estate plans. Look closely, however, to see how the size of the taxable estate under the trusts-based plan shrinks by the amount that Carlo’s exemption increases.

Comparison of Juarez Family’s Initial and Trusts-Based Estate Plans

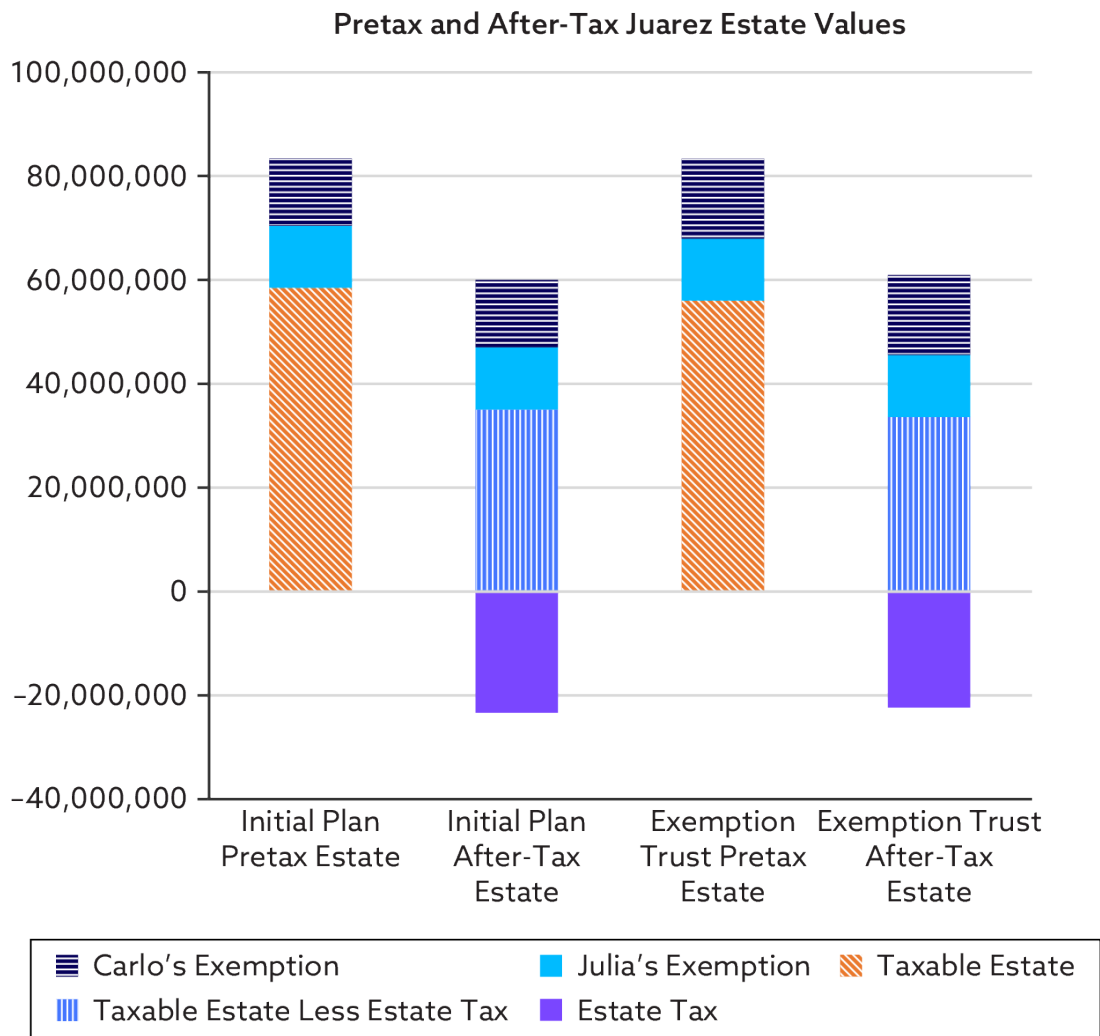


Exhibit 4: Source: CFA Institute.

The exemption trust is a mechanism that allows the appreciation associated with the initial exemption to be removed from Julia’s taxable estate. Importantly, however, this result does not require the use of a trust. Carlos and Julia could have achieved the same after-tax result with a foundation or by bequeathing the exemption amount to their children upon Carlo’s death. This latter strategy has different control and asset protection implications, however, that are potentially undesirable. The children would have control, and their creditors would have easier claims to those assets.

Finally, note that this trusts-based strategy produces an inferior after-tax result if the assets in the exemption trust depreciate rather than appreciate. In this case, the exemption trust moves depreciation and its associated estate tax deduction out of the estate.

Gratuitous Transfers

In many jurisdictions, charitable gratuitous transfers offer two primary tax benefits, namely

- exemption from gift or estate tax, and
- eligibility for income tax deductions for charitable donations.

These benefits allow philanthropically inclined individuals to transfer wealth in a tax-efficient manner, maximizing the impact of their contributions.

Charitable organizations are often exempt from paying taxes on investment returns, which enables donated assets to grow tax-free. This advantage can significantly enhance the accumulation of wealth for charitable purposes, especially when assets are structured for long-term growth.

The relative tax efficiency of charitable gifts, compared to taxable bequests, is described by Equation 1, which provides the relative after-tax future value of a charitable gift, compared to a taxable bequest, over a given time horizon:

$$RV_{CharitableGift\ t} = \frac{FV_{CharitableGift\ t}}{FV_{Bequest}}$$
$$= \frac{\left(1 + r_g\right)^n + T_{oi}\left[1 + r_e\left(1 - t_{ie}\right)\right]^n\left(1 - T_e\right)}{\left[1 + r_e\left(1 - t_{ie}\right)\right]^n\left(1 - T_e\right)}$$

Equation 2

Where

- r_g and r_e = Pre-tax returns to the charitable gift recipient and the estate making the charitable gift, respectively;
- t_{ie} = Effective tax rate on investment returns of the estate making the charitable gift;
- T_{oi} = Tax rate on ordinary income, which represents the current income tax benefit associated with a charitable transfer;
- T_e = Estate tax rate if the asset is bequeathed at death; and
- n = Expected time until the donor’s death, at which point the asset would transfer and be subject to estate tax if it had not been donated to charity.

The numerator is the future after-tax value of the tax-free charitable gift. The first term in the numerator has no deduction for either gift tax or taxes on investment returns. The second term of the numerator represents the additional value created in the estate associated with the income tax deduction. The denominator is the future after-tax value of a taxable transfer by bequest. The ratio is the relative value of making the tax-free charitable gift compared to a bequest.

The tax advantages of charitable giving allow the donor to either increase the charitable benefit associated with a given transfer of excess capital from the estate or to use less excess capital to achieve a given charitable benefit.

Example: Tax Efficiency of Charitable Gifts

Nicholas Zachary is 50 years old and resides in an EU country. He is working with his wealth manager to develop an estate planning strategy that includes transferring wealth via charitable gifts. His EU country imposes an estate tax at rates of up to 60%, but qualifying charitable donations are not subject to inheritance tax. In addition, donations are eligible for income tax deductions at the same income tax rate of 48%, which also applies to investment income. Zachary is considering donating assets that are expected to earn a 6% real return annually over the next 20 years.

The relative after-tax value of Zachary’s charitable donation as compared to a taxable bequest is 4.82, determined as follows:

$$RV_{CharitableGift\ t} = \frac{FV_{CharitableGift\ t}}{FV_{Bequest}}$$
$$= \frac{(1.06)^{20} + 0.48\left[1 + 0.06(1 - 0.48)\right]^{20}(1 - 0.60)}{\left[1 + 0.06(1 - 0.48)\right]^{20}(1 - 0.60)}$$
$$= \frac{3.5621}{0.7395} = 4.82$$

Equation 2a

The relative value of the charitable gift is quite large, at almost five times the value of the bequest, because the charitable gift

- escapes estate tax,
- accrues investment returns free of taxes inside the tax-exempt organization (i.e., charity), and
- provides Zachary with an income tax deduction.

Defining a Wealth Transfer Strategy

A comprehensive wealth transfer strategy combines multiple elements, including lifetime gifting and testamentary (after death) transfers. The primary goals of a well-structured wealth transfer strategy are to maximize the effective transfer of wealth, minimize tax liabilities, and reduce potential conflicts among heirs or beneficiaries. Wealth transfer strategies are designed to preserve the testator’s intentions, create tax-efficient structures, and balance family dynamics.

The following sections discuss key considerations for combining gifting and testamentary transfers, minimizing conflict, enhancing family communication, and addressing special considerations for blended families. Blake Curle adds further insight on helping clients navigate the complexities of intergenerational wealth transfer in the Practitioner Perspectives video in the course online.

Combining Gifting and Testamentary Transfers

Effective wealth transfer planning typically involves a mix of lifetime gifting and bequests. Wealthy clients often work with advisers to determine appropriate amounts to leave for descendants and may initiate these transfers through lifetime gifting, allowing beneficiaries to access and benefit from assets before the testator’s death. Gifting during one’s lifetime also provides tax advantages, including the use of gift tax exemptions, estate tax exemptions, marital deductions, trusts, and valuation discounts to reduce or eliminate transfer taxes.

Many clients retain enough assets to meet their own lifetime needs while fulfilling their wealth transfer objectives. In some cases, the remaining assets can be allocated to the surviving spouse, taking advantage of the marital deduction, and then transferred to a charitable organization upon the spouse’s death to further reduce tax liability. The following case study illustrates how a combination of lifetime gifts and charitable giving can meet the needs of a family’s estate plan.

Case Study: Lifetime Gifts and Charitable Giving

We return to the Juarez family, where Carlo and Julia have combined estates currently valued at USD70 million. If their lifestyle needs were satisfied with total assets of USD45 million, then they could make gifts of USD25 million during their lifetimes for their children, likely in a trust structure, while maintaining their accustomed standard of living. Assuming USD25 million is the amount that Carlo and Julia would be comfortable leaving their children, the balance of their estates at the death of Julia could be left to a charitable organization, thereby avoiding estate taxes.

Lifetime Wealth Transfer Strategies to Minimize Taxes

To transfer USD25 million during their lifetimes to their children while reducing or eliminating any gift, estate, or other transfer taxes, Carlo and Julia should utilize maximum estate tax exemption amounts, value discounts, and specialized trusts. These are described below.

Utilize the Maximum Estate Tax Exemption Amounts

Carlo and Julia could each create an exemption trust or foundation for the benefit of the children or bequest the exemption amount to the children directly and fully utilize their estate tax exemption amounts. This technique would allow for a gift up to USD25,840,000 ($= 2 \times \text{USD}12,920,000$). Each year, additional gifts could be made into the exemption trusts should the maximum allowable exemption amount increase after making the maximum gift. If the exemption does not increase, then Carlo and Julia can continue to each make annual exclusion gifts (USD17,000 per child in the United States at the time of this writing) to continue to increase the value of the trusts for the children.

Use Valuation Discounts

If Carlo and Julia were to create a family limited partnership or family foundation with a portion of their assets, they could then transfer portions of the partnership annually to the children, likely at discounted values, to minimize or eliminate transfer taxes.

Use Specialized Trusts

Carlo and Julia could create a specialized trust that transfers appreciation on their assets at no gift tax cost. One such trust in the United States is a **grantor retained annuity trust (GRAT)**, which requires the person who makes the gifts into the trust to receive an annuity payment from the trust each year. The value of the annuity reduces the value of the gift for gift tax purposes, and if the annuity is large enough, the tax value of the gift can be reduced to zero. If the assets transferred to the GRAT appreciate at a rate higher than the rate assumed by the tax authorities, then the excess value can be transferred to the children free of gift tax.

Growth of Trusts and Charitable Donation from Julia’s Estate

If Julia and Carlo fully funded the children’s trusts with USD25 million, the combined value of the children’s exemption trusts at Julia’s death (over a three-year period) at 6% would be $\text{USD}25,000,000 \times (1.06)^3$, or USD29,775,400.

The balance of Carlo’s estate is available to Julia at his death, and at Julia’s subsequent death three years later, everything remaining could be left to charity. If Julia’s USD45 million of assets grew, after taxes and after withdrawals for expenses, at a 2% annual rate over the three years, then its value would be $\text{USD}45,000,000 \times (1.02)^3$, or USD47,754,360. This amount represents the balance of Julia’s estate that upon her death could be left to a charitable organization, thereby avoiding estate taxes.

Minimizing Conflict

In family wealth transfer planning, no-contest clauses can play an essential role in minimizing disputes. A **no-contest clause** is a provision in an estate plan that discourages beneficiaries from challenging the will or trust by stipulating that any contesting party will forfeit their inheritance rights. By including no-contest clauses, estate planners aim to prevent conflict among family members and preserve the integrity of the testator's wishes. While enforceability varies by jurisdiction, such clauses can be particularly valuable in HNW families with complex dynamics or competing interests among heirs.

No-contest clauses are generally used alongside other measures, such as clear communication and equitable distributions, to reduce potential disagreements and protect family harmony. Advisers must carefully consider the family's unique dynamics when drafting such clauses, as the terms should reflect the client's intentions without imposing undue restrictions.

Communication

Clear and open communication is crucial in managing expectations, reducing misunderstandings, and preventing disputes among heirs. Estate planners often recommend that clients discuss their wealth transfer plans with family members, particularly when significant assets are involved. By informing beneficiaries about their intentions and providing clarity on the structure of the estate plan, clients can prevent misunderstandings and foster a sense of transparency and trust.

Regular family meetings or discussions facilitated by a trusted adviser can also serve as a forum to address concerns and promote open dialogue. Wealth advisers play an important role in guiding these conversations, helping family members understand the goals and considerations behind specific estate planning decisions.

Blended Families

Blended families, which include children from previous marriages or relationships, present unique challenges in wealth transfer planning. To ensure equitable treatment of all family members, estate plans for blended families often involve special provisions that balance the needs of the current spouse and children from prior relationships.

For instance, trusts can be used to provide income to a surviving spouse during their lifetime, with the remainder passing to children from a previous marriage upon the spouse's death. By structuring assets in this way, the estate plan accommodates the interests of both the spouse and children, ensuring that each party's needs are met.

In some cases, a **qualified terminable interest property (QTIP)** trust may be established, allowing the spouse to benefit from the marital deduction while preserving assets for children from a prior marriage. This US trust structure provides the surviving spouse with income for life but restricts their control over the trust principal, thus protecting the inheritance rights of the children. For clients in blended families, advisers often recommend structuring assets and income streams to meet the goals of both immediate and extended family members.

Up Next

You have now completed Lesson 2: Transferring Wealth: Bequests and Inheritances at Donor's Death. We hope this lesson has provided you with valuable insight into strategies and technical details for recommending appropriate approaches for transferring wealth at the donor's death through bequests and inheritances.

Next, you will review what you learned in this module.

Module 2 Summary

You have now completed Module 2: Wealth Transfers: Gifts and Bequests. In this module, you learned about:

- **Tax reduction benefits:** Lifetime gifting helps reduce the size of an individual's taxable estate, which may lower future estate tax liability. It also allows donors to observe and guide how their wealth is used during their lifetime.
- **Strategic balance:** High-net-worth individuals must strategically manage gifting plans to maintain their own financial security while achieving multigenerational and philanthropic goals, accounting for future living expenses and investment performance.
- **Gift tax exemptions:** Jurisdictions often offer annual or lifetime gift tax exclusions that encourage incremental wealth transfers, helping to avoid triggering large taxable events.
- **Valuation discounts:** When gifting interests in illiquid assets or privately held businesses, discounts for lack of marketability or minority ownership can significantly reduce the reported value for tax purposes, especially when using Family Limited Partnerships (FLPs).
- **Generation-skipping transfers:** Transferring wealth directly to grandchildren or beyond may avoid estate taxation at the children's level, though many jurisdictions impose a Generation-Skipping Transfer Tax (GSTT) to counter potential tax avoidance.
- **Trusts and charitable tools:** Trusts such as dynasty trusts remove assets from the estate and enable controlled, long-term distribution, while charitable structures like charitable remainder trusts (CRTs) and private foundations offer tax deductions and reinforce legacy objectives.
- **Bequests and intent:** Bequests ensure a testator's wishes are fulfilled as outlined in a will, avoiding default intestacy rules that may not align with personal or family objectives.
- **Legal frameworks:** The degree of testamentary freedom differs globally—common law jurisdictions provide greater flexibility in asset distribution, while civil law countries impose forced heirship rules requiring specific shares for spouses and children.
- **Property regimes:** In community property jurisdictions, marital property is co-owned and can impact inheritances, whereas separate property systems allow individuals to distribute their assets independently.
- **Tax implications:** Estate and inheritance tax structures vary—some jurisdictions tax the estate before beneficiaries receive their share, while others tax recipients upon receipt, affecting planning strategies and net inheritance.
- **Trust structures:** Revocable trusts enable flexibility and control during the grantor's lifetime but remain part of the taxable estate. In contrast, irrevocable trusts, like exemption and marital deduction trusts, remove assets from the estate and allow for structured, tax-efficient distributions.
- **Avoiding probate and conflicts:** Probate can be costly and time-consuming. Alternatives like joint ownership (JTWROS), payable-on-death accounts, and living trusts streamline asset transfer, while tools such as no-contest clauses and transparent discussions minimize family disputes.

In the next module, you will learn how to recommend strategies for multigenerational wealth transfer through charitable giving and philanthropy, and discuss key considerations in cross-border wealth transfer.

Module 2 Glossary

Note: The glossary terms in this list appear in the same order as they are introduced in the module text, rather than alphabetically.

- **Estate:** A estate encompasses all assets, liabilities, and personal property that the deceased owned and controlled at the time of their death.
- **Lifetime gifts (inter vivos transfers):** Gifts made during the donor's life, without expectation of anything in return. Lifetime gifts are distinct from bequests made at death, as they are executed during the donor's life rather than through a will.
- **Trust:** A common law legal arrangement in which a settlor (or grantor) transfers assets to a trustee, who holds and manages these assets for the benefit of one or more beneficiaries.
- **Probate:** The often lengthy and public legal process that validates a will and facilitates the distribution of assets to heirs.
- **Inheritance:** The assets that a person (an heir) receives as a beneficiary from a deceased individual's estate, whether by a will, a trust or intestacy.
- **Donor:** The individual providing the gift.
- **Donative intent:** The intention of making a gift or donation without the expectation of anything in return.
- **Donee:** The individual or entity receiving the gift.
- **Transfer tax:** A tax levied on the transfer of wealth from one individual to another, whether during life or at death.
- **Gift tax:** A transfer tax levied on lifetime gifts.
- **Inheritance tax:** A transfer tax levied on bequests and paid by the donee after distribution of the bequest from the donor's estate.
- **Family limited partnership:** A vehicle for family wealth transfer used mainly in the US where assets are pooled into a partnership and shares are gifted over time to heirs.
- **Estate tax:** A tax levied on the entire estate of the deceased before distribution to the heirs.
- **Illiquidity discount (discount for lack of marketability, DLOM):** A valuation discount that can significantly reduce the taxable value of a gift of illiquid assets or of an interest in a closely held business that reflects the challenges in selling these assets due to marketability limitations.
- **Lack of control discount (discount for lack of control, DLOC):** A valuation discount that can significantly reduce the taxable value of a gift of illiquid assets or of an interest in a closely held business that reflects the challenges in selling these assets due to control limitations.
- **Trust:** A common law legal arrangement in which a settlor (or grantor) transfers assets to a trustee, who holds and manages these assets for the benefit of one or more beneficiaries.
- **Settlor (grantor):** The individual who transfers assets to a trustee for the benefit of one or more beneficiaries.
- **Trustee or legacy building:** A individual or entity who holds and manages trust assets for the benefit of the beneficiary(ies).
- **Beneficiary:** An individual or entity that receives benefits (i.e., income or assets) from a trust.
- **Trust agreement:** A document that defines and governs a trust, and outlines the terms, conditions, and intentions of the settlor.
- **Revocable trust:** A trust that can be amended or terminated by the settlor during their lifetime.
- **Irrevocable trust:** A trust that cannot be altered or revoked once established.
- **Fixed trust:** A trust that specifies predetermined distributions to beneficiaries.
- **Discretionary trust:** A trust that allows the trustee to decide how and when to distribute the trust assets among the beneficiaries.
- **Community property:** Assets acquired during marriage that are deemed jointly owned by both spouses, regardless of individual contributions. Community property generally includes income, real estate, and financial assets accumulated during the marriage, and each spouse has an equal ownership interest in these assets.

- **Rule against perpetuities:** A legal principle that limits how long a trust can last.
- **Dynasty trust:** A type of trust designed to last for generations, often structured to bypass estate taxes at each generational level.
- **Generation skipping:** A technique whereby assets are transferred directly to the grandchildren or later generations, bypassing the children to maximize tax efficiency.
- **Generation skipping tax:** A tax imposed on wealth transfers that skip a generation, and aimed to prevent families from avoiding estate taxes by skipping generations.
- **Testamentary trust:** A trust established upon the death of the settlor through instructions in their will.
- **Intentionally defective grantor trust:** A type of irrevocable trust designed so that it is disregarded for income tax purposes (with the trust's income attributed to the grantor) but is recognized as a separate entity (i.e., outside of the estate) for estate and gift tax purposes.
- **Offshore trust:** A trust established in a foreign jurisdiction that offers favorable tax treatment, asset protection, and privacy for trust assets.
- **Stiftungs:** Private foundations established to manage a set of assets for a specific estate planning, charitable, scientific, cultural, or educational purpose (used in civil law countries like Germany, Switzerland, Austria, Liechtenstein).
- **Anstalts:** Structures typical in certain civil law countries that are similar to corporations or limited liability entities, and are used by high-net-worth individuals to hold and protect assets while allowing flexible control over wealth transfer and estate planning.
- **Forced heirship:** A legal doctrine that mandates specific portions of an estate be reserved for immediate family members, such as children and spouses, regardless of the testator's wishes. As is typical in many civil law countries, forced heirship laws protect the inheritance rights of direct descendants and limit the testator's freedom to distribute assets beyond immediate family.
- **Prudential investor rules:** Rules in the US and other jurisdictions (i.e., Canada, UK, Australia, etc.) that serve as a guiding principle, requiring trustees to act prudently and in the best interest of the beneficiaries when making investment decisions. Such rules emphasize a diversified approach that balances risk and return, tailored to the specific objectives of the trust.
- **Intestacy:** Rules by which a person's assets are distributed when they die without a formal will or estate plan. Intestacy laws vary by jurisdiction but typically distribute assets to immediate family members in prescribed proportions, often starting with the surviving spouse and children.
- **Testator:** A individual making a bequest.
- **Separate property:** Assets that each spouse acquires independently, including those acquired during the marriage, and over which each spouse maintains individual ownership. Separate property typically encompasses inheritances, gifts, and assets owned prior to marriage.
- **Testamentary plan:** A comprehensive legal structure that outlines how an individual's assets will be distributed upon death, typically formalized through a will.
- **Testamentary documents:** Documents, such as wills and trusts, which are designed to articulate the testator's intentions for asset distribution.
- **Joint tenants with rights of survivorship:** A form of joint ownership where, upon the death of one owner, the asset passes directly to the surviving owner(s) without the need for probate.
- **Testamentary gratuitous transfer:** A type of wealth transfer that occurs after the death of the testator, distributing assets to heirs and beneficiaries through a will or trust.
- **Lifetime estate tax exemption (or exclusion):** A tax feature available in some jurisdictions that allows individuals to transfer a certain amount of wealth to their heirs without incurring estate taxes. This exemption varies by jurisdiction and is typically adjusted periodically for inflation.
- **Portability:** An estate tax feature available in some jurisdictions that allows a surviving spouse to inherit the unused portion of the deceased spouse's exemption, potentially doubling the exemption amount available to the surviving spouse's estate.
- **Marital deduction (exemption):** An estate tax feature available in some jurisdictions that offers significant tax benefits, allowing assets to be transferred to a surviving spouse without immediate estate tax liability.

- **Marital disclaimer trust:** A trust vehicle that allows a surviving spouse to refuse (disclaim) inherited assets, directing them into a bypass trust for future beneficiaries, such as children.
- **Grantor retained annuity trust:** A specialized trust that transfers appreciation on trust assets at no gift tax cost. It requires the person funding the trust to receive an annual annuity payment, which reduces the value of the gift for gift tax purposes. If the annuity is large enough, the tax value of the gift can be reduced to zero.
- **Gratuitous transfer:** A voluntary transfer of wealth from one person to another, without expectation of anything in return, such as a gift or transfer to a trust. Such transfers are common in tax and estate planning.
- **No contest clause:** A provision in an estate plan that discourages beneficiaries from challenging the will or trust by stipulating that any contesting party will forfeit their inheritance rights.
- **Qualified terminable interest property trust (QTIP):** A trust allowing the spouse to benefit from the marital deduction while preserving assets for children from a prior marriage. This US trust structure provides the surviving spouse with income for life but restricts their control over the trust principal, thus protecting the inheritance rights of the children.

Module 3: Philanthropy and Cross-border Wealth Transfer

As wealth becomes increasingly global and purpose-driven, high-net-worth (HNW) individuals and families face new opportunities and challenges in aligning their financial legacies with personal values and international considerations. In this module, we explore how strategic philanthropy and cross-border wealth transfer can support meaningful societal impact while achieving efficiency, and long-term family goals.

First, we explore the growing role of philanthropy in wealth planning, emphasizing how charitable giving can reflect a donor's values, engage future generations, and fulfill broader legacy goals. Advisers play a critical role in helping clients craft tax-efficient, impactful strategies using vehicles such as charitable trusts, foundations, and structured giving plans. Drawing inspiration from global movements like The Giving Pledge, this lesson encourages a purpose-driven approach to wealth transfer.

Next, we focus on the technical and legal complexities of transferring wealth across borders. Advisers must consider differences in tax residency, legal domicile, and international tax regimes as well as reporting requirements, treaties, and structuring tools like trusts and corporate entities. Managing cross-border estates, currency risk, and philanthropic gifts in multiple jurisdictions requires a deep understanding of both common law and civil law systems.

Working through the content here will allow you to familiarize yourself with considerations around supporting mobile clients in achieving both philanthropic and cross-border wealth transfer objectives.

By the end of this module, you will be able to:

- Recommend appropriate approaches for transferring wealth across multiple generations through charitable giving and philanthropy.
- Discuss considerations in cross-border wealth transfer.

This module includes two lessons, as well as a module summary and a module glossary.

- Lesson 1: Transferring Wealth: Charities and Philanthropy
- Lesson 2: Cross-border Wealth Transfer
- Module 3 Summary
- Module 3 Glossary

Let's get started!

Lesson 1: Transferring Wealth: Charities and Philanthropy

Welcome to Lesson 1 of Module 3!

Philanthropy enables families and individuals to align their financial wealth with their values and facilitates wealth transfer across generations and fulfillment of philanthropic goals. Effective philanthropic strategies can enhance not only the lives of beneficiaries but also the donors' sense of purpose and fulfillment. Wealth advisers play a pivotal role in guiding clients through the process of identifying meaningful causes, structuring charitable gifts, and selecting optimal giving vehicles to achieve their goals.

A prominent initiative shaping the global philanthropic landscape is The Giving Pledge, established by Bill Gates and Warren Buffett in 2010. This commitment invites the world's wealthiest individuals and families to pledge at least half of their wealth to charitable causes during their lifetime or upon death. Participants in The Giving Pledge, such as MacKenzie Scott and Richard Branson, often emphasize the importance of values-driven philanthropy and inspire others to think critically about the societal impact of their wealth. Advisers working with high-net-worth (HNW) individuals can draw inspiration from such initiatives to encourage strategic and impactful giving.

The complexity of modern philanthropy—spanning legal, tax, and family dynamics—requires a comprehensive approach to planning. HNW individuals and families often have diverse philanthropic goals that extend beyond simple charitable donations to include family engagement, societal impact, and tax-efficient strategies. This lesson provides practical insight and strategies to help advisers and clients effectively transfer wealth through charitable giving and philanthropy, ensuring alignment with personal, family, and societal objectives.

By the end of this lesson, you will be able to recommend appropriate approaches for transferring wealth across multiple generations through charitable giving and philanthropy.

Let's get started!

Discovery of Areas of Interest for Charitable Giving

Before making commitments to philanthropy, it is essential for clients to identify their areas of interest. This exploration helps define the causes that resonate most deeply with their values, enabling them to create a meaningful impact. Advisers play a crucial role in facilitating this discovery process, encouraging clients to reflect on their motivations and aspirations while considering the broader implications of their giving strategies. In the online course’s Practitioner Perspectives video, Blake Curle explains his approach to aligning a client's philanthropic giving strategy with their goals, tax status, and other considerations.

Mission Discovery

One strategy that has gained popularity among HNW families is **mission-related investing**, which integrates philanthropic goals with investment strategies. Mission-related investing ensures that charitable funds are managed in alignment with the mission and values of the donor. By incorporating social and environmental considerations into their investment decisions, clients can extend their philanthropic impact beyond traditional grants, achieving both financial returns and societal benefits.

To assist clients in this discovery process, wealth advisers can use a structured set of reflection questions, such as those listed below, to guide conversations about values, priorities, long-term objectives and mission. These questions encourage clients to articulate their passions and consider how their wealth can address pressing societal challenges.

Reflection Questions to Start a Client on Their Mission Discovery Journey

- **What inspires you most about the idea of giving back?**
This question helps clients identify the emotional or motivational drivers behind their philanthropy
- **Which social issues or causes resonate deeply with you?**
This question pinpoints specific areas of interest or concern for focused philanthropic efforts.
- **What values do you want your philanthropy to reflect?**
Asking this question ensures alignment between the client’s personal or family values and their giving strategy.
- **How would you define success for your charitable giving?**
This question allows for clarification of the client’s goals, and the outcomes that they desire from their philanthropic activities.
- **Who else should be involved in defining your mission?**
Posing this question to clients encourages collaboration and engagement with family members, or with other stakeholders.
- **What legacy do you want to leave for future generations?**
This question allows for discussion and exploration of a client’s long-term goals, and their vision for multigenerational impact.

By reflecting on these questions, clients can better understand their motivations and aspirations, that is, their mission. This insight provides the foundation for crafting a focused and impactful philanthropic strategy.

Case Study: Mission Statements for a Charitable Foundation

Andre Petit built a consumer products conglomerate that operated throughout the European Union. Upon Andre’s death, his estate sold the business for EUR5 billion. Now, Andre’s son, Claude, wants to endow a charitable foundation but is unclear about what the focus of the foundation should be.

Upon reflection and consultation with his private wealth adviser, Claude discovers that his values of compassion and social responsibility motivate him to make a positive change in society. The issues he most identifies with are addressing climate change and combatting childhood poverty.

First, Claude creates an overarching mission statement for the foundation: “The Petit Charitable Foundation aims to fund projects that provide innovative solutions to societal problems.”

Next, Claude creates focus statements for each of the two key issues he has identified.

- “We aim to address climate change by funding innovative technologies designed to replace production methodologies that are harmful to the planet.
- “We aim to address childhood poverty by funding science, technology, engineering, and mathematics (STEM) educational initiatives for elementary school children in inner cities.

By engaging in a structured discovery process, clients like Claude Petit can clarify their values, set clear philanthropic goals, and lay the foundation for impactful charitable giving. Advisers can help clients explore a range of charitable giving vehicles, such as donor-advised funds, private foundations, and planned giving, to align their strategies with their objectives.

HNW individuals and families often face the challenge of balancing immediate impact with long-term impact. Mission-related investing and carefully crafted mission statements allow them to approach philanthropy holistically, ensuring their contributions address both current needs and long-term aspirations. In subsequent sections, we will delve into the specific tools and strategies available to bring these philanthropic visions to life.

Involving Others, Including Family Members

Collaboration in philanthropy can enhance the reach and impact of charitable efforts. HNW individuals often find that partnering with others—whether they be fellow donors, foundations, or the communities they aim to support—can help achieve outcomes that align with their goals and values. Effective collaboration in philanthropy involves shared learning, pooling of resources, and aligning strategies with other stakeholders.

Key Collaboration Paths for Effective Philanthropic Engagement

Knowledge Exchange

Knowledge exchange involves sharing insight, data, and best practices with other donors and organizations. This path allows donors to learn from others’ successes and challenges, enabling more informed decision making. For example, a donor interested in addressing global education disparities might collaborate with research institutions to better understand the factors contributing to inequity. This approach fosters informed giving and reduces redundancy by building on the lessons learned by others.

Funding an Existing Foundation

Rather than creating a new entity, donors can contribute to established foundations that align with their objectives. This approach is especially effective when donors wish to benefit from the experience, infrastructure, and credibility of existing organizations. One prominent option is to work with a **community foundation**, a publicly supported organization that provides donors with opportunities to pool resources for maximum impact. Community foundations are particularly valuable for those looking to address regional or local challenges, as they are deeply rooted in their respective communities and have established networks for targeted giving.

Aggregate Funds with Others

Collaborating donors can create pooled funds to amplify their philanthropic efforts. By aggregating financial resources, donors can achieve economies of scale and enhance their collective impact. For instance, a group of donors might pool funds to address water scarcity in rural areas by constructing wells or funding water filtration technologies. Such initiatives are often more effective than isolated, small-scale projects.

Coordinate Funding Strategies

Donors can align their efforts by coordinating funding strategies to achieve shared goals. For example, multiple donors interested in advancing global health care might fund different parts of the health care delivery chain, such as research, infrastructure development, or training for medical personnel. This collaborative approach minimizes duplication and ensures that resources are used efficiently.

Collaboration with the Community to be Served

Engaging with the community to be served ensures that philanthropic efforts are grounded in the lived realities of beneficiaries. Donors can collaborate directly with community leaders, grassroots organizations, and local residents to identify pressing needs and codesign solutions. This approach fosters trust, respect, and cultural relevance, leading to more sustainable outcomes.

More Background on Foundations

Foundations are nonprofit organizations that typically make grants to outside organizations and people who carry out social, educational, and other charitable activities. Many foundations are located in the United States, but some large foundations are located in the United Kingdom and Europe. Foundations are more common in the United States because of favorable tax treatment. Outside the United States, charitable giving is mainly undertaken by wealthy individuals through family offices.

There are three main types of charitable foundations:

- **Community foundations:** Charitable organizations that make social or educational grants for the benefit of a local community (e.g., the New York Community Trust). These foundations are usually funded by public donations.
- **Private grantmaking foundations:** Charitable organizations established by individual donors or donor families to support specific types of charities. Most of the largest foundations in the United States fall into this category.
- **Private operating foundations:** Organizations that exist to operate a not-for-profit business for charitable purposes, such as museums. They are typically funded by individual donors or donor families.

Community foundations are a type of public charity associated with community organizations, such as hospitals, schools, and churches. They are typically funded by many relatively small donors, and they provide charitable support in the region or community where they are located.

Private grantmaking foundations (also called private nonoperating foundations) are by far the largest group (in number of

foundations and in total assets). Private grantmaking foundations support different types of charities and usually run a large grantmaking operation in addition to an investment office. The main financial objective of most private grantmaking foundations is to maintain purchasing power into perpetuity so that the organization can continue making grants. More recently, however, the trend has been toward limited-life foundations as original donors seek to maintain control over foundation spending during their lives.

Private operating foundations are established to provide funding and support for related programs and activities (e.g., operating a museum) rather than giving grants to outside organizations or activities.

Note that, in addition to community, private grantmaking and private operating foundations, corporate foundations also may be established by businesses and funded with profits.

The focus of grants varies widely and includes issues, such as health, education, environment, arts, and culture. Some foundations make large and targeted grants to specific causes, whereas others make many smaller grants to a wide variety of causes.

The missions of several large, well-known US and European foundations are listed below.

- **Bill and Melinda Gates Foundation:** Focus is on global health and poverty. In the United States, focus is on education.
- **Robert Wood Johnson Foundation:** Aims to improve health and health care of all Americans.
- **William and Flora Hewlett Foundation:** Helps people build measurably better lives by focusing on education, the environment, global development, performing arts, philanthropy, and population. Also supports disadvantaged communities in San Francisco.
- **INGKA Foundation:** Founded by Ingvar Kamprad of IKEA, the foundation aims to help children and families around the world thrive while caring for the planet.
- **Wellcome Trust:** UK-based biomedical research charity that supports science focusing on mental health, infectious diseases, and climate and health.
- **Robert Bosch Stiftung:** German foundation that supports health, education, and global issues, and aims to foster international understanding and cooperation.

Foundations, whether privately funded or publicly supported, offer a variety of pathways for donors to engage in impactful and strategic philanthropy.

Involving Family

Family involvement in philanthropy not only strengthens bonds across generations but also ensures that charitable endeavors reflect shared values and aspirations. HNW families often view philanthropy as an opportunity to teach financial stewardship, foster collaboration, and create a lasting legacy.

Benefits of Family Involvement

Family involvement in philanthropy offers several benefits:

- **Intergenerational connection:** Engaging multiple generations in philanthropy fosters unity and shared purpose. This work ensures that family values are passed down and that younger members are prepared to take on leadership roles in the family’s charitable endeavors.
- **Values transmission:** Philanthropy provides a platform for families to discuss and solidify their shared values. By collaborating on charitable activities, family members can align their visions and work toward common goals.
- **Skills development:** Younger family members gain valuable skills, such as financial literacy, decision making, and leadership, through active participation in charitable initiatives.

Case Study: Family Involvement in a Foundation

Claude Petit has two adult children from his first marriage—Charlotte and Louis—and one teenage son from his second marriage—Pierre. Claude would like to involve his children in the Petit Charitable Foundation’s grantmaking. Claude aims for Pierre to gain financial literacy and develop an intergenerational connection, while all three children develop their independent decision-making skills in philanthropy. Claude is deciding what actions to take to accomplish his goals.

Pierre

Claude considers Pierre first. He thinks about the time commitment that he would expect from Pierre who is in boarding school and would not be available for regular meetings. However, he would like Pierre to understand what Claude’s charitable goals are, and he also hopes to teach his son financial literacy by reviewing the foundation’s investments with Pierre. Given the time constraints, he would not expect the teenager to be involved in the grantmaking activities of the foundation as a whole, but would like Pierre to identify and research charitable organizations that are interesting to him for limited grantmaking. To that

end, Claude may earmark a small amount of the foundation’s assets for Pierre to use for grantmaking under the supervision of the family’s trusted private wealth adviser.

Charlotte and Louis

Regarding his adult children, Claude has added them to the foundation’s board of directors, as they both have strong charitable goals as well as the time to devote to implementing those goals through the foundation. Claude lives in Switzerland, Charlotte lives in France, and Louis lives in the United States. Charlotte and Louis would each like to concentrate their philanthropic efforts in their respective local communities. Because of family dynamics, Claude does not require Charlotte and Louis to agree with each other’s grantmaking but rather allows each of them to donate one-third of the available grants freely to their own causes, with Claude retaining the right to donate the remaining one-third. Claude has determined that after his death, the foundation should split into three separate foundations so that Charlotte, Louis, and Pierre are each free to pursue their own charitable giving goals independently.

By fostering collaboration and family involvement, philanthropic endeavors can achieve greater scale, sustainability, and personal fulfillment. Collaboration enables donors to leverage collective resources and knowledge, while family involvement ensures that charitable activities remain aligned with shared values and vision.

The Giving Process

Outright giving to charity is one of the most straightforward and impactful methods of philanthropy. It involves donating cash, securities, or other assets directly to a charitable organization. This approach is particularly effective for individuals who wish to make an immediate difference or fulfill specific charitable objectives within a short time frame.

A key advantage of outright giving is often the ability to claim tax benefits, such as income tax deductions, depending on the donor’s jurisdiction and the recipient organization’s tax-exempt status. Typically, as in the United States, the recipient organization must be a qualified charity, as defined by the tax authorities. Such qualified charitable recipients include those organized and operated exclusively for charitable, religious, educational, scientific, or literary purposes or for the prevention of cruelty to children or animals, among others.

Outright giving is ideal for donors who prefer simplicity and have identified specific charities or causes they wish to support. It is especially advantageous for individuals seeking to maximize tax benefits in a specific tax year or for those who wish to directly witness the impact of their contributions. However, it requires careful planning to ensure alignment with long-term philanthropic goals and potential tax advantages.

Donor-advised Funds

A **donor-advised fund (DAF)** is a flexible and tax-efficient charitable giving vehicle available in the United States that allows individuals, families, or organizations to manage their philanthropy strategically. The DAF is sponsored (i.e., administered and managed) typically by the charitable arm of a for-profit financial institution. Through a DAF, the donor ultimately makes an irrevocable contribution to a publicly supported charitable organization, like a church, hospital, museum or school. The sponsoring organization handles the investment management, administration, and compliance of the fund while allowing donors to advise on the timing and recipients of grants.

Benefits of DAFs

Immediate Tax Deduction

Donors receive an immediate income tax deduction for their contributions, subject to applicable limits, even if grants to charities are made at a later date.

Tax-efficient Contributions

DAF contributions can include appreciated securities real estate or other assets, or cash. Appreciated assets avoid capital gains taxes that otherwise would be payable if the assets were sold and the proceeds contributed to the DAF, thereby enabling donors to maximize tax efficiency.

Tax-free Growth

Assets contributed to a DAF grow tax-free, enhancing the potential for greater impact over time.

Grant Recommendation Flexibility

Donors retain the ability to recommend grants to eligible charities over multiple years, allowing for thoughtful and strategic giving.

Administrative Ease

Sponsoring organizations handle the compliance, due diligence, and administrative tasks, relieving donors of these burdens.

Mechanics of DAFs

The flexibility of a DAF makes it particularly appealing for individuals experiencing a high-income year or liquidity event, because it enables them to offset taxable income while deferring decisions on charitable distributions.

Exhibit 1 illustrates the mechanics of a DAF.

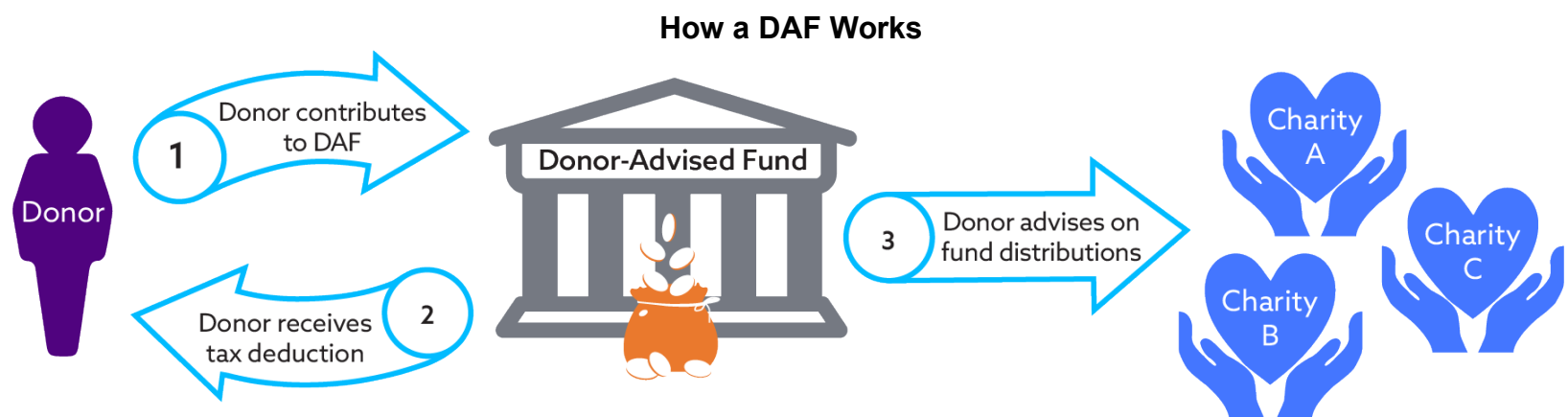


Exhibit 1: Source: CFA Institute.

- The donor contributes securities (typically appreciated stocks, mutual funds, or exchange-traded funds) or real estate or other highly appreciated assets, or cash to the DAF.
- The donor receives an immediate income tax deduction for the contribution, subject to applicable limits. In the United States, for contributions of appreciated securities, this deduction is limited to 30% of taxable (adjusted gross) income, whereas for cash contributions, the deduction is limited to 60% of taxable income.
- The sponsoring organization invests the assets, and the donor can recommend how the funds are granted to eligible charities over time. The sponsoring organization facilitates the grant distributions to the recommended charities, ensuring compliance with legal and tax requirements.

Advantages of DAFs

Simplified Giving Process

By consolidating charitable contributions into a single fund, donors avoid the complexity of managing multiple gifts and interactions with various organizations.

Tax Advantages

Donors receive an immediate income tax deduction for their contributions, contributions of appreciated assets avoid capital gains taxes, and assets grow tax-free within the DAF.

Strategic Philanthropy

The ability to recommend grants over time ensures that donors can align their giving with evolving personal or societal priorities.

Family Involvement

A DAF can engage multiple family members in philanthropic discussions, fostering a shared sense of purpose and values.

Privacy

DAFs allow donors to maintain anonymity when making grants, if desired.

Disadvantages of DAFs

Irrevocability

Once a contribution is made to a DAF, it cannot be returned to the donor.

Limited Control

Donors to a DAF have less control over the fund's investments than they would with a private foundation.

Fees

Administrative fees for a DAF can reduce the amount available for grants.

Case Study: Using a DAF for Charitable Giving

Murray Klein is a wealthy business owner and investor who wishes to embark on charitable giving.

- He owns a private auto repair business, which he is considering selling within the next few years. The business has an estimated market value of USD60 million and a cost basis of USD20 million.
- He also owns a USD30 million investment portfolio of mainly growth equity and high-yield fixed-income securities, with a cost basis of USD10 million.
- The business and investment portfolio together generate USD20 million in taxable income. His income tax rate is 35% and the capital gains tax rate is 20%.
- He is interested in using his wealth to promote early childhood health care and higher education, among other things, but has not yet completed researching potential charitable organizations to support. He is also cautious about selecting the right charities and does not want to commit too much to one charity.

While considering these impending decisions, Klein sets up a DAF and funds it with USD6 million of appreciated securities from his investment portfolio.

Tax and Charitable Benefits of Using a DAF

Klein is entitled to claim a maximum income tax deduction for his contribution of appreciated securities to the DAF of 30% of his taxable income, so a deduction of USD6 million (= USD20 million × 30%). This deduction lowers his overall income tax obligation from USD7 million to USD4.9 million [= (USD20 million × 35%) versus (USD20 million – USD6 million) × 35%]. Klein’s income tax savings is therefore USD2.1 million (= USD7 million – USD4.9 million).

Moreover, by funding the DAF with appreciated securities, Klein forgoes the capital gains tax of USD800,000 [= (USD6 million – USD2 million) × 20%] he otherwise would be required to pay if the securities were sold and the DAF was funded with the cash proceeds.

Therefore, by creating the DAF and funding it with appreciated securities, Klein reaps USD2.1 million in income tax savings and USD800,000 in capital gains tax savings.

When Klein is ready, he can advise the DAF sponsor on the gifting to various charities—such as his university, the local museum, and the children’s hospital—over an extended period using these funds, rather than his own funds, to satisfy his charitable goals.

Notably, the future appreciation associated with the USD6 million donation will accumulate outside of Klein’s estate and escape estate tax. Klein can also name his two adult children to be successor donor advisers upon his death or disability.

Why a DAF is the Right Choice for Murray Klein

Tax efficiency, flexible timing, and the capacity for strategic giving all make a DAF the right choice for Klein.

Tax Efficiency

By contributing appreciated securities to the DAF, Klein reaps a total of USD2.9 million in tax savings: USD2.1 million in income tax savings and USD800,000 in capital gains tax savings.

Flexible Timing

Klein is able to separate the timing of his charitable contribution to the DAF from the timing of the grants that will be made to the recipient charities.

Strategic Giving

The DAF enables Klein to plan his philanthropy over several years while supporting a range of local education and health initiatives.

DAFs offer a distinct combination of tax advantages, flexibility, and ease of administration. For individuals like Klein, a DAF represents a powerful tool for making a meaningful and sustained impact on their communities while optimizing financial benefits.

Private Foundations

Private foundations are one of the most enduring and versatile tools for philanthropy, offering individuals and families significant control over how their charitable contributions are distributed. A **private grantmaking foundation** is a type of private foundation typically established by an individual, family, or corporation. Its primary purpose is to make grants to other charitable organizations, individuals, or causes aligned with the foundation's mission. These foundations are generally funded by an endowment, which provides the financial resources for ongoing grantmaking activities.

Private foundations are distinct from DAFs in that they operate as independent legal entities, allowing founders to retain control over their operations, investments, and philanthropic goals. They are ideal for individuals or families with a strong commitment to structured, long-term philanthropy. Private foundations, however, come with additional administrative and regulatory requirements compared with other charitable giving vehicles. Because they require substantial endowments, private foundations are well-suited to the needs of ultra-high-net-worth (UHNW) individuals and families.

Key Features of Private Foundations

Control and Flexibility

Founders and their families can shape the foundation’s mission, grantmaking strategies, and governance structure.

Legacy Creation

A private foundation can serve as a lasting vehicle for family philanthropy, engaging multiple generations in charitable decision making.

Tax Advantages

Contributions to private foundations are eligible for tax deductions, although these may be subject to more restrictive limits than contributions to public charities.

Although private foundations offer numerous benefits, they also require careful planning and compliance with regulatory requirements, including, in the United States, a mandatory annual distribution of at least 5% of their net investment assets to qualifying charitable purposes. Exhibit 2 illustrates the mechanics of a private foundation.

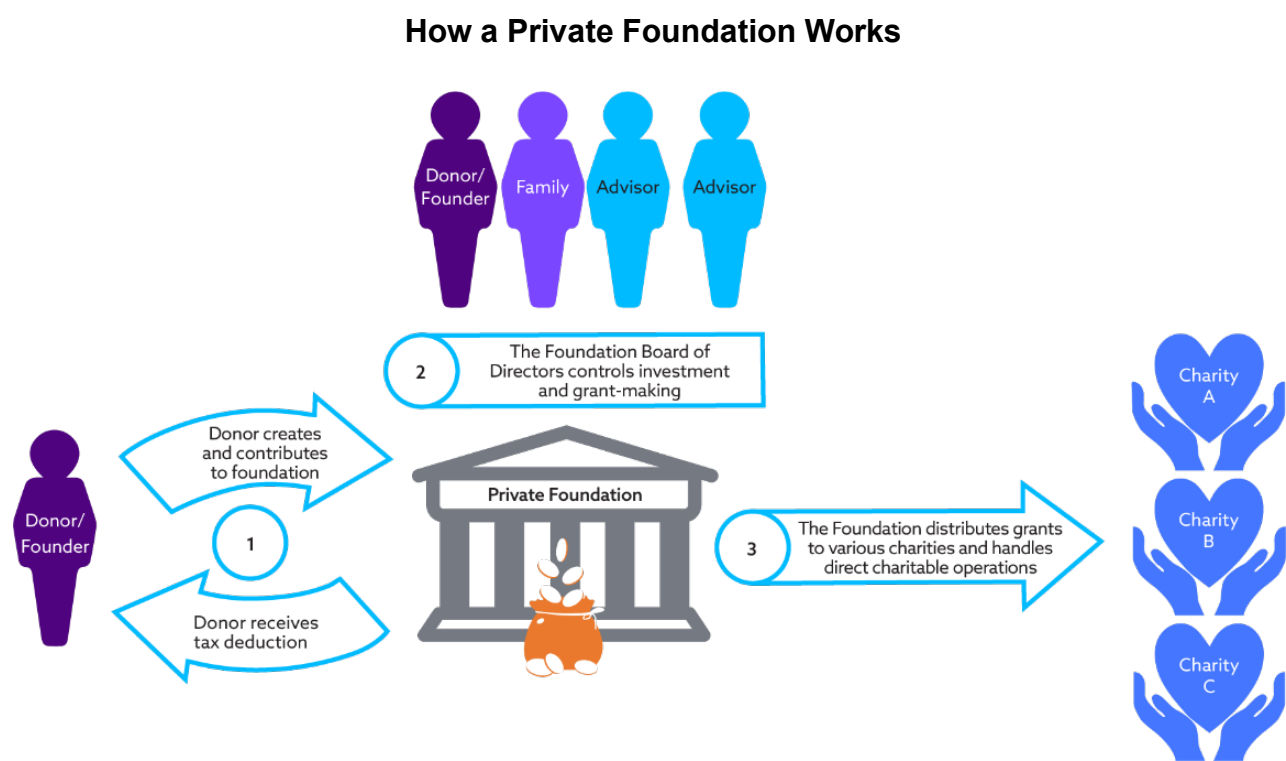


Exhibit 2: Source: CFA Institute.

- An individual, family, or corporation establishes the foundation as a legal entity, often as a trust or nonprofit corporation. The founder contributes assets, such as cash, securities, or real estate, to the foundation. These contributions are typically deductible for income tax purposes, subject to applicable limits. In the United States, these limits are 20% for appreciated securities and 30% for cash.
- A board of directors or trustees, often including family members or trusted advisers, oversees the foundation’s operations, investment management, and grantmaking strategies.
- The foundation provides grants to eligible charitable organizations, individuals, or causes, as defined in its mission statement. In its operations, the foundation must comply with applicable legal and tax obligations, which in the United States include annual reporting and a minimum distribution requirement of 5% of its net investment assets. Note that some UHNW clients have both a private foundation and a DAF, because the foundation’s 5% distribution requirement can be met by contributions to the DAF.

Advantages of Private Foundations

Enhanced Governance

By establishing a private foundation, donors maintain full control over how funds are allocated and managed, facilitating alignment with their philanthropic vision.

Customizable Missions

Unlike other charitable vehicles, private foundations can pursue highly specific or niche causes that reflect the founder’s values and priorities.

Family Engagement

A private foundation provides a structured platform for involving family members in charitable activities, fostering intergenerational collaboration.

Tax Planning

Contributions to private foundations offer income tax deductibility, subject to applicable limits.

Disadvantages of Private Foundations

Initial Capital Requirements

A significant initial endowment, typically a minimum of USD5 million, is often necessary to ensure sustainability and cover administrative expenses.

Administrative Burden

Foundations require setting up a board of directors, and administrative staff are needed to maintain records, file annual tax returns, and meet disclosure requirements as well as minimum distribution requirements.

Regulatory Oversight

Foundations are subject to oversight by tax authorities, and violations of rules, such as self-dealing or failure to meet minimum distribution requirements, can result in penalties.

Private foundations are well-suited for donors who seek lasting control and influence over their charitable activities and who have the resources to manage the administrative requirements. For individuals and families with the means and commitment, private foundations are powerful tools for shaping a long-term philanthropic legacy.

Limited Liability Companies

Limited liability companies (LLCs) are increasingly being used in the United States as vehicles for charitable giving, offering donors greater flexibility, privacy, and control compared with traditional philanthropic structures, such as private foundations. Unlike private foundations, which are governed by strict regulatory requirements and public disclosure obligations, LLCs are governed by the laws of private business entities. This distinction makes LLCs a compelling option for donors seeking a more agile approach to philanthropy.

An LLC for charitable purposes is typically formed to support philanthropic activities, such as direct grants to organizations, impact investing, or funding social enterprises. These companies allow donors to fund their charitable goals without being bound by the minimum distribution requirements or disclosure rules applicable to private foundations.

Although LLCs offer a high degree of flexibility, they do not provide the same tax advantages as traditional charitable structures. Contributions to an LLC are not tax deductible, and income generated by the LLC may be subject to taxation. Donations made by LLCs may be tax deductible, however. For example, if the LLC includes a separate operating company with taxable income, then the LLC’s donations to qualified charities can be used to offset that income.

Advantages of Using LLCs for Charitable Giving

Flexibility

LLCs can support a wide range of activities, including advocacy, political contributions, and for-profit investments, in addition to traditional charitable grants.

Privacy

Unlike private foundations, LLCs do not require public disclosure of financial activities, enabling donors to maintain confidentiality about their giving.

Control

Donors retain full decision-making authority over the LLC’s operations, allowing for dynamic adjustments to strategies and priorities.

Impact Investing

LLCs can invest in for-profit ventures that align with their philanthropic goals, blending financial returns with social impact.

Key Considerations for Using LLCs

Administrative Complexity

Although LLCs provide operational flexibility, they require the same governance and management as any other private business entity.

Tax Implications

Because contributions to LLCs are not tax deductible, donors need to weigh the trade-off between enhanced flexibility and the general lack of tax benefits.

LLCs represent a modern, innovative approach to philanthropy, ideal for donors who prioritize agility, privacy, and a broad range of activities. For individuals or families looking to achieve both philanthropic and impact-oriented goals, LLCs offer a dynamic alternative to traditional giving vehicles.

Comparison of Vehicles for Charitable Giving

Exhibit 3 provides a summary comparison of US DAFs, private foundations, and LLCs as vehicles for charitable giving along nine key dimensions.

Summary Comparison of Vehicles for Charitable Giving

Dimension	Donor-Advised Fund	Private Foundation	Limited Liability Company
Tax benefits and considerations	Immediate tax deduction; avoidance of capital gains tax when donating appreciated assets; potential for tax-free growth.	Tax deductions for contributions; subject to excise tax on net investment income.	No direct tax benefits for the entity, but owners (donors) may see tax advantages depending on their contributions.
Distribution requirements	No mandated annual distribution allows for strategic timing of grants.	Required to pay out at least 5% of net asset value annually for charitable activities.	No charitable distribution requirements, offering maximum timing flexibility.

Grantmaking capability and control	Advisory privileges for donors; ultimate legal control rests with the sponsoring organization.	High degree of control over granting and direct program operations.	Owners (donors) have significant freedom to make charitable decisions.
Asset growth and investment decisions	Donors may advise on investments within the sponsoring organization's options.	Complete discretion over investment decisions, within legal boundaries.	Full control over assets and investments.
Involvement and control	Donor advisory role with succession options; not direct legal control.	Founding donors and families often play active roles in management and governance.	Direct management and operational control by members.
Flexibility of purpose and implementation	Broad capability to support various charities.	Can operate own programs or fund other entities; high operational flexibility.	Unmatched operational flexibility to pursue charitable and for-profit activities.
Legacy aspects	Potential for multigenerational advisory roles for family members.	Enduring vehicle for a family's philanthropic legacy.	Can support a family's philanthropic activities but not inherently designed for legacy.
Privacy aspects	Options for anonymity in giving.	Less privacy due to required public disclosure of activities and finances.	Offers significant privacy benefits compared to private foundations.
Administrative costs	Low	High	Medium to high

Exhibit 3: Source: CFA Institute.

Planned Giving

Planned giving refers to charitable contributions that are arranged during a donor's lifetime but are executed at a future date, often as part of a comprehensive financial or estate plan. These gifts are structured to balance the donor's philanthropic aspirations with personal financial objectives, such as income generation, tax efficiency, and wealth transfer planning. Planned giving allows donors to make significant contributions to charitable organizations while also addressing personal financial needs or goals, creating a lasting legacy.

Planned giving instruments are particularly appealing to HNW individuals who wish to integrate their philanthropy with broad financial planning strategies. Two common vehicles that are used for planned giving in the United States are charitable remainder trusts (CRTs) and charitable lead trusts (CLTs), both of which offer distinct benefits tailored to different philanthropic and financial goals. In this section, we focus on CRTs and their variations.

Charitable Remainder Trusts

A charitable remainder trust (CRT) is an irrevocable trust that provides an income stream to a donor or other beneficiaries for a specified period or for life, with the remaining trust assets ultimately passing to one or more charitable organizations upon the termination of the trust. CRTs are highly flexible and allow donors to achieve philanthropic goals while retaining income benefits and maximizing tax advantages. CRTs are typically structured in two primary forms: charitable remainder annuity trusts (CRATs) and Charitable remainder unitrusts (CRUTs).

- **Charitable remainder annuity trust (CRAT):** A CRAT pays a fixed annual income stream to the donor or beneficiaries based on the trust's initial asset value. This fixed-income stream provides predictability and financial stability.
- **Charitable remainder unitrust (CRUT):** A CRUT pays a variable annual income stream based on a fixed percentage of the trust's assets, revalued annually. This structure allows for potential growth in income if the trust's investments perform well but also introduces variability.

Both CRATs and CRUTs provide donors with an immediate income tax deduction, allow donors to avoid capital gains taxes on appreciated assets transferred to the trust, and facilitate estate tax savings as the transferred assets are removed from the donor's estate.

Exhibit 4 illustrates the mechanics of a CRT.

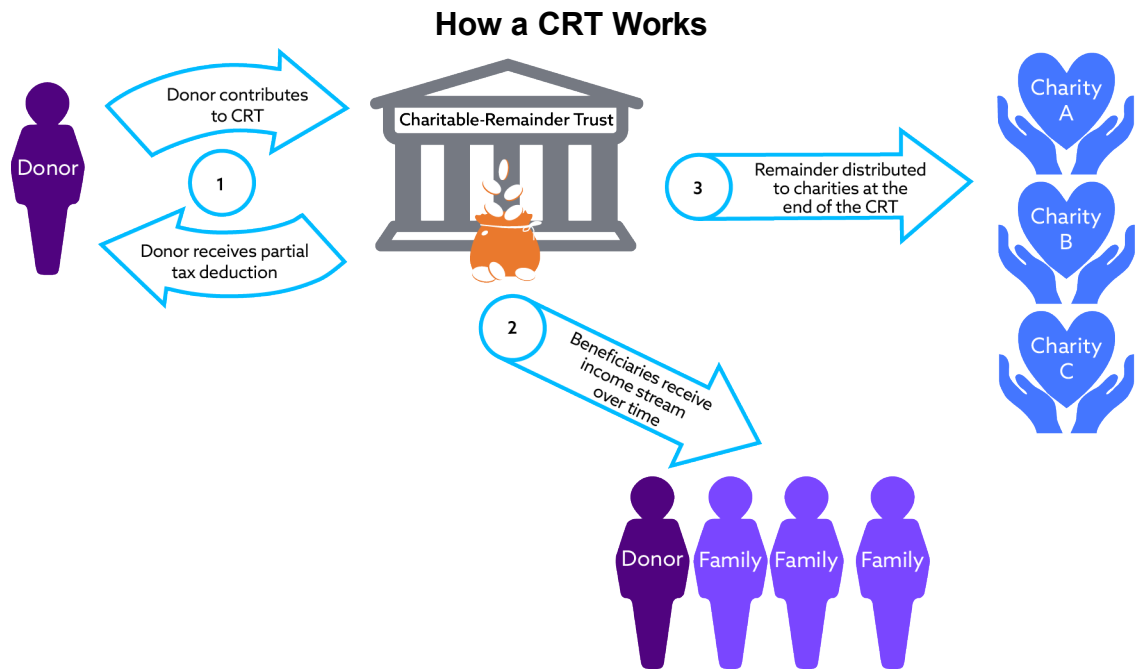


Exhibit 4: Source: CFA Institute.

- The donor transfers securities, other appreciated assets or cash to a CRT, and receives an income tax deduction for the present value (PV) of the remainder interest that will eventually pass to the charities. Note that the PV of the remainder interest must be at least 10% of the initial fair market value of the trust. Determining the PV of the remainder involves subtracting the actuarial PV of the beneficiaries’ interest (i.e., the annuity) from the amount used to fund the trust. The actuarial PV of the beneficiaries’ annuity is based on the US federal tax authority’s mandated interest rates and mortality tables.
- The CRT pays the donor or another designated beneficiaries an annual income (i.e., annuity) for life or for a set term (i.e., until the CRT terminates). Note that the annuity must be at least 5%, but less than 50%, of the initial fair market value of the trust.
- At the end of the term, the remaining trust assets are distributed to one or more qualified charitable organizations that have been designated by the donor.

Note that capital gains taxes on appreciated assets contributed to the CRT are deferred or avoided entirely.

Key Differences Between CRAT and CRUT

Income Predictability

CRATs offer fixed payments, providing stability, while CRUTs offer variable payments based on the annual revaluation of the trust’s assets.

Inflation Risk to Beneficiaries’ Income

For a given equity/fixed-income asset mix, the CRAT’s fixed-income stream is more susceptible to inflation risk than the CRUT’s variable income stream.

Flexibility

CRUTs may include provisions for additional contributions to the trust over time, whereas CRATs do not allow for such additions.

Advantages of Charitable Remainder Trusts

CRTs offer a range of benefits for donors who want to balance their philanthropic objectives with their financial needs.

Reliable Income Stream

Donors or beneficiaries receive a steady income stream for life or a specified term, providing financial security.

Tax Efficiency

Donors can claim an immediate charitable income tax deduction, avoid or defer capital gains taxes on appreciated assets transferred to the CRT, and reduce taxes on their estates.

Philanthropic Impact

The remainder of the trust passes to charitable organizations, enabling donors to leave a meaningful legacy aligned with their values.

Flexibility

CRTs can be tailored (e.g., the term, payout structure, and beneficiary designations) to meet specific financial and philanthropic goals, allowing for creative planning strategies.

Although CRTs offer significant advantages, they are irrevocable, meaning that donors must relinquish control over the assets once they are transferred to the trust. Exhibit 5 provides a summary comparison of the pros and cons of charitable remainder trusts.

Pros and Cons of Charitable Remainder Trusts

Pros	Cons
Tax advantages: Donor receives a charitable income tax deduction in the year the trust is funded. Also, capital gains taxes on appreciated assets contributed to the trust are deferred or avoided entirely.	Irrevocability: Once the trust is established, the decision is final, and the donor cannot reclaim the assets or change the trust terms.
Beneficiary income: The donor and/or other beneficiaries get a potentially lifelong income stream, which is especially useful for retirement planning.	Maintenance costs: There are ongoing administrative responsibilities and setup and maintenance costs, including tax preparation for the trust.
Estate planning: Assets transferred to the trust are removed from the donor’s estate for estate tax purposes, potentially leading to substantial tax savings.	Inflation risk: If the trust provides a fixed income (i.e., fixed annuity), the income stream could lose real value over time due to inflation.

Charitable impact: At trust termination, the remaining assets are transferred to the charity beneficiaries, fulfilling the donor's philanthropic objectives.	Investment risk: Poor investment performance can affect both the income stream and the remainder value available for charity.
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Exhibit 5: Source: CFA Institute.

Case Study: Charitable Remainder Annuity Trust

Murray Klein set up a charitable remainder trust (instead of a DAF) in the year before his business is sold. He transferred his business to the CRT and names the local children’s hospital and his university as the “remainder” charities. Thereafter, Klein sold the business for USD60 million, USD40 million of which was a capital gain. Upon the business sale, the USD40 million capital gain was not subject to tax because capital gains in the United States are not taxed if realized in a qualified CRT.

Klein was 60 years old when the trust was created, and he retained a lifetime annuity of 5% of the value of the business. Through this CRT structure, Klein received a charitable income tax deduction of USD23.442 million upon funding the trust.

This deduction is based on the size of the expected charitable remainder, which is determined by the difference between the fair market value of the trust and the actuarial PV of the lifetime annuity, with the latter determined using the federal tax authority’s mortality-adjusted PV annuity factor. The equation for this is:

Fair market value of CRT – Actuarial PV of lifetime annuity = Charitable deduction

Equation 1

Where

Actuarial PV of lifetime annuity=Lifetime annuity×Mortality-adjusted PV annuity factor

Equation 2

Using USD60 million as the fair market value of the CRT, USD3 million (= 5% × USD60 million) as the lifetime annuity, and 12.186 as the federal tax authority’s mandated mortality-adjusted PV of annuity factor, the charitable deduction derived from Klein’s CRT was found to be USD23,441,770, shown below.

USD60,000,000 – (USD3,000,000 × 12.186) = USD23,441,770

Each year the trust distributes an annuity to Klein of USD3 million. Because of US tax rules, the USD3 million annuity is subject to income tax. At Klein’s death, the remaining balance in the charitable remainder trust will be paid to the local children’s hospital and his university.

Klein also wants to benefit his two children at his death. To achieve this, he can create an irrevocable life insurance trust to purchase life insurance on his life that would replace all or a portion of the wealth that will be left to the charity at his death. Additionally, if the charity receiving the remainder from the trust is a private foundation or a DAF, then Klein’s children could be designated to control or advise, respectively, the charity at his death, thereby providing further benefit to them.

Considerations When Establishing a CRT

Irrevocability

Donors must be comfortable with transferring ownership of the assets permanently to the trust.

Income and Tax Planning

Donors should carefully evaluate the income stream and tax implications to ensure that the CRT aligns with their financial and philanthropic goals.

Professional Management

CRTs require ongoing administration, including investment management, tax reporting, and compliance with regulatory requirements.

CRTs, whether structured as a CRAT or CRUT, offer unparalleled opportunities for donors to combine philanthropy with financial security and tax efficiency. These instruments allow donors to create a meaningful legacy while enjoying the benefits of predictable income and significant tax advantages. For individuals like Murray Klein, CRTs serve as a bridge between personal financial needs and broader philanthropic aspirations.

Charitable Lead Trusts

A charitable lead trust (CLT) is a powerful and flexible philanthropic tool that allows donors to provide financial support to charitable organizations while preserving family wealth for noncharitable beneficiaries. By integrating regular charitable distributions with efficient wealth transfer strategies, CLTs are often used by HNW individuals and families to balance philanthropic goals with estate planning objectives.

CLTs are irrevocable trusts, meaning the donor relinquishes control over the transferred assets, but the benefits in terms of tax efficiency and philanthropic impact often outweigh this trade-off. CLTs can be categorized as either **grantor CLTs** or **nongrantor CLTs**.

Grantor CLTs

In a grantor CLT, the donor is also the noncharity beneficiary, and the donor receives an immediate income tax deduction. This income tax deduction is based on the PV of the annuity payments made to the charitable beneficiary, and is subject to applicable deduction limits.

Nongrantor CLTs

In a nongrantor CLT, the donor’s family or other individuals are the noncharity beneficiary. Moreover, there is no income tax deduction for the donor, but rather gift and estate tax deductions may allow the remainder assets to pass tax-free to the noncharity beneficiary. The gift and estate tax deductions are based on the PV of the annuity payments made to the charitable beneficiary.

Therefore, nongrantor CLTs are particularly advantageous in estate planning for reducing taxes on wealth transferred to heirs. Exhibit 6 illustrates the mechanics of a nongrantor CLT.

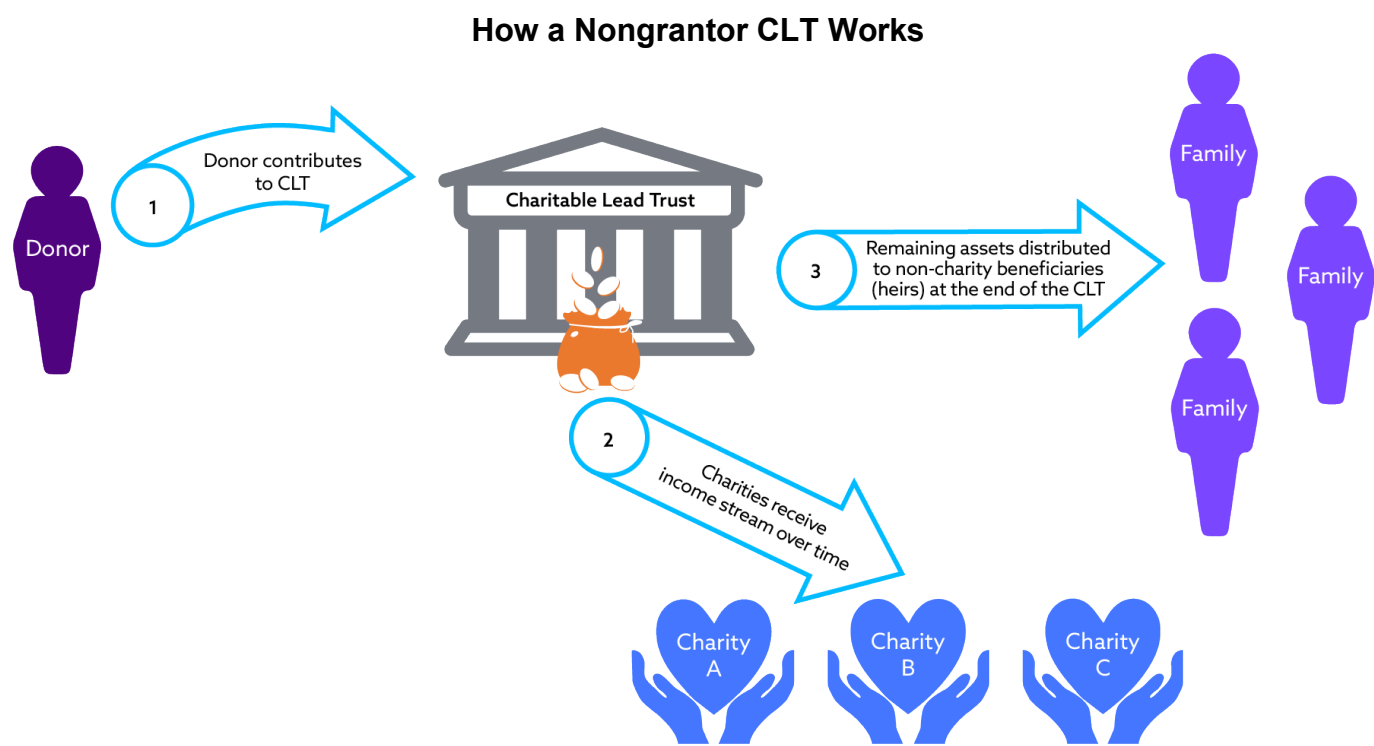


Exhibit 6: Source: CFA Institute.

- The donor transfers securities, other appreciated assets (such as real estate) or cash into a CLT.
- The trust makes annual payments (the annuity) to one or more designated charitable organizations for a specified term or until the trust terminates.
- At the end of the trust term, the remaining assets are distributed to the designated noncharity beneficiaries, typically family members or other individuals, along with associated estate and gift tax deduction benefits.

As “lead” implies in a CLT, the charities are the first to receive financial benefits (i.e., annuity), whereas the noncharity beneficiaries must wait until the trust terminates to receive the remainder assets. Note this situation is opposite of that of a CRT, in which case the noncharity beneficiaries first receive the annuity and then the charity receives the remainder assets upon the trust’s termination.

As with CRTs, CLTs can be structured in two primary ways, as a charitable lead annuity trust (CLAT), or a charitable lead unitrust (CLUT).

- **Charitable lead annuity trust:** The CLAT pays a fixed, predictable amount to charities annually, regardless of fluctuations in the trust’s value, based on the trust’s initial value. A CLAT is suitable for donors seeking stability in charitable payouts.
- **Charitable lead unitrust:** The CLUT pays variable annual payments based on a fixed percentage of the trust’s assets, recalculated annually. A CLUT allows flexibility to adjust to market performance but introduces variability in charitable payouts.

A specialized form of a CLAT, a **zeroed-out CLAT**, can eliminate gift and estate tax liabilities altogether. A zeroed-out CLAT is designed to minimize or eliminate gift and estate tax liabilities by structuring the PV of the charitable annuity payments to equal the value of the assets transferred to the CLAT. As a result, any appreciation of the assets during the trust term passes to the noncharitable beneficiaries (i.e., family, heirs) without additional tax consequences.

Advantages of Charitable Lead Trusts

CLTs offer distinct advantages for donors seeking to integrate philanthropy with estate planning.

Philanthropic Impact

Regular distributions to charitable organizations during the trust term provide consistent funding for causes aligned with the donor’s values.

Tax Benefits for Grantor CLTs

An immediate income tax deduction based on the PV of the annuity to the charitable beneficiary.

Tax Benefits for Nongrantor CLTs

Gift and estate tax deductions based on the PV of the annuity payments made to the charitable beneficiary, which reduce the taxable value of the remainder assets transferred to heirs, thereby significantly reducing or eliminating gift and estate tax liabilities.

Wealth Transfer and Tax Efficiency

Assets transferred to the CLT are removed from the donor’s estate, thereby reducing estate taxes. Moreover, any appreciation of assets over the CLT’s term passes to the noncharitable beneficiaries, often tax-free.

Flexibility

Donors can customize the trust’s term, payout structure, and beneficiaries to meet specific financial and philanthropic goals.

Exhibit 8 provides a summary comparison of the pros and cons of nongrantor CLTs.

Pros and Cons of Nongrantor CLTs

Pros	Cons
Early, predictable charitable benefit: The charity receives a predictable income stream for the trust term, aiding in its financial and operational stability.	Complexity and expense: Complex and expensive to establish and maintain, requiring expert legal and financial counsel.
Trust income tax benefit: As a taxable entity, the CLT receives charitable income tax deductions for payments made to charity each year.	Limited donor income tax benefit: Only grantor CLTs provide the donor with an income tax deduction for the assets placed in the trust. Nongrantor CLTs do not provide this benefit.
Estate planning tax benefits: Trust assets are passed to heirs potentially with reduced gift and estate taxes, especially if assets appreciate over the trust term.	Loss of control of assets: A CLT is an irrevocable trust, so donor loses control over the transferred assets that will go to noncharity beneficiaries when the trust ends.
Generational wealth transfer: An effective tool for transferring wealth to the next generation while achieving charitable goals and reducing the taxable estate.	Market risk for heirs: If the trust’s investments underperform, the amount eventually passed to beneficiary heirs may be less than expected.

Exhibit 8: Source: CFA Institute.

Case Study: Zeroed-out CLAT

Dimitri Clemente, a tech entrepreneur, is married to AnnaMaria, and they live in a country that is a signatory to the Hague Convention. Dimitri is a dual US and Spanish citizen, but AnnaMaria is a Spanish national who is not a US citizen. Dimitri and AnnaMaria, who have three young children, have signed The Giving Pledge.

Dimitri started his cloud-based software company in the United States five years ago. He remains the sole owner and wants to eventually take the company public. He would like to transfer assets to AnnaMaria and the children in a tax-advantaged manner, and he also identified a charity that he would like to benefit.

The current valuation of Dimitri’s company is USD25 million, but he estimates that in three years, when he is ready to take it public, the value will be USD75 million. Dimitri also has other assets worth USD30 million. Based on his private wealth adviser’s recommendation, Dimitri decides to contribute the stock in his company to a three-year zeroed-out CLAT.

In a zeroed-out CLAT, the remainder value that will ultimately be received by the noncharity beneficiaries (Dimitri’s family) is 0. The CLAT will pay USD9.249 million to the charity for each of three years, for a total of USD27.747 million (= 3 × USD9.249 million). The USD9.249 million annuity payment is based on the current fair market value of Dimitri’s company (the sole asset in the CLAT) and the federal tax authority’s actuarially determined term-certain annuity factor.

Fair market value of CLAT – Actuarial PV of annuity = Remainder value

Equation 3

Where

Actuarial PV of annuity/Term-certain annuity factor=Annuity payment

Equation 4

Using USD25 million as the fair market value of the CLAT and “USD0” as the remainder value, the actuarial PV of the annuity is USD25 million. The annual annuity payment over each of the three years, is then USD25 million divided by 2.703, the federal tax authority’s mandated term-certain annuity factor, or USD9,248,982. This is shown in the calculations below.

$$\text{USD25,000,000} - \text{USD25,000,000} = \text{USD0}$$

Equation 3a

$$\text{USD25,000,000} / 2.703 = \text{USD9,248,982}$$

Equation 4a

At the end of the CLAT’s three-year life, if the company’s public market valuation is USD75 million, then USD47.253 million (USD75 million – USD27.747 million) will be left in a successor trust for AnnaMaria and the children, free of any gift or estate taxes.

Up Next

You have now completed Lesson 1: Transferring Wealth: Charities and Philanthropy. We hope this lesson has provided you with valuable insight into practical strategies to help advisers and clients effectively transfer wealth through charitable giving and philanthropy, ensuring alignment with personal, family, and societal objectives.

In the next lesson, you will explore primary tax systems worldwide and foundational considerations in cross-border wealth transfer, including citizenship and residency rules, asset location and ownership structure, which form the critical factors shaping tax exposure. We also examine exchange rate risk mitigation strategies and vehicles for cross-border philanthropy.

Lesson 2: Cross-border Wealth Transfer

Welcome to Lesson 2 of Module 3!

This lesson explores the complexities of cross-border wealth planning for high-net-worth (HNW) individuals with global assets. It emphasizes the importance of understanding tax residency, legal domicile, and international tax systems—ranging from tax havens to worldwide and citizen-based taxation. The lesson also addresses currency risk management, and cross-border philanthropy, highlighting legal and tax differences between common law and civil law jurisdictions. Effective planning facilitates compliance, optimizes tax efficiency, and supports global wealth transfer goals.

By the end of this lesson, you will be able to discuss considerations in cross-border wealth transfer.

Let's get started!

Investor Tax Domicile and Jurisdiction

In today's interconnected world, effective cross-border wealth management requires a deep understanding of how tax domicile and jurisdiction intersect. For HNW individuals and families with global financial interests, these concepts dictate how income, assets, and wealth transfers are taxed. Jurisdictional tax frameworks vary significantly, with implications for compliance, planning, and optimization strategies. Key factors include an individual's tax residency, the location of their assets, and the applicable international tax system. This section introduces foundational elements of investor tax domicile and jurisdiction, offering insight into the primary tax systems worldwide and the critical factors shaping tax exposure.

Main Types of International Tax Systems

Tax systems differ across jurisdictions, creating varying obligations for individuals and entities. Understanding these systems is essential for effective wealth planning. The four main types of international tax systems are described below.

Tax Havens

Tax havens are jurisdictions that impose minimal or no taxes on income, capital gains, wealth, or inheritance, particularly for foreign investors. They attract individuals and corporations seeking to reduce their tax burden. Examples include Bermuda, the Cayman Islands, and Monaco. Although tax havens can be advantageous for reducing overall taxation, they come with increased scrutiny, regulatory challenges, and compliance requirements as global entities, such as the OECD, advocate for greater transparency.

Territorial Tax Systems

Under a territorial tax system, a jurisdiction taxes only income earned within its borders. Foreign income, regardless of the taxpayer's residence, is generally untaxed. Examples of jurisdictions with territorial tax systems include Hong Kong SAR, the Philippines, and Singapore. This system appeals to global investors and multinational businesses, as it mitigates the risk of double taxation on international income. Although advantageous for those with foreign assets, this system necessitates careful planning to optimize domestic income taxation.

Worldwide Tax Systems

Countries employing worldwide tax systems impose taxes on residents for their global income, regardless of where it is earned. This means that an individual's tax obligations extend beyond geographic borders, requiring diligent reporting and tax planning to comply with complex international and domestic regulations. Examples of countries with worldwide tax systems include Canada, India, Japan, and Germany (for citizen and noncitizen residents). These systems often provide mechanisms, such as foreign tax credits or tax treaties, to reduce or eliminate double taxation.

Citizen-based Tax Systems

The United States exemplifies a citizen-based tax system, in which citizens (and noncitizen residents) are taxed on their worldwide income, irrespective of their residency. This includes US citizens residing abroad, who are subject to US tax obligations even if they meet residency criteria in another jurisdiction. This system poses distinct challenges, particularly for dual citizens and expatriates, as compliance often involves navigating dual tax obligations and leveraging treaties to mitigate overlapping liabilities. Advisers must carefully assess the individual's citizenship and tax residency to ensure compliance while optimizing their tax strategy.

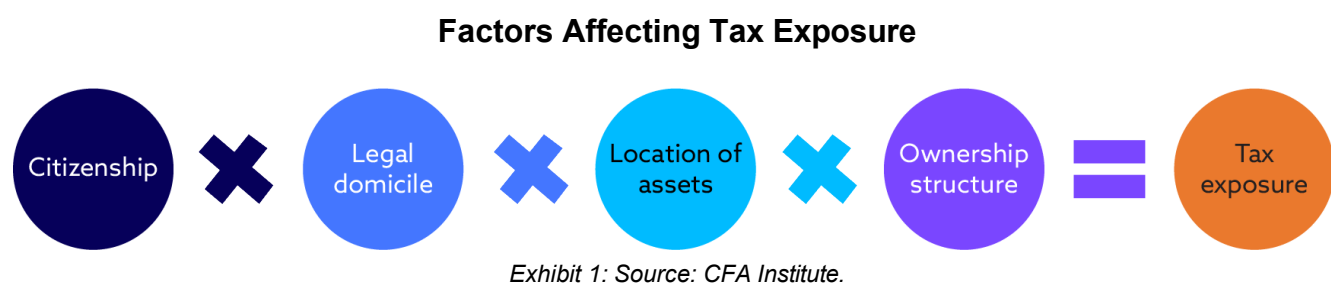
Residence Rules

Residence rules are the criteria typically used by jurisdictions to determine whether an individual or entity qualifies as a tax resident. Residency generally dictates the scope of taxation, affecting income, capital gains, and wealth transfers. These rules vary across countries but often consider factors such as physical presence (number of days spent in the jurisdiction), ownership of a permanent home, and personal or economic ties. For example, the United States employs the substantial presence test, which evaluates whether an individual meets a specified threshold of days in the country to be considered a tax resident.

Along with citizenship and residency rules, it is essential for wealth advisers to develop a full understanding of relevant tax jurisdictions that will affect tax liabilities, and investment and estate planning, as clients may be citizens, residents, or investors in multiple countries. A good rule of thumb is to start with the tax rules of the investor's country of citizenship, which may influence decisions on how to own assets in another country. Then, the second step is to focus on the domicile (i.e., permanent home or

primary country of residence) of the investor and the location of the investor’s assets. Citizenship, domicile, and the location of the assets jointly determine tax exposures and the ability to mitigate different types of tax exposures.

Exhibit 1 presents a stylized depiction of the key factors that affect an individual’s tax exposure. Exhibit 2 discusses each of the factors.



Key Factors Affecting Tax Exposure

Citizenship

Citizenship often determines tax obligations in jurisdictions with citizen-based taxation. The United States is a prime example of a citizen-based tax system, where citizens are taxed on their worldwide income regardless of their physical presence. This can create complex compliance challenges for expatriates and dual citizens, as they must fulfill US tax obligations while potentially being subject to taxes in their country of residence. Tools such as the Foreign Earned Income Exclusion (FEIE) and foreign tax credits can mitigate double taxation, but the administrative burden remains high. Notably, US noncitizen residents—green-card holders and those meeting the substantial presence test—are also taxed on their worldwide income. Wealth advisers must carefully evaluate the implications of such citizenship-based tax systems when structuring international tax plans.

Legal Domicile

Legal domicile refers to an individual’s permanent legal home, often determined by factors such as the location of their primary residence, family connections, and declared intentions. Domicile plays a critical role in determining exposure to inheritance and wealth transfer taxes. For example, individuals domiciled in the United Kingdom are subject to inheritance tax on their worldwide estate, whereas nondomiciled residents are taxed only on assets located within the United Kingdom. Wealth managers must assess domicile carefully, especially for globally mobile clients, as changing domicile can have significant tax implications.

Location of Assets

The jurisdiction where assets are physically located can subject them to local taxes, such as property, inheritance, or wealth taxes, regardless of the owner’s residence. Real estate, for instance, is typically taxed in the jurisdiction where it is located, regardless of the owner’s residence. Similarly, certain jurisdictions impose exit taxes or deemed disposition taxes when assets are moved or liquidated. Understanding the location of assets is essential for structuring ownership to minimize local taxes, especially for clients with cross-border investments.

Ownership Structure

How assets are held—whether directly or through trusts, corporations, or partnerships—can have a significant impact on tax liabilities. For example, assets held in offshore trusts may benefit from reduced taxation in the trust’s jurisdiction, while also complicating reporting requirements in the owner’s home country. Similarly, corporate ownership can shield individuals from personal liability but may introduce corporate tax liabilities. Advisers must evaluate ownership structures carefully to ensure tax efficiency while maintaining compliance with international reporting standards, such as the OECD’s CRS.

General Income Tax Regimes

Tax systems vary widely across jurisdictions, shaping the strategies available for income and wealth planning. The following example provides descriptions of various tax regimes and highlights their distinguishing features and implications for wealth management.

General Income Tax Regimes

Countries typically structure their income tax systems as either progressive or flat. These tax regimes can further be categorized based on how they tax investment returns in taxable accounts. For instance, interest income may be taxed at ordinary rates or at favorable rates under specific provisions. In this review, we assume interest income is taxable at ordinary rates unless significant exceptions apply. We use similar classifications for dividends and capital gains. Exhibit 3 identifies seven distinct tax regimes based on a classification of common elements of these tax regimes.

Types of Tax Regimes

Income tax regime	1-Common progressive	2-Heavy dividend tax	3-Heavy capital gain tax	4-Heavy interest tax	5-Light capital gain tax	6-Flat and light	7-Flat and heavy
Ordinary tax rate structure	Progressive	Progressive	Progressive	Progressive	Progressive	Flat	Flat
Interest income	Some interest taxed at favorable rates or exempt	Some interest taxed at favorable rates or exempt	Some interest taxed at favorable rates or exempt	Taxed at ordinary rates	Taxed at ordinary rates	Some interest taxed at favorable rates or exempt	Some interest taxed at favorable rates or exempt

Dividends	Some dividends taxed at favorable rates or exempt	Taxed at ordinary rates	Some dividends taxed at favorable rates or exempt	Some dividends taxed at favorable rates or exempt	Taxed at ordinary rates	Some dividends taxed at favorable rates or exempt	Taxed at ordinary rates
Capital gains	Some capital gains taxed at favorably or exempt	Some capital gains taxed at favorably or exempt	Taxed at ordinary rates	Some capital gains taxed at favorably or exempt	Some capital gains taxed at favorably or exempt	Some capital gains taxed at favorably or exempt	Taxed at ordinary rates
Examples	Austria, Brazil, China, Czech Republic, Finland, France, Greece, Hungary, Ireland, Italy	Argentina, Indonesia, Israel, Venezuela	Colombia	Canada, Denmark, Germany, Luxembourg, Pakistan	Australia, Belgium, India, Kenya, Mexico, New Zealand, Norway, Spain, Switzerland, Turkey	Kazakhstan, Russia, Saudi Arabia, (Zakat)	Ukraine

Exhibit 2: Source: CFA Institute.

Common Progressive Regime

This regime applies progressive tax rates to ordinary income while providing favorable treatment to all three investment income categories: interest, dividends, and capital gains. Despite being categorized as “common,” variations exist within this regime, with some countries treating certain interest income as ordinary and other interest income as tax exempt.

Heavy Dividend Tax Regime

This regime uses a progressive tax system for ordinary income and provides favorable treatment for some interest and capital gains. However, it taxes dividends at ordinary rates.

Heavy Capital Gain Tax Regime

This regime employs a progressive tax system for ordinary income and offers favorable treatment for interest and dividends. However, it taxes capital gains at ordinary rates. Only one country, Columbia, follows this regime.

Heavy Interest Tax Regime

This regime uses a progressive tax system for ordinary income and provides favorable treatment for dividends and capital gains. However, it taxes interest income at ordinary rates.

Light Capital Gains Tax Regime

This regime applies a progressive tax system to ordinary income, interest, and dividends but provides favorable treatment for capital gains. This was the second most commonly observed regime.

Flat and Light Regime

This regime uses a flat tax system and provides favorable treatment for interest, dividends, and capital gains.

Flat and Heavy Regime

This regime applies a flat tax system to ordinary income, dividends, and capital gains. It does not provide favorable treatment for dividends and capital gains, but it does for interest income.

Key Tax Factors in Global Investment Strategy

Apart from the various tax regimes that may impose different tax rates on different types of income, other crucial factors pertain to tax planning for investments. Some countries allow the use of tax-deferred retirement accounts. Conversely, a few countries levy a wealth tax periodically on accumulations, which, like income taxes, can reduce after-tax returns and accumulations.

Investment decisions, especially those involving cross-border transactions, can be complex because of various tax implications. The optimal strategy will depend on the investor’s specific investment goals and estate planning objectives. Therefore, it is crucial to engage an international tax specialist to ensure that all relevant issues are considered in cross-border investment decisions.

Case Study: Considerations in Cross-Border Investing

Josie Boyd is a permanent resident of Hong Kong SAR. She wants to invest in the United States. The ownership structure of an investment will have a material impact on its after-tax return. Consider the following:

- **Hong Kong SAR operates under a territorial tax system**; thus, it would not tax any income or gains arising from the US-located investment.
- **The United States operates under a worldwide tax system**; it taxes investments in the United States regardless of the investor’s citizenship or residence, taxing both income from the investment and any capital gain on a sale of an investment. The investment may also be subject to US estate and gift taxes. Depending on the location of the US investment, state taxation may come into play in addition to any federal tax obligation.
- **Hong Kong SAR also has no inheritance or estate tax**, so the only tax considerations to be addressed relating to these topics are those arising from the United States.

Josie can own the US investment

- directly in her name, and she would be subject to taxes on the income earned without offsetting that income with investment expenses, and there would be an estate tax payable upon her death, although the value of the estate would be reduced by any outstanding debt on the investment;
- indirectly through a US corporation; the US corporation could be owned by a non-US entity, either Josie or a non-US corporation, and investment expenses could be used to offset the income. Only the net income would be subject to withholding in the United States when it is paid to the non-US owner. At Josie’s death, the shares of the company either pass to Josie’s heirs, or if the company is liquidated, any gains on the assets would be taxed at the corporate capital gains tax rate, which is higher than the capital gains tax rate for individuals. In addition, any retained earnings would be subject to withholding; or
- indirectly through a non-US corporation; the value of the asset would not be subject to US estate taxes at Josie’s death. The shares of the company pass to Josie’s beneficiaries, not the assets, on her death. As a non-US company, it is not subject to US taxation.

Choosing the Right Investment Structure

Owning investments within corporations is a useful alternative but may be a poor choice in some instances. It offers the advantage of legally separating assets, but this approach can introduce tax considerations, as disbursements from corporate entities in some jurisdictions might be subject to ordinary income taxation rather than the treatment as investment income. Naturally, in certain other jurisdictions, all investment-related earnings—whether derived from privately held businesses or publicly traded corporations—might face similar tax rates, aiming to minimize attempts at exploiting legal loopholes for tax avoidance.

Other structures shield investors from taxes, such as trusts, private insurance companies, and private foundations. These structures are dependent upon both where they are located and where the investor is legally domiciled. The next case study provides a direct comparison of similar investments based on jurisdiction and domicile, highlighting the importance of legal domicile for the investor.

Case Study: Jurisdictional Considerations for Private Clients

Franz Schmid is a portfolio manager for Global Wealth Advisers (GWA), an investment management firm focused on private clients. Franz manages diversified portfolios of stocks and bonds. GWA has recently been retained by two new clients—Valerie Low, based in Singapore, and David Morehouse, based in Switzerland. Each has a portfolio of CHF10 million, or its equivalent, held in taxable accounts located in their home domiciles and the United States. Valerie and David have similar risk and return objectives, and each has agreed to an asset allocation of 50% domestic stocks and bonds (Singaporean and Swiss, respectively) and 50% US stocks and bonds.

Singapore operates under a territorial tax regime. Switzerland operates under a worldwide tax regime. Based on the general principles of territorial and worldwide tax regimes, these two countries’ tax regimes hold important considerations for each client’s wealth management strategy.

The first step in developing a wealth management strategy for each client is for Franz to determine the citizenship of each client. This first step is necessary to determine which tax rules must be considered in structuring the portfolio. He learns that both are citizens of the country in which they currently reside.

Exhibit 3 summarizes these considerations, which are explained in further detail.

Summary of Home Country Portfolio and US Portfolio Tax Considerations

Investor	Home Country Portfolio (Singapore and Switzerland)	US Portfolio (United States)	Wealth and Estate Taxes
Valerie Low (Singapore)	• Taxed only on income earned in Singapore • No tax on most dividends and domestic interest income	• 30% US withholding tax on gross dividends • Capital gains not taxed by the United States	• No estate tax in Singapore • US estate tax applies to US stock holdings
Potential implications for Valerie Low	• Unconstrained by tax considerations	• Portfolio emphasizes fixed-income securities and high-growth, low-dividend equities	• May create a non-US company to hold US stock investments
David Morehouse (Switzerland)	• Taxed on all investments in Switzerland and US investments	• US withholding tax on dividends reduced to 15% due to bilateral tax treaty • US withholding tax on interest reduced	• Modest estate tax in Switzerland • For US estate tax exemption, full disclosure of net worth required

Investor	Home Country Portfolio (Singapore and Switzerland)	US Portfolio (United States)	Wealth and Estate Taxes
	- Dividend and interest income taxed at 35% - Capital gains are tax exempt	- to 0% due to bilateral tax treaty - Capital gains not taxed by the United States	
Potential implications for David Morehouse	Portfolio emphasizes high-growth equities	Portfolio may have higher allocation to fixed-income and dividend-paying stocks held in a non-US corporation	May consider creating a non-US company to hold US investments

Exhibit 3: Source: CFA Institute.

Home Country Portfolios

Valerie Low

As a citizen and resident of Singapore, Valerie will be taxed only on income earned in Singapore. Because Singapore also exempts most dividends from Singapore companies and most domestic interest income from taxation, Franz’s management of the Singaporean stock and bond portfolio will be unconstrained by tax considerations.

David Morehouse

As a citizen and resident of Switzerland, David will be subject to Swiss tax on all of his investments and US tax on his US investments. In broad terms, Switzerland taxes dividend and interest income but exempts individual investors’ capital gains from taxation. Between local and federal taxes, David’s dividend and interest income may be taxed at a rate approaching 40%. The portfolio that Franz constructs for David should emphasize high-growth equities in which a large portion of the total return is derived from capital gains.

US Portfolios

Valerie Low

Franz’s chief concern relates to the US taxation of the US stock and bond portfolio. No tax treaty exists between Singapore and the United States, so the United States will impose a 30% withholding tax on gross dividends. Most interest income on government and corporate bonds is exempt from withholding, provided the investor supplies the issuer or corporate trustee proof of beneficial ownership. Because they are held by a non-US investor, any capital gains on the stocks and bonds in the US portfolio will not be taxed by the United States. The portfolio that Franz develops for Valerie should emphasize fixed-income securities and high-growth, low-dividend equities.

David Morehouse

A tax treaty between Switzerland and the United States will reduce the withholding rate on David’s US dividends and interest to 15% and 0%, respectively, yielding a substantial savings. Thus, David’s US equity portfolio may have a higher allocation to dividend-paying stocks and fixed income than Valerie’s portfolio would. Any capital gains on the stocks and bonds in the portfolio will not be taxed by the United States.

Wealth and Estate Taxes

Valerie Low

Singapore has no estate tax, no estate tax treaty exists between Singapore and the United States. The US estate tax applies to US stock holdings but not to holdings of qualifying corporate and government bonds. Therefore, Valerie’s estate will be required to pay US estate taxes on her US stock investments. Franz may look to create a non-US company to hold Valerie’s US stock investments.

David Morehouse

Switzerland’s estate tax is relatively modest compared to the US estate tax rate. Although an estate tax treaty exists between Switzerland and the United States, to obtain the estate tax exemption, David would have to disclose his entire net worth to the United States, something he may be reluctant to do. Thus, David would like to consider the creation of a non-US company to hold his US investments. This is not a clear-cut solution for David, however. If the country in which this company is created does not have an income tax treaty with the United States, David’s dividend income would be subject to the 30% withholding tax rate and capital gains realized within the company would be distributed to David as dividends, which are taxable in Switzerland. Short of pursuing other, more complex, options (e.g., a partnership or trust), David’s best option appears to be direct ownership and full disclosure of his net worth.

This example highlights the different tax considerations for two investors regarding their respective home countries and a US investment portfolio. Tax frameworks influence both asset allocation and asset structuring.

Example: Using Tax Treaties to Enhance After-tax Returns

Imagine you are a wealth adviser with a client who is a resident of Hong Kong SAR and is interested in adding safe-haven assets to a portfolio, particularly equities and bonds located in Switzerland. Switzerland has long been considered a safe haven

for investors; it is at the center of Europe, has a stable political climate, and is economically integrated with most of the world. After research, you identify Swiss equities and bonds that you believe will fit with the client's investment profile. You contemplate adding to the portfolio the following equities and bonds, with the following estimated returns:

- **Swiss equities:** CHF200,000, producing annual dividend payments of CHF5,000 and projected annual appreciation of 5%, or CHF10,000
- **Swiss bonds:** CHF200,000, producing annual interest payments of 3%, or CHF6,000

In your projections, you assume that the appreciation in the equities will be realized through a sale of the shares at year end. So, for your client, the total return on the CHF400,000 portfolio will be as follows:

- **Dividends:** CHF5,000
- **Capital gains:** CHF10,000
- **Interest income:** CHF6,000
- **Total gross income, pre-tax:** CHF21,000
- **Projected pre-tax return:** 5.25%

Tax Considerations for Investing in Swiss Equities and Bonds as a Hong Kong SAR Resident

First, you need to confirm that the client is not a citizen or permanent resident of a jurisdiction that triggers a tax liability under a worldwide tax regime. US citizens and US permanent residents, for example, are taxable in the United States even if not currently residing there. You also need to confirm the Hong Kong SAR tax treatment of the Swiss portfolio. Your client confirms that under Hong Kong SAR tax law, there is no Hong Kong SAR taxation on interest, dividends, or capital gains earned in relation to the contemplated Swiss investments.

Second, you need to understand the Swiss tax position. On review, you confirm with Swiss advisers that Swiss inheritance taxes would not apply to a non-Swiss investor (except for real estate) and that capital gains are tax free. You also learn, however, that Switzerland applies a 35% withholding tax on interest and dividends to foreign investors.

Thus, the after-tax return for your client is estimated as follows:

- **Total gross income, pre-tax:** CHF21,000
- **35% Swiss withholding tax on CHF11,000 (dividends and interest):** CHF3,850
- **After-tax income:** CHF17,150
- **Projected after-tax return:** 4.29% (= CHF17,150/CHF400,000)

Enhancing Portfolio Returns Through Swiss–Hong Kong SAR Tax Treaty Benefits

You determine whether a tax treaty exists between Hong Kong SAR, the place of residence of your client, and Switzerland, and you find that one exists. Under this treaty, a qualifying resident of Hong Kong SAR is entitled to a reduction in Swiss withholding taxes on both dividends and interest. In the case of dividends, the withholding rate is reduced from 35% to 10%; in the case of interest, the withholding rate is reduced from 35% to 0%. Your calculation of the after-tax return is revised as follows:

- **Total gross income, pre-tax:** CHF21,000
- **10% Swiss withholding tax on CHF5,000 (dividends):** CHF500
- **0% Swiss withholding tax on CHF6,000 (interest):** CHF0
- **After-tax income:** CHF20,500
- **Projected after-tax return:** 5.13% (= CHF20,500/CHF400,000)

Exchange Rate Risk

Managing wealth across borders introduces distinct challenges, particularly for families with significant global exposure. Among these challenges, exchange rate risk stands out as a key concern because its potential to erode the purchasing power of assets and liabilities denominated in different currencies. As families diversify their financial and nonfinancial holdings geographically, they often face currency mismatches that can amplify financial risks. This section examines the reasons for strategically locating assets and liabilities in specific jurisdictions to mitigate these risks and safeguard wealth.

Rationales for Locating Assets or Liabilities in Various Jurisdictions

Locating assets and liabilities across multiple jurisdictions can provide significant benefits, including tax efficiency, inflation

protection, legal security, and mitigation against governmental interference. Each rationale mentioned below serves to enhance the preservation and growth of wealth, particularly in volatile or uncertain economic environments.

Choosing Favorable Taxation Regimes

Tax regimes play a critical role in determining the after-tax return on investments. Many families and investors choose jurisdictions with advantageous tax structures to minimize tax liabilities. For instance:

- **Low- or no-tax jurisdictions:** Countries such as Singapore and the British Virgin Islands (BVI) impose no capital gains taxes, making them attractive for holding financial assets and corporate structures.
- **Double-taxation treaties:** Nations such as the Netherlands leverage extensive tax treaty networks to reduce withholding taxes on income streams from cross-border investments.

By strategically locating assets in tax-friendly jurisdictions, families can reduce the overall tax burden and optimize returns. For example, dividends and interest earned on investments in jurisdictions with reduced withholding tax rates through bilateral agreements can significantly enhance net (after-tax) income.

Protecting Assets from Inflation or Intentional Currency Devaluations

Inflation and currency devaluation can rapidly erode the real value of assets. By relocating holdings to jurisdictions with stable currencies and strong monetary policies, families can mitigate these risks. Examples of this are given below.

- **High-inflation economies:** Countries such as Venezuela or Zimbabwe have experienced hyperinflation, making domestic holdings risky for wealth preservation.
- **Stable currencies:** Nations such as Switzerland, with historically low inflation rates and a strong Swiss franc, provide a haven for preserving purchasing power.

Strategically diversifying assets into stable currencies ensures that long-term financial goals are not undermined by local economic instabilities. Such strategies are particularly relevant in regions where governments may use intentional currency devaluation as a tool to address trade deficits and fiscal imbalances.

Securing Legal Protection from Third-Party Claims

Legal systems vary significantly across jurisdictions, with some offering more robust protections against third-party claims than others. Examples of this are given below.

- **Limited liability protections:** Incorporating holding companies in jurisdictions, such as the British Virgin Islands, ensures that personal assets are shielded from liabilities incurred by the entity.
- **Trust structures:** Jurisdictions, such as the Cayman Islands, provide flexible trust laws that protect wealth from potential creditors or lawsuits.

These legal frameworks enhance the security of family wealth, ensuring that assets remain intact despite potential legal challenges.

Protecting Assets from Governmental Confiscation

Political instability and weak property rights can increase the risk of governmental confiscation of private assets. Relocating wealth to jurisdictions with strong legal protections against expropriation offers a critical safeguard. For example, countries such as Luxembourg and Liechtenstein provide robust property rights that prevent unjust confiscation.

Locating assets and liabilities strategically across jurisdictions can provide families with substantial advantages, including enhanced tax efficiency, protection against inflation and currency devaluation, legal security, and safeguarding against government interference. These considerations are vital in ensuring long-term wealth preservation and growth, particularly in an increasingly interconnected and volatile global economy. By leveraging favorable jurisdictions, families can mitigate risks while optimizing their financial outcomes. This strategic allocation serves as a cornerstone of robust wealth management practices.

Case Study: Exchange Rate Risk in the Family Extended Balance Sheet

The motivation to locate assets in jurisdictions with currencies denominated in something other than the family's consumption currency introduces exchange rate risk. Moreover, the impact of currency mismatches on the management of assets and liabilities (objectives) can be damaging, especially over the long run. Consider the relatively simple example of the Hemmingworth family, a US family that resides in Germany.

- **Chris Hemmingworth**, the father, is an executive at a German lubricant manufacturer. He is paid in euros, and the mortality-adjusted present value of his human capital is EUR6 million. At the assumed current USD1.10/EUR exchange rate, the present value of his human capital expressed in US dollars is USD6.6 million.
- **Jennifer Hemmingworth**, his spouse, cares for their three children. The family plans to reside in Germany for the duration of Chris's employment (i.e., until he retires) and spends about EUR100,000 per year to maintain their current lifestyle, representing a probability-weighted present value of EUR800,000, or USD880,000 at today's exchange rates.

- The family owns residential real estate worth EUR500,000 with a EUR200,000 mortgage, or USD550,000 and USD220,000, respectively.
- The family holds cash of USD50,000 and EUR100,000 as well as an investment portfolio consisting of USD1.5 million in assets denominated in US dollars and EUR1 million in assets denominated in euros.
- The couple intends to send their children to school in the United States at an estimated present value of USD900,000.
- The couple plans to retire in the United States. The longevity-adjusted present value of their retirement spending needs is USD5 million.
- The couple also intends to pass on USD1 million in bequests and charitable donations upon their death.

Exhibit 4 summarizes this key financial information on the Hemmingworth family.

Financial Information on the Hemmingworth Family

	Value in EUR	Value in US dollars at USD1.10/EUR
Chris Hemmingworth		
Human capital	6,000,000	6,600,000
Jennifer Hemmingworth		
Annual lifestyle expenditure	100,000/year	
Total expenditure until retirement	800,000	880,000
Residential real estate		
Property value	500,000	550,000
Mortgage on property	200,000	220,000
Family financial assets		
Cash on hand	100,000	50,000 + 110,000
Investments	1,000,000	1,500,000 + 1,100,000
Future expenses		
Children’s education in the United States		900,000
Retirement spending needs		5,000,000
Bequests and charitable donations		1,000,000

Exhibit 4: Source: CFA Institute.

Exhibit 5 displays the Hemmingworth extended family balance sheet denominated in US dollars. Although the present value of Chris Hemmingworth’s earnings stream is denominated in euros, and noted accordingly in the labeling of that entry, its value is expressed in the equivalent amount of US dollars. The currency in parentheses is the currency in which the asset, liability, or surplus is denominated, called the **base currency** and is either euros or US dollars.

The Hemmingworth Family Extended Balance Sheet Denominated in US Dollars

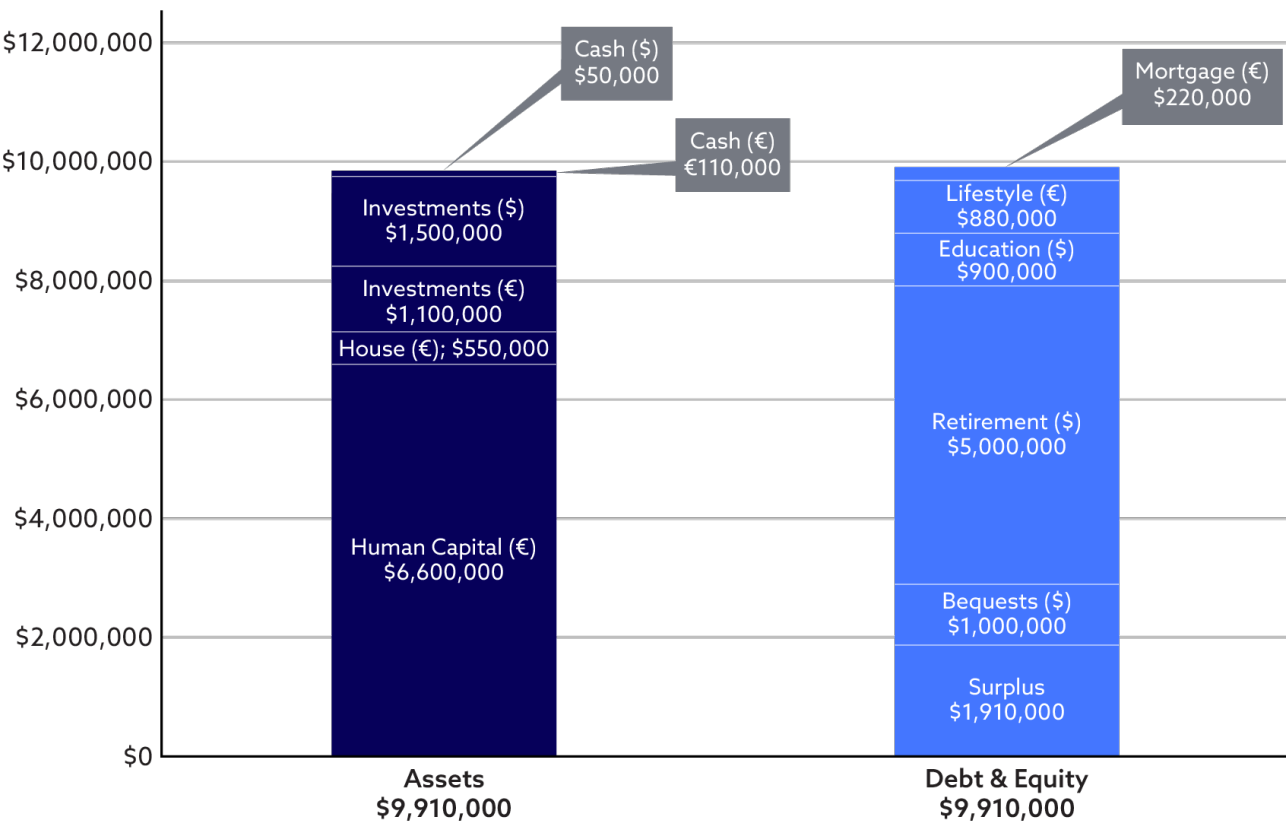


Exhibit 5: Source: CFA Institute.

All entries in the balance sheet, however, must be denominated in the same currency to allow the entries to balance. Therefore, the entries are denominated in US dollars because the bulk of the Hemmingworth’s investment goals (such as retirement) are denominated in US dollars. This is known as the **price currency**, or the **reference currency**.

For the Hemmingworth family, the inherent risk is the fluctuation of the exchange rate between base and price currencies during the period of wealth accumulation.

Displaying the family balance sheet this way reveals currency mismatches between assets and liabilities. The risk of that mismatch is compounded by exchange rate volatility. We can consolidate all the dollar-denominated assets into one category and all the euro-denominated assets in another (and similarly consolidate liabilities by currency) and express them all in the same currency (US dollars) we see currency risks, as shown in Exhibit 7. The USD1.55 million of dollar-denominated assets offsets only a small portion of the currency exposure of the dollar-denominated liabilities and surplus (USD6,900,000 + USD1,910,000 = USD8,810,000).

The bulk of the Hemmingworth’s assets (USD8.36 million) are denominated in euros, which more than offsets the currency exposure of the USD1.1 million worth of euro-denominated liabilities, including their mortgage and lifestyle. In other words, the Hemmingworth family is long euros and short US dollars. They have a USD7.26 million mismatch in their euro exposure (i.e., USD8,360,000 – USD1,100,000), as shown in Exhibit 6.

The Hemmingworth Family Extended Balance Sheet Expressed in Terms of Currency Exposure

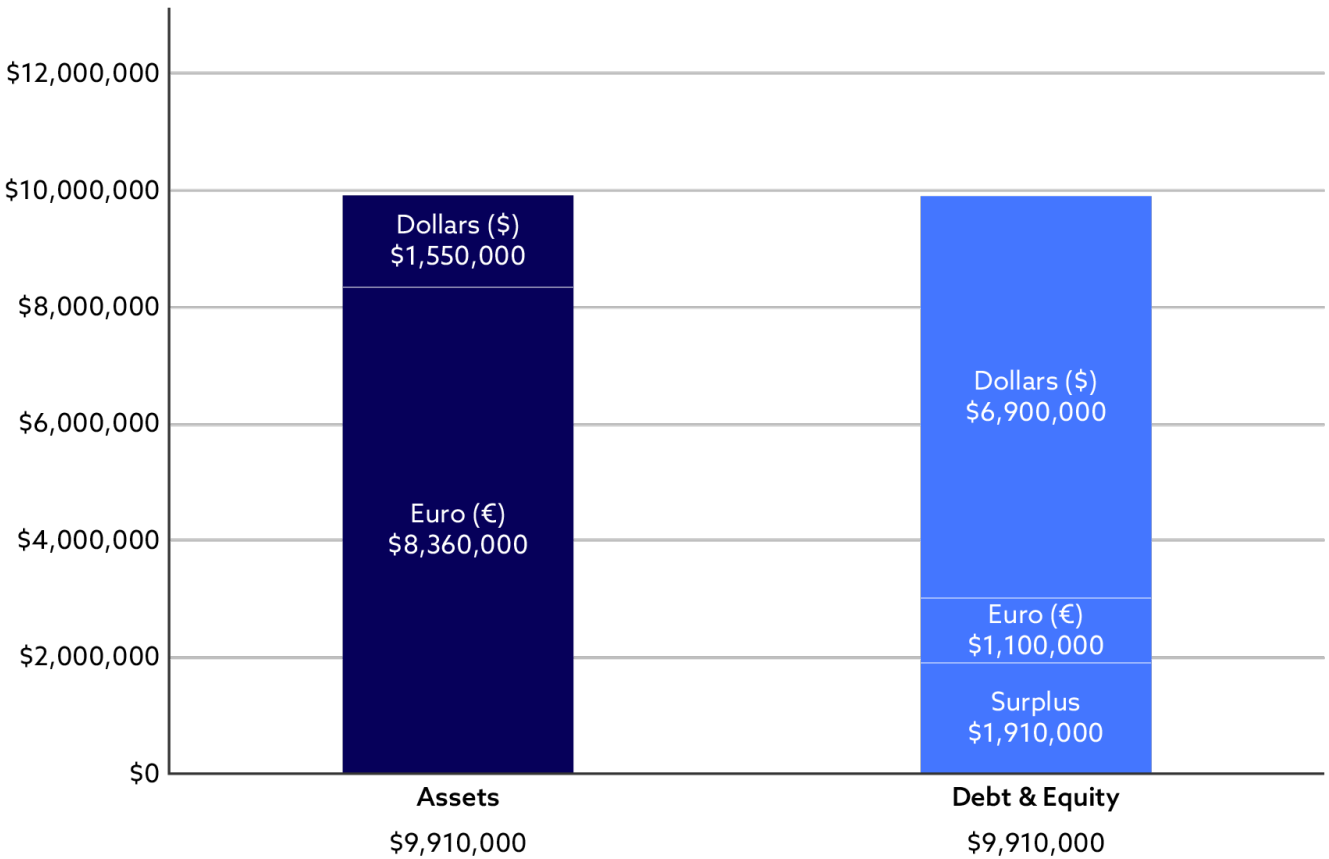


Exhibit 6: Source: CFA Institute.

If the euro depreciates relative to the US dollar (i.e., fewer US dollars/euro), the Hemmingworth family would suffer a loss of their surplus at least; the magnitude of the loss depends on the size of the depreciation. In general, the decline in net assets equals:

$$\text{Net asset decline} = \text{Return}_{\text{BaseCurrency}} \left(\text{Assets}_{\text{BaseCurrency}} - \text{Liabilities}_{\text{BaseCurrency}} \right)$$

Equation 1

Where

- $\text{Return}_{\text{BaseCurrency}}$ = The percentage change in the exchange rate of the base currency expressed in terms of price currency (i.e., $(S_{t,\text{Price/Base}}/S_{t-1,\text{Price/Base}}) - 1$);
- $\text{Assets}_{\text{BaseCurrency}}$ = The amount of assets denominated in the base currency expressed in terms of price currency; and
- $\text{Liabilities}_{\text{BaseCurrency}}$ = The amount of liabilities denominated in the base currency expressed in price currency units.

The return to the base currency is expressed as the percentage change in the base currency spot price. Using euros as the base currency and US dollars as the price currency, the spot price of the euro at time t can be expressed as $S_{t,\text{USD/EUR}}$. The return to the base currency is then $(S_{t,\text{USD/EUR}}/S_{t-1,\text{USD/EUR}}) - 1$, where $S_{t,\text{USD/EUR}}$ is the spot price of euro expressed in US dollars.

If the value of the assets denominated in the base currency equals the value of the liabilities denominated in the base currency, the family has no risk exposure to the exchange rate between the base currency and price currency. For the Hemmingworth family, euros are the base currency, and US dollars are the price currency, or currency in which most of their consumption is denominated. A 10% depreciation in the euro relative to the US dollar, for example, would decrease the Hemmingworth’s surplus by USD726,000 (= 0.10 × [USD8,360,000 – USD1,100,000]), or about a third of their surplus. If the depreciation is severe enough (e.g., 30%), it could deplete their surplus entirely. Over long time horizons, such exchange rate movements are not uncommon. Since the euro was introduced in 1999, its value in US dollars has ranged from as low as USD0.84 (highly

depreciated euro) to as high as USD1.58 (highly appreciated euro). Annual exchange rate changes of more than 15% are not unusual.

Hedging Strategies

The wealth manager could recommend several hedging strategies to offset the preexisting long exposure to the euro and short exposure to the US dollar, including those explained below.

Passive Hedging Strategy

A passive hedging strategy would seek to insulate the Hemmingworth family from all currency risk, perhaps by shorting euro/US dollar derivatives (i.e., forwards or futures) in a notional amount equal to the euro-denominated currency mismatch. This strategy involves a hedge ratio of one and requires active rebalancing to ensure that the notional hedge exposure equals the currency mismatch as values of the assets and liabilities evolve over time. Using futures contracts involves relatively short-term transactions, with generally good liquidity and low cost.

Discretionary Hedging Strategy

Rather than a purely passive currency overlay strategy, the wealth manager may alternatively suggest a discretionary hedging strategy designed to keep the hedge ratio within a bound, say 90%–110% of the mismatch. Whatever the strategy, the exposure should be assumed knowingly. Moreover, whether implemented in the markets or negotiated privately, such a strategy can be costly.

Carry Trade Strategy

The wealth manager may use a carry trade strategy rather than derivatives. In the Hemmingworth's case, for example, the wealth manager could borrow euros (to offset the preexisting long exposure to the euro) and invest in US dollars (to offset the preexisting short exposure to the US dollar). This offers a natural hedge to their long-term exchange rate exposure, minus the transaction costs involved in implementing the hedge.

Price (or Reference) Currency

As we have just seen, the concept of a price or reference currency is critical in managing currency risk for families with global financial exposure. The price currency serves as the anchor for measuring wealth, evaluating liabilities, and planning future financial obligations. For globally diversified families, aligning financial planning with a chosen price currency can mitigate the adverse effects of exchange rate volatility and ensure that financial objectives remain achievable.

Wealthy families often have consumption liabilities in multiple base currencies. In some cases, the consumption currency may resemble a GDP-weighted global currency. Even consumption denominated in a single currency, say a reserve currency, is subject to challenges. This section explores the challenges of managing currency risk, the distinct factors inherent to wealthy families, and the benefits of adopting a currency basket approach through a currency overlay.

Challenges in Managing Currency Risk

The external environment presents three major challenges to effective currency risk management, namely the volatility of fiat currencies, global GDP and investable asset misalignment, and political risks having an effect on major currencies.

Volatility of Fiat Currencies

No **fiat currency** (a currency backed only by the public's faith in the issuing government or central bank) offers a universally reliable store of value over time. Inflation, monetary policy changes, and economic instability can erode purchasing power. For example, high inflation rates in some emerging economies or currency devaluation in politically unstable regions can reduce the real value of assets denominated in those currencies. This is a key driver for wealthy families from emerging economies to use a major reserve currency (e.g., US dollar, euro, renminbi, Japanese yen), instead of their local currency, as their price currency.

Misalignment Between Global GDP and Investable Assets

Although global GDP is increasingly driven by emerging markets, investable assets are disproportionately concentrated in industrial economies. This imbalance compels families to diversify across currencies that may not align with their future financial needs, exposing them to currency mismatches.

Political Risks Affecting Major Currencies

Political instability or economic sanctions can disrupt access to major reserve currencies like the US dollar. For example, geopolitical tensions may limit a family's ability to transact in a currency or lead to significant depreciation, affecting their global purchasing power.

Factors Inherent to Wealthy Families

Wealthy families face distinct complexities in managing currency exposure, driven by four inherent factors; preservation of real purchasing power, global financial and lifestyle objectives,; difficulty in defining precise liabilities, and geographic mobility.

Preservation of Real Purchasing Power

Wealthy families prioritize preserving purchasing power for future generations. Inflation, currency depreciation, and tax liabilities in different jurisdictions necessitate strategies to maintain the real value of assets.

Global Financial and Lifestyle Objectives

HNW families often have globally distributed financial goals and personal lifestyles. They may hold assets in one currency, incur expenses in another, and plan long-term obligations in a third. This diversity requires careful alignment of currency exposure.

Difficulty in Defining Precise Liabilities

Unlike institutional investors with well-defined liabilities, wealthy families often have ambiguous or ever-evolving financial obligations. For instance, future philanthropic goals or multigenerational wealth transfers may not yet have fixed monetary values, complicating the alignment of assets and liabilities across currencies.

Geographic Mobility

Wealthy families frequently relocate for business, education, or lifestyle reasons, creating exposure to multiple jurisdictions. This mobility increases the likelihood of currency mismatches, as income and spending may occur in different currencies.

Advantages of a Currency Basket Approach

The wealth manager may address these challenges using a basket of currencies that is representative of the currencies in which family consumption is denominated. Alternatively, a currency basket could represent a GDP-weighted basket of global currencies. Adopting a currency basket approach, implemented through a currency overlay, provides two significant advantages: independent asset allocation; and systematic, disciplined management.

Independent Asset Allocation

A currency basket approach separates currency risk management from asset allocation decisions. By aligning currency exposures with the family's liabilities rather than the location of their investments, the approach ensures that portfolio construction focuses solely on maximizing returns and managing risks without being constrained by currency considerations.

Example: Independent Asset Allocation

A family with US dollar–based liabilities may maintain a globally diversified portfolio but hedge its currency exposures back to the US dollar. This reduces the need to align asset locations with liability currencies, allowing for greater flexibility in selecting investments.

Systematic and Disciplined Management

A currency basket implemented through a currency overlay introduces discipline into currency risk management. The overlay dynamically adjusts currency exposures to match the family's evolving liability profile, reducing the impact of sudden exchange rate fluctuations.

Example: Systemic and Disciplined Management

A currency overlay involves the use of derivative instruments such as forwards, futures, and swaps to align currency exposures with the price currency or basket. This proactive strategy helps stabilize purchasing power while mitigating risks associated with unmanaged currency mismatches.

Implementation Considerations

To effectively adopt a currency basket approach, families and their wealth managers should take the following actions:

- **Identify core liabilities:** Determine the primary currencies in which liabilities, such as living expenses, education, and philanthropy, are denominated.
- **Define the basket composition:** The currency basket should reflect the family’s major liabilities and anticipated future obligations. For example, a family with mainly US dollar and some euro exposures might adopt a basket weighted 70% US dollar and 30% EUR.
- **Monitor and rebalance:** Regularly assess and adjust the basket to reflect changes in financial goals or market conditions.

Managing currency risk through a price (or reference) currency approach ensures that globally diversified families can maintain purchasing power and meet their financial goals. By addressing the challenges of volatile currencies, aligning with the distinct needs of wealthy families, and implementing a currency basket through a disciplined overlay, families can effectively mitigate currency mismatches. This strategy provides stability in an uncertain global financial landscape, enabling families to focus on preserving and growing their wealth.

Cross-border Philanthropy

Cross-border Philanthropy Considerations

When advising HNW individuals about cross-border philanthropy, a range of additional concerns beyond those discussed earlier must be explored when the client is interested in philanthropic endeavors outside of their home country. It is important to question their assumptions and understanding of the geographic area and issues the client wishes to benefit. Winer and Brill

(2018) suggest that with cross-border philanthropy—especially in response to an emergency or crisis—a deeper knowledge about the issues and carefully selecting a partner will result in greater success with the client’s giving. They suggest that higher scrutiny must be applied in the areas of risk mitigation, accountability, and cross-cultural competency.

Risk Mitigation

One significant risk in cross-border philanthropy is the risk of donating to an organization that is laundering funds or otherwise directing monies to illegitimate activities. Especially important for US donors is awareness of the restrictions imposed by the PATRIOT Act, a law enacted in 2001, which among other goals, was aimed at preventing funding of terrorist activities.

Accountability

The question of accountability is especially complicated with respect to international giving. This is due to a myriad of entities who may be ultimately responsible for the good stewardship of the donation. Having clarity regarding which entity is responsible—whether it is a local nonprofit, an intermediary organization, or a domestically based organization—is a prerequisite to receiving the accountability the donor expects. In emergency funding, another type of accountability exists—that is, whether the organization can expect further funding once the crisis passes. Donors should be clear as to what the donee organization can expect.

Cross-cultural Competency

It is often difficult to work effectively across cultures. Winer and Brill (2018) state that working effectively across different cultures requires explicit policies and practices “that follow an intentional set of principles and ethics to guide the work.” Some examples include donating shoes or clothing that puts local shoemakers or tailors out of work, or funding for community water projects but neglecting to fund training for technicians to service the projects.

The dynamic international environment, including fast-changing political issues, makes it difficult for donors to obtain reliable and up-to-date information. Therefore, it is often best for donors to make cross-border gifts through intermediaries, like well-known international aid organizations, who can more adeptly navigate the international landscape.

US Cross-border Grantmaking

A complex set of US and foreign regulations govern cross-border grantmaking by foundations. As a result, compliance protocols need to be established. Hart (2018) describes several key areas of grant-maker responsibility surrounding these protocols.

One such area revolves around the rules of the US Internal Revenue Code for qualifying the grants under the charitable contribution rules. There are two key rules that define this qualification. The first is **equivalency determination**, that is, the determination that the donee non-US charity is the equivalent of a US public charity. This determination is similar to that made by the tax authorities regarding tax exempt status for a US charity.

The second key rule is **expenditure responsibility**, which is the determination that a foreign charity will use the grant for appropriate purposes. This determination requires

- a pregrant inquiry to ensure that the donee will use the donation for appropriate purposes;
- a written grant agreement that includes specific uses for the funds;
- a reporting mechanism from the donee on the use of the funds; and
- a filing by the non-US charity to the US tax authorities.

As mentioned earlier, the US PATRIOT Act and other international enforcement rules aim to fight the proliferation of money laundering and terrorist activities, so non-US charities must strictly comply with any cross-border grantmaking by US donors.

Charitable Giving Vehicles in Other Common Law and Civil Law Jurisdictions

Charitable giving in Europe and Asia, as with the United States, is influenced by the region's legal frameworks, cultural norms, and tax policies. Although each country has its own specific vehicles and mechanisms, they can be broadly categorized by the legal traditions that inform them: common law and civil law jurisdictions.

Other Common Law Jurisdictions

Common law systems, such as in the United Kingdom, Hong Kong SAR, and Singapore, typically have charitable giving mechanisms that are often similar to those found in the United States, as they share a common historical legal heritage.

Charitable Trusts

Charitable trusts, in which a donor transfers assets to a trustee, who then manages the assets according to the trust's charitable objectives, and where income and capital gains from the trust assets are used for charitable giving, are typically recognized in most common law countries. Such charitable trusts generally receive tax exemptions on income and capital gains, while donations to charitable trusts may also be deductible for the donor.

Foundations

Moreover, foundations—independent entities typically endowed by a single donor or family to support charitable activities—are permitted in most common law countries. As with US private foundations, the donor endows the foundation with assets, which are managed to generate income for charitable grants or activities, and the foundation’s board oversees governance and makes strategic decisions. Such foundations often benefit from tax exemptions on income and may provide donors with tax deductions for their contributions.

Civil Law Jurisdictions

As noted earlier, civil law jurisdictions do not generally recognize trusts, although some civil law countries have enacted trust legislation. Fourteen countries have adopted the Hague Trust Convention, under which each party to the convention recognizes the validity of trusts regardless of whether that country has its own trust law. Civil law systems have somewhat different approaches to charitable giving, with a stronger emphasis on direct tax subsidies and less on trust law.

The following section provides an overview of several different types of vehicles for charitable giving that are typically used by wealthy individuals from a range of civil law countries.

Vehicles Used for Charitable Giving in Civil Law Countries

Stiftung: Germany, Switzerland, Austria, and Liechtenstein

A stiftung is a foundation established to manage a set of assets for a specific charitable, scientific, cultural, or educational purpose.

Mechanism

A donor, often called a founder, endows the stiftung with assets. These assets are then managed by the foundation to generate income that supports its charitable grantmaking activities. The governance is overseen by a board, which ensures compliance with the foundation’s purpose as defined in its charter.

Tax Benefits

Generally, stiftung are tax-exempt organizations. The founder may receive tax benefits for the initial endowment and further contributions, subject to certain limitations.

Stiftung Advantages

The advantages of stiftung include the following:

- **Enduring impact:** Stiftung are designed for longevity, providing an ongoing philanthropic legacy.
- **Tax efficiency:** Stiftung offer a structured way to manage large endowments with tax benefits.
- **Autonomy:** Stiftung operate independently from their founders once established.

Stiftung Disadvantages

The disadvantages of stiftung include the following:

- **Regulatory scrutiny:** Stiftung are closely monitored by authorities to ensure that they adhere to their charitable purposes.
- **Initial capital:** Stiftung often require significant assets to be viable and cost-effective.
- **Inflexibility:** Altering the purpose or structure of a stiftung after it has been established can be difficult.

Fondation: France, Belgium, and Luxembourg

A **foundation** is an independent legal entity dedicated to philanthropic activities without shareholders or owners.

Mechanism

Fondations are created by one or more founders who provide it with an endowment. A board or council manages the fondation, and it operates to fulfill its mission, which can include charitable grantmaking or direct operations.

Tax Benefits

Founders can benefit from income tax deductions for contributions. The fondation typically enjoys tax-exempt status for its operations and assets related to its mission.

Fondation Advantages

The advantages of fondations include the following:

- **Tax advantages:** A fondation’s significant tax deductions incentivize charitable giving.
- **Public recognition:** Creating a fondation can enhance a donor's public and social standing.
- **Control over use of funds:** Founders can set specific objectives and have some influence over the fondation’s endowed funds.

Fondation Disadvantages

The disadvantages of fondations include the following:

- **Cost and complexity:** Establishing and managing a fondation can be expensive and administratively intense.
- **Lack of flexibility:** It may be difficult to change the fondation’s direction once established.
- **Oversight:** Fondations are subject to ongoing public and governmental scrutiny.

Fideicomiso: Latin American Countries

Although traditionally associated with Latin American countries, a **fideicomiso**, or trust-like entity, serves to hold and manage assets for specific purposes, including charitable ones, within certain civil law jurisdictions.

Mechanism

A settlor transfers assets to a fiduciary who is responsible for managing these assets for the benefit of a third-party beneficiary, according to the terms of the fideicomiso agreement.

Tax Benefits

Tax benefits vary by country, but generally, assets placed in a fideicomiso can be removed from the settlor's taxable estate, and the income generated from the assets can be tax exempt.

Fideiscomiso Advantages

The advantages of fideicomisos include the following:

- **Estate planning:** A fideicomiso can be an effective tool for estate planning and wealth transfer.
- **Specific purpose:** A fideicomiso is ideal for targeted philanthropic activities with a defined objective.

Fideiscomiso Disadvantages

The disadvantages of fideicomisos include the following:

- **Less common:** A fideicomiso is not as widely recognized or used for charitable purposes in civil law countries outside of Latin America.
- **Legal complexity:** A fideicomiso may not have a well-established legal framework in all jurisdictions.

Charitable Incorporated Organizations: Japan

In Japan, charitable incorporated organizations (CIOs) are legally incorporated entities established for nonprofit purposes such as social welfare, education, and environmental protection. They exist under Japan’s Public Interest Incorporated Foundation and Public Interest Incorporated Association Law.

Mechanism

CIOs are created with approval from the government and are managed by a board of directors or trustees. They can carry out a wide range of charitable activities directly or by distributing grants.

Tax Benefits

These entities are exempt from various taxes, and donations to them are often tax deductible for the donor.

CIO Advantages

The advantages of CIOs include the following:

- **Legitimacy and trust:** Government oversight ensures that CIOs have legitimacy, which can increase public trust.
- **Tax efficiency:** The CIO’s tax exemptions for the entity and deductions for donors enhance financial efficiency.

CIO Disadvantages

The disadvantages of CIOs include the following:

- **Difficult to maintain:** The process of obtaining and maintaining a CIO’s legal status is rigorous and bureaucratic.
- **Limited flexibility:** The CIO’s activities are limited to those specifically allowed by its charter and relevant laws.

Philanthropy Across Common and Civil Law Jurisdictions

In both common and civil law jurisdictions in Europe and Asia, wealthy individuals have a variety of vehicles to channel their philanthropy. Although the specific vehicles and their tax efficiency can vary significantly, they generally reflect a balance between promoting philanthropy and ensuring accountability. Common themes in vehicles for philanthropy include:

- **Regulatory environment:** More regulated environments tend to offer structured but less flexible vehicles, with rigorous reporting and transparency requirements.

- **Tax considerations:** Tax incentives are a key driver of philanthropy, although the extent and nature of these incentives vary.
- **Flexibility versus control:** Donors often must navigate between the desire for control over their philanthropic endeavors and the flexibility offered by different vehicles.
- **Cultural factors:** Cultural norms heavily influence the preferred methods of giving in each region, with some cultures favoring public and others private philanthropy.

Given such complications, wealthy individuals interested in using these vehicles should work with their private wealth advisers to navigate the complexities and to optimize their charitable impact while obtaining the maximum tax advantages.

Up Next

You have now completed Lesson 2: Cross-border Wealth Transfer. We hope this lesson has provided you with valuable insight into the complexities of cross-border wealth planning for HNW individuals with global assets and the importance of understanding tax residency, legal domicile, and international tax systems.

Next, you will review the learnings from this module.

Module 3 Summary

You have now completed Module 3: Philanthropy and Cross-Border Wealth Transfer. In this module, you learned about:

- **Philanthropy and legacy alignment:** Philanthropy allows high-net-worth individuals to align their wealth with personal values and societal goals, as demonstrated by initiatives like The Giving Pledge.
- **Structured reflection:** Thoughtful identification of philanthropic goals ensures giving strategies match environmental and social priorities while complementing investment objectives.
- **Family engagement:** Involving family in charitable planning builds shared values and supports intergenerational stewardship, utilizing vehicles like donor-advised funds (DAFs) and private foundations.
- **Comparing charitable vehicles:** DAFs offer lower administrative costs and immediate tax deductions, while private foundations provide more control but require greater oversight and expense.
- **Flexible philanthropy via LLCs:** Limited Liability Companies (LLCs) offer a flexible philanthropic structure that supports privacy, control, and integration with social impact investing.
- **Tax-advantaged giving:** Charitable giving can reduce income, estate, and capital gains taxes, with tools like charitable remainder trusts (CRTs) and charitable lead trusts (CLTs) offering structured, long-term tax efficiency.
- **Domicile and residency impact:** International tax obligations vary significantly depending on a client's citizenship and residency status, which affect income and estate tax liabilities.
- **Varied taxation systems:** Jurisdictions apply different tax models—tax havens (e.g., Bermuda), territorial taxation (e.g., Hong Kong SAR), and worldwide taxation (e.g., Canada, Germany).
- **US citizenship-based taxation:** The US uniquely taxes its citizens and residents on worldwide income, regardless of where they live, adding complexity to international planning.
- **Use of trusts and entities:** Trusts, corporate entities, and partnerships are essential tools for optimizing global tax efficiency and navigating regulatory environments.
- **International tax treaties:** Double taxation and estate tax treaties help prevent overlapping tax liabilities and may offer exemptions for non-residents under certain conditions.
- **Currency and legal considerations:** Currency fluctuations require risk mitigation strategies, while legal system differences influence charitable structures—trusts in common law systems vs. vehicles like stiftungs, fondations and fideicomisos and charitable incorporated organizations in civil law systems.

Module 3 Glossary

Note: The glossary terms in this list appear in the same order as they are introduced in the module text, rather than alphabetically.

- **Mission-related investing:** Integrates philanthropic goals with investment strategies, and ensures that charitable funds are managed in alignment with the mission and values of the donor. By incorporating social and environmental considerations into their investment decisions, clients can extend their philanthropic impact beyond traditional grants, achieving both financial returns and societal benefits.
- **Planned giving:** Charitable contributions that are arranged during a donor's lifetime but are executed at a future date, often as part of a comprehensive financial or estate plan.
- **Community foundation:** A publicly supported organization that provides donors with opportunities to pool resources for maximum impact.
- **Private grant-making foundation:** A type of private foundation typically established by an individual, family, or corporation, whose primary purpose is to make grants to other charitable organizations, individuals, or causes aligned with the foundation's mission.
- **Donor-advised fund (DAF):** A flexible, tax-efficient U.S. charitable giving vehicle in which the donor makes an irrevocable contribution to a publicly supported charitable organization, the sponsoring organization handles the investment management, and the donor advises on timing and recipients of grants. DAF benefits include immediate tax deduction, tax efficient contributions, tax-free growth, grant recommendation flexibility, and administrative ease.
- **Charitable remainder trust (CRT):** An irrevocable trust that provides an income stream to a donor or other beneficiaries for a specified period or for life, with the remaining trust assets ultimately passing to one or more charitable organizations upon the termination of the trust.
- **Charitable remainder annuity trust (CRAT):** A CRT that pays a fixed annual income stream to the donor or beneficiaries based on the trust's initial asset value.
- **Charitable remainder unitrust (CRUT):** A CRT that pays a variable annual income stream based on a fixed percentage of the trust's assets, revalued annually.
- **Charitable lead trust (CLT):** An irrevocable trust that provides an income stream to donor-designated charity beneficiaries for a specified period or for life, with the remaining trust assets ultimately passing to the non-charity beneficiaries, typically the donor and/or their family and heirs, upon the termination of the trust. CLTs can be either grantor CLTs or non-grantor CLTs.
- **Grantor charitable lead trust:** A CLT in which the donor is also the non-charity beneficiary, and the donor receives an immediate income tax deduction.
- **Heavy capital gain tax regime:** employs a progressive tax system for ordinary income and offers favorable treatment for interest and dividends. however, it taxes capital gains at ordinary rates.
- **Non-grantor charitable lead trust:** A CLT in which the donor's family or other individuals are the non-charity beneficiary. There is no income tax deduction for the donor, but rather gift and estate tax deductions that may allow the remainder assets to pass tax-free to the non-charity beneficiary.
- **Charitable lead annuity trust (CLAT):** A CLT that pays a fixed, predictable amount to charities annually, regardless of fluctuations in the trust's value, based on the trust's initial value.
- **Charitable lead unitrust (CLUT):** A CLT that pays variable annual payments based on a fixed percentage of the trust's assets, recalculated annually.
- **Zeroed-out CLAT:** A CLAT designed to minimize or eliminate gift and estate tax liabilities by structuring the present value of the charitable annuity payments to equal the value of the assets transferred to the CLAT.
- **Residence rules:** The criteria typically used by jurisdictions to determine whether an individual or entity qualifies as a tax resident.
- **Common progressive tax regime:** Applies progressive tax rates to ordinary income while providing favorable treatment to all three investment income categories: interest, dividends, and capital gains.
- **Heavy dividend tax regime:** employs a progressive tax system for ordinary income and offers favorable treatment for some interest and capital gains. however, it taxes dividends at ordinary rates.
- **Heavy interest tax regime:** employs a progressive tax system for ordinary income and offers favorable treatment for dividends and capital gains. however, it taxes interest income at ordinary rates.

- **Light capital gain tax regime:** Applies a progressive tax system to ordinary income, interest, and dividends but provides favorable treatment for capital gains.
- **Flat and light tax regime:** uses a flat tax system and provides favorable treatment for interest, dividends, and capital gains.
- **Flat and heavy tax regime:** applies a flat tax system to ordinary income, dividends, and capital gains. it does not provide favorable treatment for dividends and capital gains, but it does for interest income.
- **Base currency:** The currency in which an individual's or family's assets, liabilities, or surpluses are denominated.
- **Price (reference) currency:** The currency in which an individual's or family's investment goals (such as retirement) are denominated.
- **Fiat currency:** A currency backed only by the public's faith in the issuing government or central bank.
- **PATRIOT Act:** A law enacted in 2001, which among other goals, was aimed at preventing funding of terrorist activities.
- **Equivalency determination:** The determination that the donee non-US charity is the equivalent of a US public charity.
- **Expenditure responsibility:** The determination that a foreign charity will use the grant for appropriate purposes.
- **Fondation:** An independent legal entity dedicated to philanthropic activities without shareholders or owners (France, Belgium, Luxembourg).
- **Fideicomiso:** A trust-like entity which serves to hold and manage assets for specific purposes, including charitable ones (Mexico and Latin American countries).
- **Charitable incorporated organization:** A legally incorporated entity established for non-profit purposes such as social welfare, education, and environmental protection (Japan).